Thames Auto Receivables 2026-1 plc

Prospectus — £74,075,862.24 asset-backed floating rate notes

2026-01-28

Class	Initial principal amount	Issue price	Interest rate	Expected rating	Final maturity date
Class A Notes	£62,964,482.91	100%	Compounded Daily SONIA + 0.70% p.a.	AAA	20 December 2032
Class B Notes	£4,444,551.73	100%	Compounded Daily SONIA + 1.30% p.a.	AA	20 December 2032
Class C Notes	£3,703,793.11	100%	Compounded Daily SONIA + 2.10% p.a.	A	20 December 2032
Class D Notes	£2,963,034.49	100%	Compounded Daily SONIA + 3.50% p.a.	BBB	20 December 2032

Interest is payable monthly at Compounded Daily SONIA plus the margin of each class (section 4). The notes are asset-backed floating rate notes issued by the issuer and secured on a portfolio of UK motor vehicle loans originated by Kestrel Motor Finance Ltd. They are offered only to professional investors and are not listed on any stock exchange.

Arranger and Lead Manager: Corvane Securities plc

The date of this prospectus is 26 January 2026.

Important notices

This document is a teaching prospectus written for the book *Learning AI from Zero — Build Your Own AI Agent*. The issuer, the originator, the trustee and every loan in the portfolio are fictional. Any resemblance to a real company or person is a coincidence.

Responsibility statement

Thames Auto Receivables 2026-1 plc (the "Issuer") accepts responsibility for the information contained in this prospectus (the "Prospectus") relating to its Class A, Class B, Class C and Class D asset-backed floating rate notes (together, the "Notes"). To the best of the knowledge and belief of the Issuer, having taken all reasonable care to ensure that such is the case, the information contained in this Prospectus is in accordance with the facts and does not omit anything likely to affect the import of such information.

Kestrel Motor Finance Ltd (the "Originator", and in its capacities as seller and servicer, the "Seller" and the "Servicer") accepts responsibility for the information contained in section 8 (*The originator, seller and servicer*), section 9 (*Origination and underwriting*), section 10 (*The portfolio at the cut-off date*), section 13 (*Servicing, collections and arrears*) and the information on risk retention in section 18 (*Regulatory disclosures*). To the best of the knowledge and belief of the Originator, having taken all reasonable care to ensure that such is the case, the information contained in those sections is in accordance with the facts and does not omit anything likely to affect the import of such information. The Originator accepts no responsibility for any other part of this Prospectus.

Larkmead Bank plc (in its capacities as cash manager, issuer account bank, collection account bank, agent bank and principal paying agent, the "Cash Manager", the "Account Bank", the "Collection Account Bank", the "Agent Bank" and the "Principal Paying Agent") accepts responsibility for the information contained in the paragraphs of section 3 (*Transaction parties*) that describe it. To the best of its knowledge and belief, having taken all reasonable care to ensure that such is the case, that information is in accordance with the facts and does not omit anything likely to affect its import. Larkmead Bank plc accepts no responsibility for any other part of this Prospectus.

The trustee for the holders of the Notes (the "Noteholders") and for the other secured creditors of the Issuer (together with the Noteholders, the "Secured Creditors") (the "Trustee") has not separately verified the information contained in this Prospectus. Save for the information describing itself in section 3, the Trustee makes no representation, express or implied, and accepts no responsibility, as to the accuracy or completeness of any information contained in this Prospectus.

No other representations

No person has been authorised by Corvane Securities plc (in its capacities as arranger and lead manager, the "Arranger" and the "Lead Manager"), by the Issuer, the Originator, the Trustee, the Cash Manager or any other party to the transaction to give any information or to make any representation not contained in this Prospectus in connection with the issue or sale of the Notes. If given or made, such information or representation must not be relied upon as having been authorised by any of them.

Neither the delivery of this Prospectus nor any sale or allotment made in connection with the offering of the Notes shall, under any circumstances, constitute a representation or create any implication that there has been no change in the affairs of the Issuer or the Originator, or in the

information contained in this Prospectus, since the date of this Prospectus, or that the information contained in it is correct as of any time after that date.

None of the Arranger, the Lead Manager, the Trustee, the Cash Manager, the Account Bank, the Agent Bank, the Principal Paying Agent and Pellam Corporate Services Ltd (in its capacities as corporate services provider, share trustee and back-up servicer facilitator, the "Corporate Services Provider", the "Share Trustee" and the "Back-up Servicer Facilitator") has independently verified the information contained in this Prospectus. Accordingly, none of them makes any representation, warranty or undertaking, express or implied, and none of them accepts any responsibility or liability, as to the accuracy or completeness of the information contained in this Prospectus or any other information supplied in connection with the Notes. Each person receiving this Prospectus acknowledges that it has not relied on any of them in connection with its investigation of the accuracy of that information or its investment decision.

This Prospectus does not constitute an offer of, or an invitation by or on behalf of the Issuer or the Lead Manager to subscribe for or purchase, any of the Notes, and should not be considered as a recommendation by any of them that any recipient of this Prospectus should subscribe for or purchase any of the Notes. Each investor contemplating the purchase of any Notes should make its own independent investigation of the financial condition and affairs of the Issuer, of the Loans and of the terms of the Notes, and its own appraisal of the creditworthiness of the Issuer. In particular, each investor should read section 2 (*Risk factors*) in full.

Suitability of the Notes

The Notes are complex financial instruments. Each prospective investor must determine, on the basis of its own independent review and such professional advice as it considers appropriate, that its purchase of the Notes is fully consistent with its financial needs, objectives and condition, complies with all investment policies, guidelines and restrictions applicable to it, and is a fit, proper and suitable investment for it, notwithstanding the clear and substantial risks inherent in investing in or holding the Notes. A prospective investor should not invest in the Notes unless it has the knowledge and experience to evaluate how the Notes will perform under changing conditions, the resulting effects on the value of the Notes and the impact of the investment on its overall portfolio. In particular, an investor should be able to evaluate the effect of changes in SONIA, in the rate of prepayment and voluntary termination of the Loans, in arrears and defaults, in used vehicle prices and in the timing of recoveries on the amount and timing of payments on the Notes.

Investors whose activities are subject to investment laws and regulations, or to review or regulation by certain authorities, should consult their legal advisers to determine whether and to what extent the Notes are legal investments for them, whether the Notes can be used as collateral for borrowings and whether other restrictions apply to their purchase or pledge of the Notes. Financial institutions should consult their legal advisers or the appropriate regulators to determine the appropriate treatment of the Notes under any applicable risk-based capital, liquidity or similar rules.

Selling restrictions

The distribution of this Prospectus and the offering, sale and delivery of the Notes in certain jurisdictions may be restricted by law. Persons into whose possession this Prospectus comes are required by the Issuer and the Lead Manager to inform themselves about and to observe any such restrictions. This Prospectus does not constitute an offer to sell, or the solicitation of an offer to buy, any Notes in any jurisdiction in which such offer or solicitation is unlawful. No action has been taken by the Issuer, the Arranger or the Lead Manager which would permit a

public offering of the Notes, or the possession or distribution of this Prospectus or any other offering material, in any country or jurisdiction where action for that purpose is required.

The Notes have not been and will not be registered under the United States Securities Act of 1933, as amended (the "Securities Act"), or with any securities regulatory authority of any state or other jurisdiction of the United States, and may not be offered, sold or delivered within the United States or to, or for the account or benefit of, U.S. persons except in certain transactions exempt from, or not subject to, the registration requirements of the Securities Act. The Notes are being offered and sold only outside the United States to persons that are not U.S. persons in reliance on Regulation S under the Securities Act. The Issuer has not been and will not be registered under the United States Investment Company Act of 1940, as amended.

A summary of the restrictions on offers, sales and deliveries of the Notes and on the distribution of this Prospectus in the United Kingdom, the European Economic Area and the United States is set out in section 20 (*Subscription and sale*).

Prohibition of sales to UK retail investors

The Notes are not intended to be offered, sold or otherwise made available to, and should not be offered, sold or otherwise made available to, any retail investor in the United Kingdom. For these purposes, a retail investor means a person who is one (or more) of: (a) a retail client, as defined in point (8) of Article 2 of Commission Delegated Regulation (EU) 2017/565 as it forms part of domestic law by virtue of the European Union (Withdrawal) Act 2018 (the "EUWA"); or (b) a customer within the meaning of the provisions of the Financial Services and Markets Act 2000 ("FSMA") and any rules or regulations made under FSMA to implement Directive (EU) 2016/97, where that customer would not qualify as a professional client, as defined in point (8) of Article 2(1) of Regulation (EU) No 600/2014 as it forms part of domestic law by virtue of the EUWA. No key information document or other disclosure document required under the UK rules on packaged retail and insurance-based investment products, or under any rules that replace them for retail investment products, for offering or selling the Notes or otherwise making them available to retail investors in the United Kingdom has been prepared. Offering or selling the Notes or otherwise making them available to any retail investor in the United Kingdom may therefore be unlawful.

In addition, the Securitisation Regulations 2024 (SI 2024/102) and the securitisation sourcebook of the FCA Handbook ("SECN") restrict the sale of securitisation positions to retail clients. The Lead Manager has undertaken not to sell any Notes to a retail client in the United Kingdom.

Prohibition of sales to EEA retail investors

The Notes are not intended to be offered, sold or otherwise made available to, and should not be offered, sold or otherwise made available to, any retail investor in the European Economic Area (the "EEA"). For these purposes, a retail investor means a person who is one (or more) of: (a) a retail client, as defined in point (11) of Article 4(1) of Directive 2014/65/EU (as amended, "MiFID II"); or (b) a customer within the meaning of Directive (EU) 2016/97 (as amended), where that customer would not qualify as a professional client, as defined in point (10) of Article 4(1) of MiFID II. No key information document required by Regulation (EU) No 1286/2014 (as amended, the "EU PRIIPs Regulation") for offering or selling the Notes or otherwise making them available to retail investors in the EEA has been prepared, and offering or selling the Notes or otherwise making them available to any retail investor in the EEA may be unlawful under the EU PRIIPs Regulation. The restrictions on the sale of securitisation positions to retail clients in Article 3 of Regulation (EU) 2017/2402 (as amended, the "EU Securitisation Regulation") also apply to any distribution in the EEA.

UK MiFIR product governance: professional investors and eligible counterparties only

Solely for the purposes of the product approval process of the Lead Manager as manufacturer, the target market assessment in respect of the Notes has led to the conclusion that: (a) the target market for the Notes is eligible counterparties, as defined in the FCA Handbook Conduct of Business Sourcebook ("COBS"), and professional clients, as defined in Regulation (EU) No 600/2014 as it forms part of domestic law by virtue of the EUWA ("UK MiFIR"), only; and (b) all channels for distribution of the Notes to eligible counterparties and professional clients are appropriate. Any person subsequently offering, selling or recommending the Notes (a "Distributor") should take into consideration the manufacturer's target market assessment. A Distributor subject to the FCA Handbook Product Intervention and Product Governance Sourcebook (the "UK MiFIR Product Governance Rules") is responsible for undertaking its own target market assessment in respect of the Notes, either by adopting or refining the manufacturer's assessment, and for determining appropriate distribution channels.

EU MiFID II product governance: professional investors and eligible counterparties only

Solely for the purposes of each manufacturer's product approval process, the target market assessment in respect of the Notes has led to the conclusion that: (a) the target market for the Notes is eligible counterparties and professional clients only, each as defined in MiFID II; and (b) all channels for distribution of the Notes to eligible counterparties and professional clients are appropriate. Any Distributor should take into consideration the manufacturers' target market assessment; a Distributor subject to MiFID II is responsible for undertaking its own target market assessment in respect of the Notes and for determining appropriate distribution channels.

No listing and no approval

No application has been or will be made for the Notes to be admitted to listing or to trading on any stock exchange, regulated market, multilateral trading facility or other trading venue, in the United Kingdom or elsewhere. This Prospectus has not been approved by the Financial Conduct Authority (the "FCA") or by any other competent authority, and it is not a prospectus for the purposes of the Public Offers and Admissions to Trading Regulations 2024 or of the FCA's rules on admission to trading on a regulated market. The Notes are offered only to professional investors in the United Kingdom and the EEA in circumstances in which no prospectus or other offering document is required to be published or approved. There is no established trading market for the Notes, and none may develop (see section 2).

Ratings

The Notes are expected, on issue, to be assigned the ratings set out in section 4 (*The notes*) by the rating agencies appointed by the Issuer (the "Rating Agencies"). Each of the Rating Agencies is established in the United Kingdom and registered under Regulation (EC) No 1060/2009 as it forms part of domestic law by virtue of the EUWA (the "UK CRA Regulation"). A rating addresses only the likelihood of timely payment of interest and ultimate payment of principal on the relevant class of Notes by the final maturity date of the Notes (20 December 2032) (the "Final Maturity Date"). A rating is not a recommendation to buy, sell or hold securities, does not address the market price or the suitability of the Notes for a particular investor, and may be revised, suspended or withdrawn by the assigning Rating Agency at any time.

Forward-looking statements

This Prospectus contains statements that are, or may be deemed to be, forward-looking statements, including statements about the expected performance of the Loans, the expected rates of prepayment and voluntary termination, the expected recoveries on defaulted loans and the expected weighted average lives of the Notes. Words such as "expects", "estimates", "projects", "anticipates", "intends", "may" and "will", and similar expressions, identify forward-looking statements. Such statements are based on assumptions made by the Issuer and the Originator and involve known and unknown risks, uncertainties and other factors (many of which are beyond their control) that may cause the actual performance of the Loans and the actual payments on the Notes to differ materially from those expressed or implied. The factors include changes in the economy of the United Kingdom, unemployment, household income and inflation, interest rates, used vehicle prices, the market for battery electric vehicles, the regulation of motor finance by the FCA and the outcome of any redress scheme, and the conduct of the Servicer. The weighted average lives in section 17 are calculated on the modelling assumptions stated there and are illustrative only. None of the Issuer, the Originator, the Arranger and the Lead Manager has any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise.

Presentation of information

In this Prospectus, references to "£", "pounds" and "sterling" are to the lawful currency of the United Kingdom. Amounts are shown in pounds and pence. Totals in the tables may not equal the sum of their rows because of rounding. Percentages of the portfolio are calculated by reference to the pool balance at the Cut-off Date unless stated otherwise.

The information on the Loans in section 10 has been extracted from the systems of the Servicer and is stated as at the close of business on the Cut-off Date (31 December 2025). The portfolio comprises 5,000 loans with a pool balance of £74,075,862.24 at that date. The characteristics of the portfolio on the Closing Date (28 January 2026) will differ from those shown because of scheduled payments, prepayments and the removal of any loan that does not satisfy the eligibility criteria in section 11 on the Closing Date.

Capitalised terms used in this Prospectus have the meanings given to them where they are first used; an index of defined terms is set out at the end of this Prospectus. References to a "section" are to a numbered section of this Prospectus, and references to a "Condition" are to the corresponding paragraph of the terms and conditions of the Notes set out in section 5. References to any law or regulation are to it as amended, re-enacted or replaced from time to time, and include any rules, technical standards or guidance made under it.

Benchmark statement

Interest on the Notes is calculated by reference to the Sterling Overnight Index Average ("SONIA"), as described in section 4 and in the Conditions (section 5). SONIA is provided by the Bank of England as administrator. As at the date of this Prospectus, the Bank of England does not appear on the register of administrators and benchmarks established and maintained by the FCA under Article 36 of Regulation (EU) 2016/1011 as it forms part of domestic law by virtue of the EUWA (the "UK Benchmarks Regulation"). As far as the Issuer is aware, the Bank of England, as a central bank, is not required to appear on that register, because Article 2 of the UK Benchmarks Regulation provides that it does not apply to central banks. The Conditions set out the fallback provisions that apply if SONIA ceases to be published.

The Notes are obligations of the Issuer only

The Notes will be obligations solely of the Issuer. Thames Auto Receivables Holdings Ltd ("Holdings") has no liability for them. They will not be obligations of, and will not be the responsibility of or guaranteed by, any other person, including Kestrel Group plc, the Originator, the Arranger, the Lead Manager, the Trustee, the Cash Manager, the Account Bank, the Agent Bank, the Principal Paying Agent, the Corporate Services Provider, the Share Trustee, the Back-up Servicer Facilitator, any company in the same group as any of them. No liability whatsoever in respect of any failure by the Issuer to pay any amount due under the Notes will be accepted by any of them. The Notes are limited recourse obligations: the Issuer's ability to pay depends solely on the collections on the Loans and the other assets charged to secure the Notes, and once those assets have been realised and applied in accordance with the Priority of Payments in section 15, the Noteholders will have no further claim against the Issuer for any amount that remains unpaid.

Stabilisation

No stabilisation will be carried out in connection with the issue of the Notes.

Interpretation of periods

Throughout this document, "period" means a monthly collection period. Period 1 is January 2026 and period 12 is December 2026. Each period is followed by a payment date on the 20th day of the next month.

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1. Transaction overview

Item	Detail
Issuer	Thames Auto Receivables 2026-1 plc
Originator and seller	Kestrel Motor Finance Ltd
Servicer	Kestrel Motor Finance Ltd
Trustee	Albion Trustee Services Ltd
Assets	UK motor vehicle loans: hire purchase (HP) and personal contract purchase (PCP)
Number of loans at the cut-off date	5,000
Pool balance at the cut-off date	£74,075,862.24
Cut-off date	2025-12-31
Closing date	2026-01-28
First payment date	2026-02-20
Payment frequency	Monthly, on the 20th day of each month
Currency	Pounds sterling (GBP)
Risk retention	The originator retains 5% of the nominal value of each class of notes (a vertical slice)

The issuer buys the loans from the originator on the closing date and pays for them with the proceeds of the notes. The borrowers keep paying their monthly instalments to the servicer, which passes the money to the issuer. The issuer uses that money, on each payment date, to pay its fees, the interest on the notes and the principal on the notes, in the order set out in section 15.

Risk retention. UK securitisation rules require the originator to keep a material net economic interest of at least 5% in the transaction. The originator holds it as a *vertical slice*: 5% of the nominal value of each class of notes, kept for the life of the transaction and not hedged or sold. Holding Class D alone would not be enough, because Class D is 4% of the notes.

2. Risk factors

An investment in the notes involves risk. Prospective investors should read this section together with the rest of this prospectus, including the transaction overview in section 1, the description of the notes in section 4, the terms and conditions of the notes in section 5 (the "Conditions"), the description of the portfolio in section 10, the priority of payments in section 15 and the reserve fund and trigger events in section 16, before making any decision to invest. The risk factors below are those which Thames Auto Receivables 2026-1 plc (the "Issuer") believes to be material to the notes, organised in five groups: risks relating to the notes and the structure of the transaction; risks relating to the loans; legal and regulatory risks; counterparty risks; and macroeconomic and market risks. The order in which the risk factors appear is not an indication of the likelihood of any risk occurring or of the extent of its consequences.

The Issuer believes that the risk factors described below represent the principal risks inherent in investing in the Notes, but it does not represent that they are exhaustive, and the inability of the Issuer to pay interest, principal or other amounts on the Notes may occur for other reasons. Prospective investors should reach their own views, with their own legal, tax, accounting, regulatory and financial advisers, before making an investment decision.

In this section, the class A notes, the class B notes, the class C notes and the class D notes are referred to together as the "Notes" and each as a "Class"; the holders of the Notes are the "Noteholders". Kestrel Motor Finance Ltd (the "Originator", the "Seller" and, in its capacity as servicer, the "Servicer") originated each of the hire purchase agreements (the "HP Agreements") and personal contract purchase agreements (the "PCP Agreements" and, together with the HP Agreements, the "Loan Agreements" or the "loans") in the portfolio, and the individuals who are party to them as customers are the "Borrowers". The motor vehicles financed under the Loan Agreements are the "Vehicles". The agreements under which the Issuer purchases the loans, appoints the Servicer, Larkmead Bank plc (in its capacities as cash manager, the "Cash Manager", as issuer account bank, the "Account Bank", as agent bank, the "Agent Bank", and as principal paying agent, the "Principal Paying Agent") and the other transaction parties, and grants security for the Notes are the "Transaction Documents"; they are described in sections 3, 13 and 14. The note trustee and security trustee is referred to as the "Trustee". Terms used in this section and not defined here have the meanings given to them in section 11 and in the index of defined terms at the end of this prospectus.

2.1 Risks relating to the Notes and the structure of the transaction

The Notes are limited recourse obligations of the Issuer only, and Noteholders will have no claim against any other person.

The Notes are obligations of the Issuer alone. They are not obligations of, and are not guaranteed by, the Originator, the Servicer, the Trustee, the Cash Manager, the Account Bank, Pellam Corporate Services Ltd (the "Corporate Services Provider" and the "Back-up Servicer Facilitator"), Corvane Securities plc (the "Arranger" and the "Lead Manager"), Thames Auto Receivables Holdings Ltd ("Holdings") or any other person. No person other than the Issuer accepts any liability whatsoever to Noteholders in respect of any failure by the Issuer to pay any amount due under the Notes, and none of the persons named above has any obligation to provide funds to the Issuer or to make good any shortfall in the amounts available to the Issuer.

The Issuer's obligations under the Notes are limited recourse. Noteholders' claims are limited to the amounts which the Trustee receives from the property charged by the Issuer under the deed of charge (the "Deed of Charge"), which comprises principally the Issuer's interest in the loans and their collections, its rights under the Transaction Documents and its rights in the issuer accounts described in section 14 (together, the "Charged Property"). If the Charged Property

has been realised and the net proceeds of realisation, after payment of all amounts ranking in priority to or equally with a Class of Notes, are insufficient to pay that Class in full, the Issuer will have no further liability for the shortfall, the Noteholders' claims for that shortfall will be extinguished, and no Noteholder will be entitled to take any further step against the Issuer to recover it.

The Conditions and the Transaction Documents also contain non-petition provisions under which no Noteholder and no other secured creditor may institute, or join in instituting, insolvency or winding-up proceedings against the Issuer, or take any other step to enforce the security, other than through the Trustee. Noteholders should therefore be aware that their only recourse is to the Charged Property through the Trustee, and that the value of that recourse depends entirely on the performance of the loans and of the transaction parties described in this section.

The Issuer's ability to pay the Notes depends entirely on collections from the loans and on the performance of third parties.

The Issuer is a special purpose company whose only business is the purchase of the loans, the issue of the Notes and the entry into the Transaction Documents. It has no employees and no assets other than the Charged Property and its share capital, and it does not have, and will not have, any significant source of funds other than the collections on the loans, interest earned on the balances of the issuer accounts and the amounts standing to the credit of the reserve fund (the "Reserve Fund"). The Available Funds (as defined in section 11) available on each payment date (each a "Payment Date") to pay interest and principal on the Notes therefore depend on the timely payment by Borrowers of the amounts due under the Loan Agreements, on the amounts recovered from defaulted loans and handed-back Vehicles, and on the timely transfer of collections by the Servicer to the Issuer.

There can be no assurance that the Available Funds, together with any amount drawn from the Reserve Fund, will on any Payment Date be sufficient to pay all interest due on the Notes and to reduce the balance of the Notes in line with the Pool Balance, nor that on the Final Maturity Date (as defined below) or on any earlier date of redemption the Charged Property will be sufficient to redeem the Notes in full. The Issuer depends on the Servicer to collect the loans, on the Cash Manager to calculate and apply the Available Funds in accordance with section 15, on the Account Bank to hold its cash, and on the Corporate Services Provider to administer its corporate affairs. A failure by any of them to perform its obligations may reduce or delay payments on the Notes, as described in section 2.4.

The junior Classes of Notes are subordinated to the more senior Classes and bear losses first.

The Notes are constituted by a trust deed (the "Trust Deed") and rank as set out in the priority of payments in section 15. Interest on the class B notes is paid only after interest on the class A notes has been paid in full; interest on the class C notes is paid only after interest on the class A notes and the class B notes; and interest on the class D notes is paid only after interest on all the more senior Classes. After a Trigger Event, principal is also paid sequentially, in the order class A, class B, class C and class D, as described in section 4. The subordination of the junior Classes is the principal form of credit enhancement for the more senior Classes, in addition to the excess spread and the Reserve Fund described below.

As a consequence, a holder of a junior Class bears a greater risk of loss than a holder of a more senior Class. If losses on the loans exceed the excess spread available to absorb them, the resulting Principal Deficiency (as described in section 15) is borne in practice first by the class D notes, then by the class C notes, then by the class B notes and only then by the class A notes, because Available Funds and, on enforcement, the proceeds of the Charged Property are applied in order of seniority. Holders of the class D notes in particular should be aware that a relatively

small increase in defaults above the levels assumed in section 17, or a relatively small fall in recovery proceeds, may result in a loss of part or all of their investment, and that interest on their Notes is paid only from the funds remaining after all more senior items have been paid on the relevant Payment Date.

The relative share of each Class in the total balance of the Notes, set out in section 4, determines the amount of subordination available to each Class at the Closing Date. That amount will change over the life of the transaction, as described in the next risk factor. There is no guarantee that the subordination available to any Class will be sufficient to protect it against the losses which actually arise on the portfolio.

While principal is paid pro rata, the credit enhancement of the senior Classes does not increase, and after the switch to sequential payment the junior Classes may be repaid much later than expected.

Until a Trigger Event has occurred, principal is allocated between all Classes in proportion to their balances, as described in section 4. During that period, each Class amortises at the same rate, so the percentage of the Note balance represented by the junior Classes, and therefore the subordination available to the more senior Classes, remains broadly constant rather than increasing as it would in a fully sequential structure. At the same time the absolute amount of subordination falls as the junior Classes are repaid. If the performance of the portfolio deteriorates late in the life of the transaction, when a large part of the junior Classes has already been repaid, the absolute amount of loss which the junior Classes can absorb will be smaller than it was at the Closing Date. The cumulative default, arrears and Reserve Fund tests described in section 16 are designed to switch the transaction to sequential payment before that situation arises, but there can be no assurance that a Trigger Event will occur early enough, or that the tests will capture every form of deterioration. A deterioration in residual value performance on handed-back PCP Vehicles, for example, reduces recoveries without necessarily causing a breach of the arrears test.

Once a Trigger Event has occurred, principal is paid sequentially from the following Payment Date and the switch is permanent, even if the portfolio performance later recovers and the relevant test would be met again. From that date the class B notes, the class C notes and the class D notes will receive no principal until each more senior Class has been repaid in full. The weighted average lives of the junior Classes may therefore extend materially beyond the figures shown in section 17, and holders of those Classes will be exposed to the credit performance of the portfolio for longer. Conversely, the class A notes may be repaid more quickly than expected.

Noteholders should also note that the occurrence of a Trigger Event depends on figures calculated by the Servicer and the Cash Manager from the Servicer's records. Errors in those records or calculations, or a change in the Servicer's arrears management practices (for example, more extensive use of payment arrangements, which may reduce the reported arrears without improving the collections), may delay or accelerate the switch to sequential payment relative to the underlying economic performance of the loans.

Interest and principal collections are applied in a single priority of payments, so losses and shortfalls in interest can be met from principal collections and cause a Principal Deficiency.

The transaction does not separate revenue and principal collections. The Available Funds for each collection period (each a "Collection Period") comprise interest collections, scheduled principal (including the Balloon Payments due under PCP Agreements, as described in section 2.2), prepayments and recoveries, and they are applied in the single order set out in section 15. Fees, expenses and interest on all Classes rank ahead of the payment of principal. The practical effect is that, if interest collections in a Collection Period are insufficient to pay the senior fees and the interest on all Classes, principal collections received in that Collection Period will be

used to pay those amounts before any amount is applied to reduce the balance of the Notes.

When that occurs, or when loans default and leave the Pool Balance without a corresponding receipt of cash, the balance of the Notes remains above the Pool Balance after the Payment Date and a Principal Deficiency arises, as described in section 15. A Principal Deficiency is reduced on later Payment Dates only from the Available Funds remaining after the Reserve Fund has been replenished. If the excess spread of the portfolio is insufficient to eliminate it, the Principal Deficiency will remain outstanding and, at the Final Maturity Date or on an earlier redemption or enforcement, will result in a loss on one or more Classes of Notes, beginning with the most junior Class then outstanding.

The Reserve Fund is the only source of liquidity in the transaction, is of a fixed size and is not available to pay principal.

The Issuer has not entered into a liquidity facility and no person has agreed to advance funds to the Issuer to cover temporary shortfalls in collections. The only liquidity support is the Reserve Fund, which is funded by the Originator on the Closing Date at the required amount set out in section 16. If the Available Funds on any Payment Date are insufficient to pay the senior fees and interest on each Class in full, the shortfall is drawn from the Reserve Fund, as described in section 15. The Reserve Fund is never used to pay principal on the Notes or the deferred consideration payable to the Originator (the "Deferred Consideration").

The required amount of the Reserve Fund is fixed for the life of the transaction and does not increase if the performance of the portfolio deteriorates. Once drawn, the Reserve Fund is replenished only from Available Funds remaining after the payment of interest on all Classes, so a period of sustained shortfalls may exhaust it. A disruption in collections affecting several Collection Periods, such as a failure of the Servicer (see section 2.4), a large-scale payment holiday imposed by law or regulation, or a market-wide disruption of payment systems, could exceed the amount available in the Reserve Fund. In that case the Issuer may be unable to pay interest in full on one or more Classes on the relevant Payment Date.

Because the Reserve Fund is sized by reference to the initial balance of the Notes and is not reduced as the Notes amortise, it will become larger in proportion to the balance of the Notes over time. Noteholders should not, however, regard the Reserve Fund as a source of principal protection: amounts standing to its credit are released only in the circumstances set out in section 16, and a draw on the Reserve Fund is itself one of the tests whose failure constitutes a Trigger Event.

If Available Funds and the Reserve Fund are insufficient, the Issuer may be unable to pay interest on the junior Classes when due.

On each Payment Date, interest on a Class is paid only to the extent that Available Funds and amounts drawn from the Reserve Fund remain after the payment of all items ranking above it in section 15. The Conditions in section 5 set out the consequences of an interest shortfall, including, for each Class other than the most senior Class then outstanding (the "Most Senior Class"), the deferral of the unpaid amount to the next Payment Date, when it becomes payable together with the interest then due. A deferral of interest on a junior Class does not, under the Conditions, constitute an event of default while a more senior Class remains outstanding, and holders of a junior Class will not be able to accelerate their Notes by reason of such a deferral.

A failure to pay interest in full on the Most Senior Class when due, however, may constitute an event of default under the Conditions, entitling the Trustee, subject to the terms of the Trust Deed, to accelerate the Notes and enforce the security. Following enforcement, the proceeds of the Charged Property are applied in the post-enforcement order set out in the Conditions and the Deed of Charge, and there can be no assurance that those proceeds will be sufficient to pay

all amounts due to all Classes. Holders of junior Classes may therefore receive no interest for extended periods and may suffer a loss of deferred interest as well as of principal.

The loans pay fixed rates of interest while the Notes pay SONIA plus a margin, and this basis risk is not hedged.

Each loan bears a fixed rate of interest for its whole term, set at origination, while each Class of Notes bears interest at SONIA plus the margin set out in section 4. The Issuer has not entered into an interest rate swap, a cap or any other hedging arrangement, and it is not required to do so under the Transaction Documents. The difference between the fixed yield on the portfolio and the floating rate payable on the Notes is therefore borne entirely by the transaction. If SONIA rises, the interest payable on the Notes rises with it, while the interest received on the loans does not change. The excess spread, being the difference between the interest collected on the loans and the senior fees and interest payable on the Notes, will fall and, in a sufficiently large rise in SONIA, may disappear entirely.

The principal mitigants of this basis risk are the excess spread available at the Closing Date, which reflects the difference between the weighted average interest rate of the portfolio described in section 10 and the margins on the Notes, and the Reserve Fund. Neither of them is sized to withstand every possible path of SONIA. A reduction in excess spread reduces the amount available to cure any Principal Deficiency arising from defaults and to replenish the Reserve Fund. A rise in SONIA combined with an increase in defaults, which may occur together if higher interest rates in the wider economy put pressure on household finances (see section 2.5), would have a compounded effect on the ability of the Issuer to pay interest and principal in full.

The effect of the basis risk is mitigated over time by the relatively short remaining term of the loans and by the amortisation of the Notes, but it is not eliminated. Investors should form their own view of the future path of SONIA and of the sensitivity of each Class to it, taking into account the weighted average life scenarios in section 17, which do not model changes in SONIA.

Prepayments of higher-yielding loans and defaults may reduce the excess spread over time.

The excess spread of the portfolio is not constant. Loans which carry higher interest rates are typically made to Borrowers with weaker credit profiles, who are more likely both to default and, where their circumstances improve, to refinance. If loans with higher interest rates prepay or default at a faster rate than loans with lower interest rates, the weighted average interest rate of the remaining portfolio will fall, and the excess spread available to absorb losses and cure any Principal Deficiency will decrease. In addition, the senior fees include fixed amounts, such as the Trustee fee described in section 15, which do not decrease as the Pool Balance amortises and therefore absorb a growing share of the interest collections towards the end of the transaction.

The determination of SONIA, and any change to or discontinuation of SONIA, may affect the amount of interest payable on the Notes.

The rate of interest on each Class for each interest period is determined by the Agent Bank in accordance with the Conditions by reference to the Sterling Overnight Index Average ("SONIA") administered by the Bank of England. The manner of determination set out in the Conditions, which uses SONIA observed over a period ending before the end of the interest period, means that the amount of interest payable on each Payment Date will be known only shortly before that date. Investors may find it difficult to forecast the interest which they will receive, and their own systems must be able to process a rate determined in that way. SONIA is an overnight rate and may be more volatile than term rates.

The Conditions contain fallback provisions which apply if SONIA is not published, or if the Bank

of England or a successor administrator ceases to publish it or announces a material change to its methodology. The fallbacks include the use of the Bank Rate adjusted by a spread and, if those fallbacks fail, the rate determined for the last period for which SONIA was available. The operation of the fallbacks may result in a rate which differs from that which would have applied if SONIA had continued to be published, and, in the last resort, the Notes may in effect become fixed rate notes. In addition, the Conditions permit the Trustee to agree, without the consent of Noteholders, to modifications proposed by the Issuer or the Cash Manager to change the base rate of the Notes in the circumstances set out in the Conditions, including where SONIA is replaced as the market standard for sterling floating rate notes. Any such change may adversely affect the value of the Notes.

The ratings of the Notes may not reflect all risks, may be lowered or withdrawn, and are not a recommendation to buy, sell or hold the Notes.

Each Class of Notes is expected on issue to be assigned the rating set out in section 4 by the Rating Agencies. A rating addresses only the likelihood of timely payment of interest on the Most Senior Class and the ultimate payment of principal on or before the Final Maturity Date, and, for the other Classes, the matters set out in the relevant Rating Agency's published methodology. A rating does not address the likelihood or timing of prepayments, the possibility that the Notes will be redeemed earlier than expected, the payment of deferred interest except as stated in the relevant methodology, the market value or liquidity of the Notes, or the suitability of the Notes for any investor. A rating is not a recommendation to buy, sell or hold securities and may be revised, suspended or withdrawn at any time by the assigning Rating Agency.

The ratings are based on the information provided by the Originator and the Arranger about the portfolio, the Originator's historical performance data and the structure of the transaction, and on the Rating Agencies' current criteria. Those criteria may change, and a change in criteria may lead to a downgrade of one or more Classes even if the portfolio performs as expected. A downgrade of a counterparty, in particular the Account Bank, may also lead to a downgrade of the Notes if the counterparty is not replaced in accordance with the Transaction Documents. A downgrade of the United Kingdom's sovereign rating may limit the maximum rating which the Rating Agencies assign to UK structured finance transactions.

Rating agencies other than the Rating Agencies may assign unsolicited ratings to the Notes. An unsolicited rating may be lower than the rating assigned by the Rating Agencies and could adversely affect the market value and liquidity of the Notes. Under the UK credit rating agencies regulation, certain regulated investors may use a rating for regulatory purposes only if it is issued or endorsed by a credit rating agency registered or certified in the United Kingdom. Investors should consult their own advisers on the regulatory treatment of the ratings.

The yield to maturity and the weighted average life of each Class are uncertain and depend on the rate of prepayment, default and voluntary termination of the loans.

The rate at which principal is repaid on the Notes depends on the rate at which the Pool Balance falls, which depends in turn on scheduled amortisation, on the payment of Balloon Payments (as defined in section 2.2) at the end of PCP Agreements, on voluntary prepayments and early settlements, on voluntary terminations under the Consumer Credit Act 1974 (the "CCA"), on defaults and on repurchases of loans by the Seller under section 12. None of these can be predicted with certainty. The rate of prepayment of motor finance loans is influenced by a wide range of factors, including the availability and cost of alternative finance, the value of the Vehicle relative to the outstanding balance, new vehicle launches and manufacturer incentives, the desire of Borrowers to change their Vehicles, insurance write-offs, and changes in the personal circumstances of Borrowers.

The weighted average lives shown in section 17 are calculated on the basis of stated assumptions,

including a constant rate of prepayment, the absence of defaults and the exercise or non-exercise of the Clean-Up Call (as defined below). The actual performance of the portfolio will differ from those assumptions, and the actual weighted average life of each Class may be materially shorter or longer than the figures shown. An investor who purchases Notes at a premium to their principal amount faces the risk that faster than expected repayment will reduce its yield; an investor who purchases at a discount faces the risk that slower than expected repayment will reduce its yield. A switch to sequential payment following a Trigger Event will change the weighted average lives of all Classes, as described above.

The loans in the portfolio have a concentration of scheduled cash flows at the end of the PCP Agreements, when the Balloon Payment falls due and the Borrower chooses whether to pay it, to refinance it or to return the Vehicle. The timing of principal receipts on the Notes will therefore be sensitive to the timing of those maturities and to the choices made by Borrowers, as described in section 2.2.

The Notes may be redeemed early at the option of the Issuer, and Noteholders may be unable to reinvest the proceeds at the same yield.

The Issuer may redeem all, but not some only, of the Notes at their principal amount outstanding, together with accrued interest, on any Payment Date on which the Pool Balance is less than 10% of the Pool Balance at the cut-off date (the "Clean-Up Call"), provided that it has sufficient funds to do so, in accordance with the Conditions. The Issuer expects to fund the exercise of the Clean-Up Call from the proceeds of a repurchase of the remaining loans by the Seller, and the Seller has no obligation to make that repurchase. The Conditions also permit the Issuer to redeem the Notes in whole if certain changes in tax law occur, as described in section 5.

An early redemption will shorten the life of the Notes. Noteholders may not be able to reinvest the redemption proceeds at an effective yield as high as that of the Notes, particularly at a time of falling interest rates. The possibility of an optional redemption may also limit the market value of the Notes, which is unlikely to rise substantially above the price at which they may be redeemed while the Issuer may exercise the option. Conversely, there can be no assurance that the Clean-Up Call will be exercised, and Noteholders should not base their investment on the assumption that the Notes will be redeemed on the first Payment Date on which it becomes exercisable.

The Notes may not be repaid in full by the Final Maturity Date, and the tail of the portfolio may extend their repayment.

Each Class of Notes, if not previously redeemed, is due to be redeemed in full on 20 December 2032 (the "Final Maturity Date"). The Final Maturity Date has been set at a date after the latest scheduled maturity of any loan in the portfolio to allow time for the collection of late payments and of recoveries on defaulted loans. There can be no assurance, however, that the Charged Property will produce enough cash by that date to redeem all Classes in full. Loans may be rescheduled under forbearance arrangements so that they mature later than originally scheduled, recoveries may take longer than expected, particularly where a court order is required to recover a Vehicle protected under section 90 of the CCA, and the proceeds of litigation against Borrowers may be received only after several years.

If on the Final Maturity Date the amounts available to the Issuer are insufficient to redeem a Class in full, the unpaid balance will remain due, but, because the Notes are limited recourse, Noteholders will have no further claim once the Charged Property has been realised and distributed. Holders of junior Classes bear this risk first. Noteholders should also note that the Issuer is not obliged to redeem any Class before the Final Maturity Date other than from the Available Funds in accordance with section 15, and that the expected maturity of each Class shown in section 17 is an estimate only.

There is no established secondary market for the Notes, the Notes are not listed, and Noteholders may be unable to sell them or may have to sell at a substantial discount.

The Notes are not, and will not be, admitted to listing or trading on any stock exchange or market, and they are offered only to professional investors in the United Kingdom and the European Economic Area, as described in section 20. There is currently no secondary market for the Notes and there can be no assurance that one will develop or, if one develops, that it will provide Noteholders with liquidity or will continue for the life of the Notes. The Lead Manager has no obligation to make a market in the Notes. The absence of a listing may limit the categories of investors which are permitted to hold the Notes and may affect their eligibility as collateral in central bank or market operations.

The market for asset-backed securities has in the past experienced periods of severe disruption, during which prices fell sharply and trading volumes contracted, without any change in the performance of the underlying assets. A recurrence of such conditions, or a reduction in the number of investors in UK motor finance securitisations, for example as a result of the regulatory and litigation developments described in section 2.3, could make the Notes difficult to sell. Noteholders should be prepared to hold their Notes until their final redemption.

The Notes are issued in minimum denominations of £100,000 and integral multiples of £1,000 above that amount. A Noteholder who holds an amount which is not an integral multiple of the minimum denomination may, as a result of trading, hold an amount less than £100,000 and in that case may be unable to transfer that holding and, if definitive notes are issued, may not receive a definitive note in respect of it.

Because the Notes are held in global registered form through the clearing systems, Noteholders will depend on those systems for transfers, payments and communications.

Each Class of Notes is represented on issue by a global note in registered form, held by or on behalf of a common depositary or nominee for the clearing systems specified in section 21. Definitive notes will be issued only in the limited circumstances set out in the global notes. While the Notes are held in global form, investors will be able to trade their beneficial interests only through the clearing systems and their participants, and the Issuer will discharge its payment obligations by making payments to or to the order of the registered holder of the global note. Investors must rely on the procedures of the clearing systems and their participants to receive payments, notices and voting materials, and to exercise their rights. Neither the Issuer nor the Trustee has any responsibility for the records of the clearing systems or for any failure by them to pass on payments or notices.

The Trustee will have regard to the interests of the Noteholders as a class, will in a conflict give priority to the Most Senior Class, and is not obliged to act unless indemnified to its satisfaction.

The Trust Deed and the Deed of Charge provide that, in the exercise of its powers, trusts, authorities and discretions, the Trustee will have regard to the interests of the Noteholders of each Class as a class and will not have regard to the consequences of such exercise for individual Noteholders, including any tax consequences arising from their residence or domicile. Where, in the opinion of the Trustee, there is a conflict between the interests of the holders of different Classes, the Trustee will have regard only to the interests of the holders of the Most Senior Class then outstanding. The interests of the holders of a junior Class may therefore be prejudiced by a decision of the Trustee which favours the holders of a more senior Class, for example in relation to the timing or manner of enforcement of the security.

The Trustee is not obliged to take any action, including the enforcement of the security, unless it has been directed to do so by an extraordinary resolution of the holders of the Most Senior

Class or requested in writing by the holders of the required percentage of the principal amount outstanding of the Most Senior Class, and has been indemnified, secured or prefunded to its satisfaction. The Trustee's fees, costs and indemnities rank ahead of payments on the Notes. A delay in obtaining directions or indemnities may delay enforcement and reduce the amount ultimately recovered.

The Trustee may agree to modifications of the Transaction Documents and the Conditions without the consent of Noteholders, and resolutions passed by the required majority bind all Noteholders.

The Conditions and the Trust Deed contain provisions for convening meetings of Noteholders, and for written resolutions, to consider matters affecting their interests. These provisions permit defined majorities to bind all Noteholders, including Noteholders who did not attend or vote at the relevant meeting and Noteholders who voted in a manner contrary to the majority. Certain fundamental matters, such as a change to the amount, date or currency of any payment on the Notes or to the priority of payments, require a resolution passed by a higher majority of each affected Class. Other matters may be determined by a resolution of the Most Senior Class alone.

The Trustee may also agree, without the consent of Noteholders, to any modification of the Conditions or the Transaction Documents which in its opinion is not materially prejudicial to the interests of the holders of the Most Senior Class, or which is of a formal, minor or technical nature or is made to correct a manifest error. In addition, the Conditions require the Trustee to agree, without the consent of Noteholders, to modifications which the Issuer certifies are required to comply with changes in the UK securitisation rules, to implement the criteria of the Rating Agencies relating to counterparties, to replace the base rate of the Notes in the circumstances described above, or to comply with tax reporting requirements, subject to the right of holders of a specified percentage of the Most Senior Class to object within the period stated in the Conditions. Noteholders may therefore find that their rights have changed without their consent, and such changes may adversely affect the value of their Notes.

The transaction parties perform several roles in the transaction and may have interests which conflict with those of the Noteholders.

Kestrel Motor Finance Ltd acts as originator, seller and servicer, holds the Notes required to be retained under the vertical slice described in section 18, funds the Reserve Fund and receives the Deferred Consideration. As servicer it makes decisions on arrears management, forbearance, the timing and manner of Vehicle recoveries and the handling of complaints and redress which affect the collections of the Issuer, and those decisions may also affect its own commercial interests, including its relationships with Borrowers, motor dealers and vehicle manufacturers and the performance of the loans which it retains on its own balance sheet. The servicing agreement between the Issuer, the Servicer and the Trustee (the "Servicing Agreement") requires the Servicer to service the loans with the same degree of skill and care which it applies to loans held for its own account, but there can be no assurance that a conflict will not arise.

Larkmead Bank plc acts as Cash Manager, Account Bank, Agent Bank and Principal Paying Agent, and Pellam Corporate Services Ltd acts as Back-up Servicer Facilitator, Corporate Services Provider and share trustee of Holdings. Corvane Securities plc, as Arranger and Lead Manager, and its affiliates may hold Notes, may trade them, and may have other business relationships with the Originator and its parent, Kestrel Group plc, including the provision of warehouse or other financing secured on motor finance receivables. Each of these parties may act in its own interests in those other capacities and has no duty to Noteholders to consider their interests when doing so, except as expressly set out in the Transaction Documents.

The information in this prospectus about the portfolio has not been independently verified in full and may not predict the performance of the loans.

The information about the loans in section 10 has been provided by the Originator and is stated as at the cut-off date. A sample of the loans has been the subject of agreed-upon procedures performed by a firm of accountants for the Arranger, and a sample of the data was compared against the Originator's systems, as required by the UK securitisation rules described in section 18. Agreed-upon procedures are not an audit, cover only a sample, and cannot ensure that all the information is accurate. Neither the Issuer, the Arranger nor the Trustee has carried out any other independent investigation of the loans, the Borrowers or the Vehicles.

The historical performance data of the Originator's motor finance book, made available to investors as described in section 18, relate to periods whose economic conditions, interest rates and used vehicle prices may differ from those which will prevail over the life of the Notes, and to loans whose characteristics may differ from those in the portfolio. They are provided for information only and are no guarantee of the future performance of the portfolio. The characteristics of the portfolio will change after the cut-off date as loans amortise, prepay, default or are repurchased.

The Issuer may become subject to insolvency or restructuring proceedings, and the security may be affected by the ranking of fixed and floating charges.

The Issuer has been structured as a bankruptcy-remote entity: its activities are restricted by its articles and the Transaction Documents, its creditors have agreed to non-petition and limited recourse provisions, its directors include directors provided by the Corporate Services Provider, and its shares are held by Holdings, whose shares in turn are held by Pellam Corporate Services Ltd on a discretionary trust. These measures reduce, but do not eliminate, the risk that the Issuer will become insolvent or subject to insolvency proceedings, for example as a result of a claim by a creditor which is not party to the Transaction Documents, such as a tax authority or a claimant in litigation.

The Issuer has granted fixed security over the loans, its rights under the Transaction Documents and its accounts, and a floating charge over the whole of its undertaking. Under English insolvency law, whether a charge expressed to be fixed takes effect as a fixed charge depends on the degree of control exercised by the chargee over the charged assets, and a charge over book debts and their proceeds which the chargor is free to use in the ordinary course of business may be recharacterised as a floating charge. If any of the security were recharacterised as floating, amounts realised from it would be available first to meet the expenses of any insolvency proceeding, the claims of preferential creditors (which since 2020 include certain amounts owed to HM Revenue & Customs as secondary preferential debts) and the prescribed part reserved for unsecured creditors, before the Trustee could apply them for the Noteholders. The Issuer, as a special purpose vehicle with no employees and with obligations to HMRC under the regime described in section 19, does not expect significant preferential claims, but this cannot be assured.

The Issuer is party to a capital market arrangement within the meaning of the Insolvency Act 1986. On that basis, the Trustee is entitled to appoint an administrative receiver of the Issuer under the capital market exception to the prohibition on such appointments, and the Issuer is expected to be excluded from the moratorium available to eligible companies under Part A1 of the Insolvency Act 1986. The availability of these exceptions depends on the detailed requirements of the legislation, which may be amended. The Issuer could also become subject to a restructuring plan under Part 26A of the Companies Act 2006, under which a court may sanction a compromise binding dissenting classes of creditors, including Noteholders, if the statutory conditions are met. Any such proceedings could delay or reduce payments on the Notes.

2.2 Risks relating to the loans

Borrowers may fail to pay the amounts due under the Loan Agreements, and the Issuer bears the credit risk of the Borrowers.

The ability of each Borrower to make the payments due under its Loan Agreement depends on the Borrower's income, employment, other financial commitments and personal circumstances, any of which may change over the life of the loan. Events such as unemployment, a reduction in working hours or earnings, illness, disability, death, relationship breakdown, an increase in housing or energy costs, or the accumulation of other debt may reduce a Borrower's ability or willingness to pay. Motor finance is generally regarded by consumers as a priority debt because the Vehicle is often needed for work, but a Borrower in financial difficulty may nevertheless fall into arrears and default. When a loan defaults, as defined in section 11, it leaves the Pool Balance and the Issuer depends on recoveries, mainly from the sale of the Vehicle, to recover part of its defaulted balance.

The Issuer bears the full credit risk of the Borrowers. No credit insurance, guarantee or other credit support has been obtained by the Issuer in respect of any loan. The rate of default on the loans may be higher than the rates experienced by the Originator historically or assumed by the Rating Agencies, and higher defaults will reduce the amounts available to pay the Notes, as described in section 2.1.

The credit scores and underwriting criteria used by the Originator may not predict the performance of the loans.

The Originator underwrote each loan in accordance with its lending policy at the time of origination, using a combination of credit reference agency data, its own application scorecards, affordability assessments and fraud checks, as described in section 9. The credit scores shown in section 10 are those recorded on the Originator's systems at origination or at the latest update and reflect the scoring model in use at that time; they are not a uniform measure and are not comparable with scores calculated by other lenders or credit reference agencies. A credit score is a statistical estimate of the likelihood of default based on past behaviour and does not take into account events which have occurred since the score was calculated.

The Originator's lending policy has changed over time and may continue to change, and the loans in the portfolio were originated under different versions of it. The affordability rules in the FCA's Consumer Credit sourcebook ("CONC") require a lender to assess the creditworthiness of the customer and the affordability of the credit, but an assessment made at origination relies on information supplied by the Borrower and by third parties which may be incomplete, inaccurate or, in the case of fraud, false. There can be no assurance that the underwriting process identified all Borrowers who would be unable to meet their obligations.

The portfolio is concentrated in particular regions of the United Kingdom, and a regional downturn could increase losses.

The geographical distribution of the Borrowers at the cut-off date, by region of residence, is shown in the regional distribution table in section 10. Certain regions represent a larger share of the Pool Balance than others. A deterioration in economic conditions in a region in which there is a concentration of Borrowers, such as the closure of a major employer, a regional rise in unemployment, or a local natural event such as flooding, may have a disproportionate effect on the performance of the loans. The regions also differ in their levels of household income and indebtedness, in the density and condition of their used car markets, which affect the speed and price of Vehicle sales, and in local transport policies, such as clean air and low emission zones, which may affect the value and use of certain Vehicles (see below).

The portfolio includes loans to Borrowers resident in Scotland and in Northern Ireland. The

CCA applies throughout the United Kingdom, but the law relating to the transfer of the loans, the recovery of debts and the enforcement of court orders differs in those jurisdictions from the law of England and Wales. The procedures for recovering Vehicles and enforcing judgments in those jurisdictions may take longer or cost more than in England and Wales, and the transfer of the Scottish loans to the Issuer is made by a different legal mechanism, as described in section 2.3.

The loans were originated through a network of motor dealers, and problems affecting a dealer, a dealer group or a vehicle manufacturer could affect a number of loans together.

The Originator originates loans through motor dealers acting as credit brokers, which introduce customers who wish to finance the purchase of a vehicle from the dealer, and the portfolio may include loans introduced by a limited number of large dealer groups. Concentrations of this kind expose the Issuer to the conduct and solvency of those dealers. Misconduct by a dealer at the point of sale, such as mis-selling, failure to disclose commission, fraud or misdescription of a Vehicle, may give rise to claims by the Borrowers concerned against the Originator as creditor which, as described in section 2.3, may be exercisable against the Issuer by way of set-off or under section 56 or section 140A of the CCA. The insolvency of a dealer may also cause Vehicle warranties and service plans sold alongside the finance to fail, which may lead Borrowers to dispute or delay payments.

The portfolio also includes concentrations of Vehicles of particular manufacturers, models and fuel types. A product recall, the discovery of a design defect, the withdrawal of a manufacturer or brand from the United Kingdom, the failure of a manufacturer's dealer network, or a sharp reduction in the new vehicle prices of a manufacturer may reduce the value of the Vehicles of that manufacturer and therefore the recoveries and the residual value proceeds received by the Issuer. Where the Originator has arrangements with a manufacturer, for example for subsidised interest rates, the termination of those arrangements may also affect the Originator's business and its ability to continue as Servicer.

PCP Agreements require a Balloon Payment at the end of the term, and Borrowers may return the Vehicle instead of paying it, exposing the Issuer to the residual value of the Vehicle.

Under a PCP Agreement, the monthly instalments repay only part of the amount financed and the final payment due at the end of the term (the "Balloon Payment", also called the optional final payment) is set at origination by reference to the Originator's estimate of the future value of the Vehicle at the end of the agreement, taking into account its expected age and the annual mileage agreed with the Borrower. The aggregate amount of the Balloon Payments in the portfolio at the cut-off date is shown in section 10. At the end of the term the Borrower may pay the Balloon Payment and acquire title to the Vehicle, refinance the Balloon Payment, often with a new PCP Agreement on another vehicle through the same dealer, or return the Vehicle in satisfaction of the Balloon Payment, subject to charges for excess mileage and for damage beyond fair wear and tear.

A Borrower has an economic incentive to return the Vehicle when its market value is lower than the Balloon Payment. If the market value of used vehicles at the end of the PCP Agreements is lower than the values assumed at origination, a larger proportion of Borrowers will return their Vehicles, and the proceeds of sale of those Vehicles will be lower than the Balloon Payments which they replace. The shortfall between the Balloon Payment and the net sale proceeds of a returned Vehicle (a "Residual Value Loss") is borne by the Issuer. The Originator gives no guarantee of the residual value of any Vehicle to the Issuer, and Residual Value Losses are not covered by any insurance or by any manufacturer guarantee in favour of the Issuer.

Residual Value Losses are concentrated in time, because they arise at the maturity of the PCP Agreements, and they are correlated, because a fall in used vehicle prices affects all Vehicles

of a given type at the same time. A large number of PCP Agreements maturing in a period of weak used vehicle prices may therefore produce substantial losses within a short time. Because returned Vehicles are not defaults within the meaning of section 11, Residual Value Losses may not be reflected in the cumulative default ratio used in the trigger tests in section 16, although they reduce the Available Funds and may give rise to a Principal Deficiency. The Originator's residual value setting policy, and the risk that its estimates were too high for particular models or fuel types, are discussed in section 9 and in the risk factor on electric vehicles below.

Borrowers have a statutory right to terminate their agreements voluntarily under sections 99 and 100 of the CCA, which may leave the Issuer with a loss on the Vehicle.

Section 99 of the CCA gives the debtor under a regulated hire purchase or conditional sale agreement the right to terminate the agreement at any time before the final payment falls due, by giving notice to the creditor, and to return the goods. Both the HP Agreements and the PCP Agreements are regulated hire purchase agreements to which this right applies. Under section 100 of the CCA, the Borrower's liability on voluntary termination is limited, in general, to the amount needed to bring the total payments made to one-half of the total price payable under the agreement, together with any arrears and compensation for any failure to take reasonable care of the Vehicle. A court may order a smaller payment if it is satisfied that the creditor's loss is less. Once a Borrower has paid one-half of the total price, the Borrower may return the Vehicle with no further liability, other than for damage.

For PCP Agreements, the total price includes the Balloon Payment, so that the half-way point is reached later in the term than under an HP Agreement of the same amount, but the outstanding balance at that point is still large, because the Balloon Payment has not been paid. Where the value of the Vehicle is lower than the outstanding balance at the time of voluntary termination, the Issuer will suffer a loss equal to the difference between the balance and the net proceeds of sale of the returned Vehicle, plus any payment which the Borrower is obliged to make under section 100. Voluntary termination rights are exercised more frequently when used vehicle prices fall, when Borrowers face financial difficulty or when Borrowers wish to change their Vehicle, and they have received wide publicity, in part through claims management companies and consumer media. The risk is greatest for loans with a high loan-to-value ratio at origination and for Vehicles whose values have depreciated faster than expected.

The amount recovered from the sale of Vehicles after default or return may be lower than expected, and recoveries may be delayed.

When a loan defaults, the Servicer may terminate the Loan Agreement and repossess the Vehicle, sell it, usually through an auction or online remarketing channel, and pursue the Borrower for any shortfall, in accordance with its collection policies described in section 13. The amount recovered depends on the condition, age and mileage of the Vehicle at the time of recovery, the state of the used car market, the costs of recovery, storage, preparation and sale, and the ability of the Borrower to pay any shortfall. Vehicles recovered after a default are frequently in worse condition than average and may have been damaged, stripped of equipment, untaxed or uninsured. Some Vehicles cannot be located, have been sold to third parties, exported or written off, and the Issuer may recover nothing in respect of them other than any amounts paid by the Borrower or an insurer. The recovery assumption stated in section 11 is an expectation of the Servicer and is not guaranteed.

The repossession of a Vehicle is subject to the restrictions of the CCA. Under section 87 the creditor must serve a default notice and give the Borrower at least 14 days to remedy the breach before terminating the agreement or recovering the goods. Under section 90, once the Borrower has paid at least one-third of the total price, the Vehicle becomes "protected goods" and the creditor may not recover possession without a court order unless the Borrower consents or terminates

the agreement. Under section 92, the creditor may not enter premises to take possession of the Vehicle without a court order. A creditor who recovers protected goods in breach of section 90 loses its right to any further payment and must repay the sums paid. The need to obtain court orders, and any time orders granted by the court under section 129 of the CCA, may delay recoveries significantly and increase their costs.

The FCA's rules and guidance on the treatment of customers in arrears or default, including those in CONC 7 and the Consumer Duty, require the Servicer to treat Borrowers in financial difficulty with forbearance and due consideration, to consider alternatives to repossession, and to treat repossession as a last resort. Compliance with these requirements may delay or reduce recoveries. Delays in recoveries mean that defaulted balances remain unpaid for longer, increasing the time during which a Principal Deficiency may be outstanding.

The value of electric and hybrid Vehicles, and of petrol and diesel Vehicles, is exposed to the transition away from internal combustion engines.

The portfolio includes loans secured on battery electric Vehicles, hybrid Vehicles, petrol Vehicles and diesel Vehicles in the proportions shown in the fuel type distribution table in section 10. The United Kingdom has legislated for a transition to zero emission vehicles. The zero emission vehicle mandate requires manufacturers to ensure that a rising proportion of their new car sales in Great Britain are zero emission, with the sale of new cars powered solely by petrol or diesel to end in 2030 and the sale of new hybrid cars to end in 2035. These policies, together with changes in vehicle excise duty, in company car taxation, in the availability of grants for electric vehicles, and proposals for distance-based charging of electric vehicles, will affect the relative demand for, and value of, Vehicles of different fuel types over the life of the loans. Their timing and content have changed more than once and may change again.

Used battery electric vehicles have experienced in recent years faster and more volatile depreciation than comparable petrol vehicles, as a result of rapid price reductions on new electric vehicles by manufacturers, discounting required to meet the zero emission vehicle mandate, technological improvement which makes older models less attractive, uncertainty about battery health and replacement cost, and the limited depth of the used electric vehicle market. Residual values set at origination for electric Vehicles may therefore prove too high, increasing the likelihood of hand-backs and Residual Value Losses at the end of PCP Agreements and the losses on voluntary terminations and recoveries. The Originator's valuation of electric Vehicles depends on the availability of reliable battery health data, which is not yet standard in the used car market.

Diesel and older petrol Vehicles face different risks. Clean air zones, the ultra low emission zone in London and similar schemes in other cities impose daily charges on vehicles which do not meet the relevant emission standards, and such schemes may be extended or tightened. Demand for these Vehicles in the used market may fall as the transition progresses and as the supply of charging infrastructure increases. Conversely, if the transition slows, used electric vehicle values may fall further relative to other fuel types. The combined effect of these factors on the portfolio cannot be predicted.

Borrowers may settle their loans early, and the rate of prepayment cannot be predicted.

A Borrower under a regulated agreement has the statutory right under section 94 of the CCA to discharge its indebtedness early, in whole or in part, at any time, by notice to the creditor and payment of the amount due. On early settlement, the Borrower is entitled to a rebate of charges for credit calculated in accordance with the Consumer Credit (Early Settlement) Regulations 2004, and the creditor may in certain circumstances claim compensation for the cost of early repayment only within the limits set by section 95A of the CCA. Borrowers commonly settle their loans early when they part-exchange their Vehicle for another vehicle, when they sell their

Vehicle privately, or when their Vehicle is written off and the insurance proceeds are applied to the settlement amount.

Early settlements are passed to the Issuer as principal collections and accelerate the repayment of the Notes, as described in section 2.1. A higher rate of prepayment will shorten the weighted average lives of the Notes and reduce the total interest received by the Issuer over the life of the transaction, and therefore the total excess spread available. The rate of prepayment is affected by the behaviour of motor dealers, which may encourage Borrowers to change their Vehicles before the end of their agreements, by manufacturers' sales campaigns, by interest rates and by the redress and litigation developments described in section 2.3, which may cause Borrowers to settle or refinance their agreements.

Borrowers may be entitled to set off claims against the Originator against amounts due under their loans, and the Issuer would bear the resulting reduction in collections.

The sale of the loans to the Issuer takes effect as an equitable assignment, and Borrowers will not be notified of it unless a perfection event occurs, as described in section 2.3. Until notice of the assignment is given to a Borrower, the Borrower may set off against the amounts due under its Loan Agreement any claim which it has against the Originator, whether or not connected with the Loan Agreement. After notice is given, the Borrower may continue to set off claims which arise out of the Loan Agreement itself or are closely connected with it, and claims against the Originator which accrued before the notice. Claims of this kind include claims for damages for breach of the implied terms as to the quality and fitness of the Vehicle, claims under section 56 of the CCA, under which the dealer is treated as the agent of the creditor in the negotiations before the agreement, claims arising from an unfair relationship under section 140A, and claims for redress for undisclosed or unfair commission (see section 2.3).

The exercise of a right of set-off reduces the amount which the Borrower pays and therefore the collections of the Issuer. The Seller has agreed in the Transaction Documents to pay to the Issuer an amount equal to any reduction in the amount received from a Borrower as a result of the exercise of a right of set-off against the Seller, or of a reduction in the balance of a loan made by the Seller in settlement of a complaint or redress claim (a "Deemed Collection"). The Issuer's protection against set-off risk therefore depends on the creditworthiness of the Seller, and if the Seller becomes insolvent the Issuer will have only an unsecured claim against it for any Deemed Collection which it has failed to pay.

The proportion of new and used Vehicles in the portfolio affects its credit and residual value performance.

The portfolio includes loans for the purchase of new Vehicles and of used Vehicles in the proportions shown in the vehicle type distribution table in section 10. Loans for new Vehicles are often subsidised by manufacturers, are typically larger and have a higher proportion of PCP Agreements with larger Balloon Payments, and their Vehicles depreciate most rapidly in the first years after registration. Loans for used Vehicles are typically smaller, but have historically been made to Borrowers with a weaker credit profile, carry higher interest rates and have shown higher rates of default. Used Vehicles are more likely to need repairs, which may lead to disputes about their quality, and their values are more dispersed and harder to estimate. A change in the mix of the portfolio as loans amortise, prepay or default may change its credit and residual value profile, and the performance of either segment may diverge from historical experience.

Loans with high loan-to-value ratios expose the Issuer to a larger loss if the Borrower defaults early in the life of the loan.

The original loan-to-value ratio of each loan, being the amount financed divided by the value of the Vehicle at origination, is shown in the original loan-to-value distribution table in section

10, and the eligibility criteria in section 11 set a maximum ratio. A vehicle typically loses a substantial part of its value in its first years, and the outstanding balance of a loan with a high loan-to-value ratio, particularly a PCP Agreement, may remain above the value of the Vehicle for much of its term. A Borrower who has little or no equity in the Vehicle has less incentive to continue paying in financial difficulty, more incentive to exercise the right of voluntary termination, and, if the loan defaults, the Issuer's loss will be larger. The amount financed may also include the cost of insurance products, service plans or other add-ons sold with the Vehicle, which have no resale value. The eligibility criteria include requirements as to seasoning and remaining instalments, but loans with relatively short seasoning carry a higher risk of early default than mature loans.

The Issuer may lose its title to a Vehicle if a Borrower sells it to a private purchaser in breach of the Loan Agreement.

Under an HP Agreement or a PCP Agreement, the creditor owns the Vehicle until the Borrower has paid all amounts due and exercised the option to purchase. The Seller has assigned to the Issuer, or holds on trust for it, its rights in relation to the Vehicles, as described in section 12. Under Part III of the Hire-Purchase Act 1964, however, a private purchaser who buys a motor vehicle in good faith and without notice of the hire purchase agreement from a debtor under that agreement acquires good title to the vehicle. If a Borrower sells a Vehicle in breach of its agreement, the Issuer may lose its ability to recover the Vehicle and will have only a claim against the Borrower. The Originator registers its interest in each Vehicle with the industry vehicle finance register, which allows trade purchasers to check whether a vehicle is subject to finance, but registration does not prevent sales to private purchasers. Vehicle fraud, including cloning, false identity applications and the export of financed vehicles, may also lead to losses for which the Issuer has no recourse other than to the Seller under the loan warranties.

Forbearance, payment arrangements and payment holidays may reduce or delay collections.

The Servicer offers forbearance to Borrowers in financial difficulty in accordance with its collection policies described in section 13 and with the FCA's rules, which require a creditor to consider the individual circumstances of the customer and the range of forbearance options available, including reductions in or suspension of payments, the waiver of interest or charges, and the extension of the term. Forbearance may reduce the interest and principal received by the Issuer, extend the life of the loans beyond their scheduled maturity and delay the identification of loans which will ultimately default. Loans subject to forbearance may continue to be reported as performing for the purposes of the trigger tests in section 16 while their collections are reduced.

During the coronavirus pandemic, the FCA required consumer credit firms, including motor finance lenders, to offer payment deferrals to customers affected by the pandemic without assessing their creditworthiness and to suspend repossessions for a period. Similar measures could be imposed in response to a future pandemic, natural disaster, economic shock or other emergency, and could affect a large number of loans at once, reducing collections over several Collection Periods to an extent which the Reserve Fund may not cover.

The Issuer relies on the loan warranties given by the Seller and on the Seller's ability to repurchase loans which breach them.

The Seller has given loan warranties to the Issuer as at the cut-off date and the Closing Date, which are described in section 12, including warranties that each loan met the eligibility criteria in section 11, was originated in compliance with the CCA and the applicable FCA rules, and is enforceable. The Issuer, the Trustee and the Arranger have not carried out, and will not carry out, any investigation into whether the warranties are true. If a warranty is breached and the breach is not remedied, the Seller is obliged to repurchase the loan or to indemnify the Issuer,

as described in section 12. This is the only remedy of the Issuer for a breach. The value of the remedy depends on the continuing solvency of the Seller and on its ability to fund the repurchase price; no person guarantees the Seller's obligations, and if the Seller is unable to pay, the Issuer will bear the loss.

The warranties are given only as at the dates stated and do not cover events which occur after those dates, such as a change in law which renders a loan unenforceable, the later failure of the Servicer to comply with the CCA, or a change in the regulatory treatment of commission. The warranties may also be qualified by reference to the Seller's knowledge. Breaches which are identified only after the Seller's repurchase obligation has expired, or which arise from matters not covered by the warranties, will not be remedied.

2.3 Legal and regulatory risks

A Loan Agreement which does not comply with the CCA may be unenforceable, or enforceable only with the permission of the court, and the Borrower may recover amounts paid.

Each of the loans is a regulated credit agreement for the purposes of the Financial Services and Markets Act 2000 ("FSMA") and the CCA, and its form, content and execution are governed by the CCA, by the regulations made under it, including the Consumer Credit (Agreements) Regulations 2010 and the Consumer Credit (Disclosure of Information) Regulations 2010, and by the FCA's rules in CONC. Under section 61 of the CCA, an agreement is properly executed only if it is in the prescribed form, contains all the prescribed terms and conforms to the regulations, is signed in the prescribed manner by the debtor and by or on behalf of the creditor, and is in a state in which all its terms are readily legible when presented for signature. Under section 65, an improperly executed agreement is enforceable against the debtor only on an order of the court. Under section 127, the court must dismiss an application for an enforcement order if it considers it just to do so, having regard to the prejudice caused by the contravention and the degree of culpability for it, and may reduce or discharge any sum payable by the debtor to compensate it for prejudice suffered.

The Originator uses standard form agreements and an electronic signature process for most loans, and has warranted that each Loan Agreement complies with the CCA, as described in section 12. Nevertheless, technical requirements of the CCA are detailed and have been the subject of extensive litigation, including on the calculation and disclosure of the annual percentage rate and the total amount payable, the content of pre-contract information, the description of the right of withdrawal under section 66A, and the treatment of charges for optional products. Errors in the Originator's documentation or systems may affect a large number of loans at once. If a court were to hold that a type of Loan Agreement used by the Originator is improperly executed, the loans concerned would be unenforceable without a court order, Borrowers may cease paying, and claims management companies may encourage them to do so. The Issuer would depend on the Seller's repurchase obligation and on its solvency to recover the resulting loss.

In addition, a creditor who enters into a regulated credit agreement through an unauthorised credit broker, or which is itself not authorised, may be unable to enforce it without the approval of the FCA under sections 26 to 28 of FSMA. The Originator is authorised by the FCA, and the Seller has warranted that each loan was introduced by a broker holding the required permission, but a breach of this requirement could make the affected loans unenforceable.

A failure by the Servicer to comply with the CCA information requirements during the life of a loan may prevent the Issuer from enforcing it and from charging interest.

The CCA imposes continuing information requirements on the creditor under a regulated agreement. These include the obligation under section 77A to provide the debtor with an annual statement in the prescribed form, the obligation under section 86B to give notices of sums in

arrears in the prescribed form when the arrears reach the specified level, the obligation under section 86C to give notices of default sums, and the requirement under section 86E that default interest may be charged only as simple interest. Under section 77A, a creditor who fails to give an annual statement is unable to enforce the agreement during the period of non-compliance, and the debtor has no liability to pay any interest or default sum for that period. Under section 86D, similar consequences apply to a failure to give an arrears notice when required. A failure to give the information required by section 77, on the debtor's request, also prevents enforcement while the failure continues.

These obligations are performed by the Servicer on behalf of the Issuer. A systems error affecting the content, format or timing of statements or notices may affect a large number of loans and may not be identified for some time, so that the loss of interest may relate to a long period. Although a breach of these requirements may often be remedied by the issue of corrected statements, the interest attributable to the period of non-compliance is not recoverable and may have to be refunded. The Servicer has agreed to indemnify the Issuer against losses arising from its failure to comply with its obligations under the Servicing Agreement, but the value of that indemnity depends on the Servicer's solvency.

A court may find that the relationship between a Borrower and the creditor is unfair and may order the creditor to repay amounts to the Borrower or reduce the amounts owed.

Under sections 140A to 140C of the CCA, a court may determine that the relationship between a creditor and a debtor arising out of a credit agreement is unfair to the debtor because of any of the terms of the agreement, the way in which the creditor has exercised or enforced its rights, or any other thing done or not done by or on behalf of the creditor, before or after the making of the agreement. Once the debtor alleges that the relationship is unfair, the burden of proving the contrary lies on the creditor. If the court makes a determination of unfairness, it may make a wide range of orders, including requiring the creditor, or any associate or former associate of the creditor, to repay sums paid by the debtor, reducing or discharging any sum payable by the debtor, or altering the terms of the agreement. The provisions apply to the relationship as it exists at the time of the determination and may be applied to agreements which have been repaid in full.

The Issuer, as assignee, is the creditor under the Loan Agreements for the purposes of the CCA, and a court may make an order under section 140B against the Issuer in respect of acts or omissions of the Originator or of a dealer acting as credit broker before the sale of the loans. Matters which may give rise to an unfair relationship include the non-disclosure of commission paid to the dealer, its nature or its amount, the existence of tied or exclusive arrangements between the lender and the dealer, mis-selling of the finance or of add-on products, and unfair collection practices. The Supreme Court in its judgment of August 2025 in the joined motor finance appeals held that dealers acting as credit brokers did not owe the fiduciary duties which would have supported claims in bribery or for breach of fiduciary duty, but confirmed that the non-disclosure of a commission arrangement can, depending on the circumstances, render the relationship unfair under section 140A. The outcome of claims of this type depends on the facts of each case. The Seller's obligation to pay Deemed Collections and to indemnify the Issuer, and its loan warranties, are the Issuer's protection against this risk.

Because the creditor under an HP Agreement or a PCP Agreement is also the supplier of the Vehicle, Borrowers may bring claims relating to the quality of the Vehicle against the Issuer.

Under a hire purchase agreement, the creditor is the owner and supplier of the goods. The terms implied by the Consumer Rights Act 2015 into contracts for the hire purchase of goods with consumers, as to the satisfactory quality and fitness for purpose of the goods and their conformity with their description, are therefore given by the creditor, and a Borrower whose

Vehicle is defective may claim against the creditor and, in appropriate cases, reject the Vehicle, claim a price reduction or require repair or replacement. The rights of a consumer under the Consumer Rights Act 2015 include a short-term right to reject within 30 days and a final right to reject if a repair or replacement fails. A Borrower who rejects the Vehicle may cease making payments and may be entitled to a refund of amounts paid, subject to a deduction for use in some cases. These rights apply to the Issuer as assignee of the Loan Agreements.

Disputes relating to the quality of Vehicles, in particular used Vehicles and electric Vehicles whose batteries develop faults, are a significant source of complaints to motor finance lenders and of referrals to the Financial Ombudsman Service. Although the dealer is ultimately responsible to the Originator for defects under the dealer agreements, the Issuer has no direct rights against the dealer, and its losses from such claims will be recoverable only through the Seller's obligation to pay Deemed Collections or to repurchase the affected loans.

The FCA's review of historical motor finance commission arrangements, its industry-wide redress scheme and related complaints and litigation may result in redress payments, reductions in loan balances and costs which may affect the Originator and the collections on the loans.

Following the FCA's ban, with effect from January 2021, on discretionary commission arrangements under which a credit broker could adjust the interest rate payable by the customer and so increase its commission, a large number of complaints were made to lenders and to the Financial Ombudsman Service about the non-disclosure of commission on historical motor finance agreements. In January 2024 the FCA began a review of historical discretionary commission arrangements and paused the time limits for lenders to respond to related complaints. Following the Supreme Court's judgment of August 2025 described above, the FCA consulted on, and in 2026 confirmed, an industry-wide consumer redress scheme under section 404 of FSMA (the "Redress Scheme"). As at the date of this prospectus, the Redress Scheme applies to regulated motor finance agreements entered into between April 2007 and November 2024 where the arrangement between the lender and the broker involved a discretionary commission arrangement, commission above the thresholds set by the FCA in relation to the cost of credit and the amount of the loan, or a tied or exclusive arrangement that was not adequately disclosed. Under the Redress Scheme, firms are required to identify affected customers, including those who have not complained, to assess whether redress is due using the methodology and the presumptions set by the FCA, and to pay redress with interest within the timetable set by the FCA. Aspects of the Redress Scheme, in particular in relation to older agreements, have been subject to legal challenge, and its implementation, timing and scope may change.

The portfolio includes loans originated before November 2024 which may fall within the scope of the Redress Scheme if the relevant commission arrangement meets its criteria. The Originator did not use discretionary commission arrangements in respect of any loan in the portfolio, because all such loans were originated after the FCA's ban took effect, but certain loans were introduced by dealers under commission or exclusivity arrangements which may fall within the other categories of the Redress Scheme, as described in section 8. Where redress is due on a loan which remains outstanding, the Originator may pay it in cash to the Borrower or apply it as a reduction of the balance outstanding. Any such reduction will be treated as a Deemed Collection which the Seller must pay to the Issuer. Borrowers may also seek to set off redress amounts against the instalments due, and claims management companies and law firms may encourage Borrowers to withhold payments pending the outcome of their claims.

Liability for redress under the Redress Scheme rests with the Originator as the lender which entered into the agreements and paid the commission, and the Transaction Documents provide that the Originator retains responsibility for all complaints, redress and costs relating to the origination of the loans. The total cost of redress for the motor finance industry has been estimated

by the FCA at several billion pounds, and a material redress liability, the costs of administering the Redress Scheme, and the related operational demands may affect the Originator's financial position, its ability to pay Deemed Collections and to repurchase loans, and its ability to continue as Servicer. The Originator's assessment of its exposure to the Redress Scheme, and its provisions for it, are described in section 8. There can be no assurance that those provisions will prove sufficient. Borrowers who are not satisfied with the outcome of the Redress Scheme may complain to the Financial Ombudsman Service and may bring court proceedings, and the FCA's review, any future judgment of the courts or any further regulatory action may extend liability to other forms of commission or to other categories of agreement.

The FCA's Consumer Duty and other conduct rules may require the Servicer to change its treatment of Borrowers in ways which reduce the collections on the loans.

The FCA's Consumer Duty, set out in Principle 12 and PRIN 2A of the FCA Handbook, has applied to products and services which are open to sale since July 2023 and to closed products since July 2024. It requires firms to act to deliver good outcomes for retail customers, including by avoiding foreseeable harm, ensuring that products provide fair value and supporting customers in financial difficulty. The Consumer Duty applies to the Servicer in respect of the loans, including the loans which are owned by the Issuer, and it may also apply to the Issuer to the extent that it is treated as a manufacturer or distributor of the loans. The FCA has identified motor finance, the treatment of borrowers in financial difficulty and the fair value of charges and ancillary products as areas of supervisory focus.

Compliance with the Consumer Duty may require the Servicer to review the fair value of the interest rates, fees and charges under the Loan Agreements, including the charges for excess mileage and damage on returned PCP Vehicles, to waive or refund charges, to extend forbearance, to change its collection and repossession practices and to remediate customers where it identifies that outcomes have been poor. Any such action may reduce or delay the collections of the Issuer. A failure by the Servicer to comply with the Consumer Duty may also lead to FCA enforcement action or restrictions on its business. The Transaction Documents permit the Servicer to take action required by law or by the FCA, even if it reduces collections, and the Issuer will bear the consequences except to the extent that they are covered by the Seller's obligation to pay Deemed Collections.

The Issuer and the Servicer are subject to the regulatory regime for consumer credit, and changes in that regime may adversely affect the loans and the Noteholders.

Entering into regulated credit agreements as lender, and exercising or having the right to exercise the lender's rights and duties under them, are regulated activities under FSMA, as are debt collection and debt administration. The Issuer is not authorised by the FCA, and it relies on the exclusion in the Financial Services and Markets Act 2000 (Regulated Activities) Order 2001 which permits a person who is not authorised to exercise the lender's rights under a regulated credit agreement where the activity is carried on by an authorised person with the necessary permission. The Servicer holds the permissions required to service the loans on behalf of the Issuer. If the Servicer ceases to hold those permissions, or its appointment is terminated, any substitute servicer must hold them, and if no suitably authorised servicer is appointed, the Issuer may be unable to exercise its rights under the loans without itself becoming authorised, which could delay enforcement and collections.

The FCA has wide powers to make rules, issue guidance and take action against regulated firms, including the power to require redress, impose restrictions on a firm's business and vary its permissions. The rules in CONC on creditworthiness assessment, arrears and default, forbearance, the treatment of vulnerable customers and the recovery of goods may be amended at any time, and new rules may apply to existing agreements. HM Treasury has announced a programme

of reform of the CCA, with the aim of replacing many of its detailed requirements, including the sanctions of unenforceability and loss of interest, with FCA rules. The content and timing of that reform are not yet known. Any reform may change the rights of Borrowers and creditors under the loans and the remedies available to them, and the transitional provisions may affect existing agreements, including the loans.

Borrowers may refer complaints to the Financial Ombudsman Service, which may make awards on the basis of what it considers fair and reasonable rather than on the basis of the law alone.

Borrowers are entitled to refer complaints about the Originator, the Servicer and, in respect of the loans, the Issuer to the Financial Ombudsman Service (the "FOS") under Part XVI of FSMA. The FOS determines complaints by reference to what is, in its opinion, fair and reasonable in all the circumstances of the case, taking into account the law, regulations, regulators' rules and guidance, codes of practice and good industry practice, and it is not bound by its own previous decisions. It may make a money award up to the statutory limit and may direct the firm to take such steps as it considers just and appropriate. Its determinations are binding on the firm if accepted by the complainant. As a result, the FOS may order redress in circumstances in which a court would not, and it may reach different outcomes on similar complaints.

Motor finance has been one of the largest sources of complaints to the FOS in recent years, driven in large part by commission complaints, many of them submitted by claims management companies and professional representatives. The handling of commission complaints is now subject to the Redress Scheme, but complaints about affordability, vehicle quality, voluntary termination, end-of-contract charges and collection practices continue to be referred to the FOS. A determination of the FOS on a type of complaint may lead to a large number of similar complaints against the Originator and may have the effect of changing the Servicer's practices across the portfolio. Any award relating to a loan which reduces the amount payable by the Borrower is a Deemed Collection payable by the Seller, and the Issuer is exposed to the Seller's ability to pay it.

Terms of the Loan Agreements may be found to be unfair under the Consumer Rights Act 2015 and may not be binding on Borrowers.

Part 2 of the Consumer Rights Act 2015 provides that a term of a consumer contract which is unfair is not binding on the consumer. A term is unfair if, contrary to the requirement of good faith, it causes a significant imbalance in the parties' rights and obligations to the detriment of the consumer. The main subject matter and price of the contract are excluded from the assessment of fairness only if the term is transparent and prominent. The FCA and the Competition and Markets Authority have powers to challenge the use of unfair terms, and the courts must consider the fairness of a term of their own motion. Terms which may be at risk include those relating to default charges, the calculation of amounts payable on termination, charges for excess mileage and damage on return of a Vehicle, and the creditor's right to vary the agreement. If any such term were held to be unfair, the Issuer may be unable to recover the amounts payable under it and may have to refund amounts already collected.

The processing of Borrowers' personal data is subject to data protection law, and a breach of that law may give rise to claims, fines and restrictions on the use of data.

The Servicer processes personal data relating to Borrowers in servicing the loans, and the Issuer and the other transaction parties receive personal data to the extent necessary for the transaction, including the loan-level data which must be made available to investors under the UK securitisation rules in an anonymised form. The processing of personal data is subject to the UK General Data Protection Regulation, the Data Protection Act 2018 and the Data (Use and Access) Act 2025. A breach of those requirements, including a cyber attack or other data security incident at the Servicer or another transaction party, may result in fines imposed by the

Information Commissioner, claims for compensation by Borrowers and reputational harm, and may restrict the transfer of data needed to appoint a substitute servicer or to report to investors. Fines and claims against the Issuer would rank ahead of payments on the Notes to the extent that they are payable as expenses under section 15.

The insolvency of the Originator or the Servicer may delay or reduce payments to the Issuer.

The Originator is a company incorporated in England and Wales and is not a bank or deposit-taker, so it would be subject to the general insolvency regime of the Insolvency Act 1986 rather than to a special resolution regime. If the Originator became subject to administration, liquidation or a restructuring plan, or to a moratorium under Part A1 of the Insolvency Act 1986, the appointed office-holder would control its assets and operations, including the systems, staff and records needed to service the loans, and the collections held in its accounts. An administrator would typically be expected to continue servicing the loans for a period, since the Originator's group would continue to own other motor finance receivables, but there can be no assurance that it would do so effectively or at all. The insolvency of the Originator would also end the Seller's ability to pay Deemed Collections, to repurchase loans and to fund the Clean-Up Call, and would leave the Issuer with only unsecured claims for those amounts.

An insolvency office-holder could seek to challenge the sale of the loans to the Issuer, as described in the next risk factor, or to set aside it as a transaction at an undervalue under section 238 of the Insolvency Act 1986 or a preference under section 239. The Originator has represented that it is solvent and received full value for the loans, and the purchase price was determined on an arm's length basis, but there can be no assurance that such a challenge would not be made. The insolvency of the Originator may also trigger a Servicer Termination Event (as defined below) and the perfection events described below, with the consequences set out in section 2.4.

The sale of the loans may be recharacterised as a secured loan, and the equitable assignment of the loans is subject to the interests of third parties until it is perfected.

The Originator has sold the loans to the Issuer under the receivables sale agreement (the "Sale Agreement"). The sale of the loans governed by English law and Northern Irish law takes effect as an equitable assignment, and the sale of the loans governed by Scots law takes effect through a declaration of trust by the Originator in favour of the Issuer, because an assignation of the Scottish loans would require intimation to each Borrower. The legal title to the loans remains with the Originator, and the Borrowers will not be notified of the sale, until a perfection event occurs, including the insolvency of the Originator, the termination of the appointment of the Servicer, or a request by the Trustee where the security is in jeopardy, as described in section 12 (each a "Perfection Event"). Until perfection, the Issuer's interest in the loans is subject to any prior equitable interests and to the rights of Borrowers to discharge their obligations by paying the Originator, the rights of set-off described in section 2.2, and the risk that a subsequent legal assignee without notice of the Issuer's interest acquires priority. The Issuer will also be unable to sue Borrowers in its own name without joining the Originator to the proceedings.

Under English law, a court will generally respect the characterisation of a transaction as a sale if the parties have documented it as such and the terms are consistent with a sale, and will not recharacterise it as a secured loan merely because the seller retains some of the economic risk or reward. The Originator's retention of the vertical slice, its right to the Deferred Consideration and its obligations to repurchase loans in breach of warranty are consistent with a sale in the opinion of Hartwell Quinn LLP, legal advisers to the Issuer and the Originator. A legal opinion is not binding on a court, however. If the sale were recharacterised as a secured loan, the security would be void against a liquidator or administrator of the Originator and its creditors for want of registration under Part 25 of the Companies Act 2006, and the Issuer would be an unsecured creditor of the Originator. In that case Noteholders could suffer substantial losses.

The Notes are subject to the UK securitisation rules, and investors which are subject to due diligence requirements must satisfy themselves that they comply with them.

The transaction is a securitisation for the purposes of the Securitisation Regulations 2024 (SI 2024/102), the securitisation rules of the FCA in the Securitisation sourcebook ("SECN") and the Securitisation Part of the PRA Rulebook (together, the "UK Securitisation Rules"), which have applied since November 2024. The UK Securitisation Rules impose obligations on the Originator and the Issuer as to risk retention, transparency, credit granting and the sale of securitisation positions to retail investors, and they impose due diligence obligations on institutional investors. The Originator has undertaken to retain a material net economic interest of not less than 5% of the nominal value of each Class, in the form of a vertical slice, and the Originator, as the reporting entity, has undertaken to make the information required under the transparency rules available to investors, as described in section 18.

An institutional investor which is subject to the UK Securitisation Rules must, before holding a securitisation position, verify the matters set out in the rules, including that the risk retention requirement is met, that the credit-granting criteria of the Originator are sound, and that the required information has been made available, and it must carry out a due diligence assessment of the risks of the position. It must also monitor its position on an ongoing basis. A failure to comply may result in additional capital charges or other regulatory sanctions. Each investor is responsible for its own compliance, and none of the Issuer, the Originator, the Arranger, the Lead Manager or the Trustee makes any representation that the information in this prospectus or in the investor reports is sufficient for that purpose. The Issuer does not intend to notify the transaction as a simple, transparent and standardised securitisation, and investors may not benefit from the regulatory treatment available for such securitisations.

The UK Securitisation Rules may be amended by the FCA and the PRA, which have stated their intention to keep the regime under review, including the scope of the due diligence and transparency requirements. Changes to the rules, or to their interpretation, may affect the regulatory treatment of the Notes and their market value and liquidity.

Investors in the European Economic Area are subject to the EU securitisation rules, with which the transaction has not been structured to comply in every respect.

Institutional investors in the European Economic Area are subject to the due diligence requirements of the EU Securitisation Regulation as it applies in their jurisdiction. Those requirements apply to investments in securitisations whose originator or sponsor is established in a third country, including the United Kingdom, and require the investor to verify, among other matters, that the originator retains a material net economic interest in accordance with the EU rules and that information has been made available in accordance with the EU transparency requirements. The Originator has undertaken to comply with the UK Securitisation Rules only. Although the risk retention by vertical slice is consistent with the EU rules, the information made available under the UK transparency rules may differ in form and content from that required by the EU rules, and the regulatory authorities of the member states may take different views on whether information made available in UK form is sufficient. The EU rules are themselves the subject of a legislative review which may change them.

EEA investors should therefore make their own assessment of whether the information available to them is sufficient to comply with their due diligence obligations, and should be aware that a failure to comply may lead to penal capital charges. This may limit the demand for the Notes among EEA investors and therefore the liquidity of the Notes.

The Issuer's tax position depends on the securitisation company regime, which may be amended or may cease to apply.

The Issuer expects to be taxed under the Taxation of Securitisation Companies Regulations 2006 (SI 2006/3296), as described in section 19. Under that regime, the Issuer is taxed on its retained profit as determined under the Transaction Documents rather than on its accounting profit, which is expected to result in a small and predictable tax liability. The regime applies only if the Issuer meets the conditions of the regulations throughout the life of the transaction, including the condition that it is a note-issuing company and that its retained profit is as specified. If the Issuer ceased to qualify, it could become liable to tax on its accounting profits, which may be volatile, in particular because of the accounting treatment of the loans and of credit losses, and the resulting tax liability would rank ahead of payments on the Notes. HM Revenue & Customs and HM Treasury may amend the regime, and there can be no assurance that any such amendment would not affect the Issuer.

Payments on the Notes may be made subject to United Kingdom withholding tax, and the Issuer will not pay any additional amounts to compensate Noteholders.

Payments of interest on the Notes are expected to constitute yearly interest which has a United Kingdom source. Because the Notes are not listed on a recognised stock exchange, the exemption for quoted Eurobonds is not available, and the Issuer may be required to withhold tax at the basic rate from payments of interest, unless another exemption or relief applies, such as the exemption for payments to companies within the charge to UK corporation tax or the exemption for qualifying private placements, or a direction is given under an applicable double tax treaty. The availability of these exemptions depends on the status and residence of each Noteholder and, in some cases, on the provision of creditor certificates or other documentation. The tax treatment of payments on the Notes is described in section 19.

If any withholding or deduction for or on account of tax is required by law, the Issuer will make the payment after the withholding or deduction and will not be obliged to pay any additional amount to Noteholders to compensate them. In that case Noteholders will receive less than the full amount of interest on their Notes. If the Issuer becomes subject to a withholding obligation as a result of a change in law, it may redeem the Notes early in accordance with the Conditions, with the consequences described in section 2.1. Investors should consult their own advisers on the tax consequences of holding the Notes, including the effect of the international tax reporting regimes to which the Issuer and the clearing systems are subject.

2.4 Counterparty risks

The Issuer depends on the Servicer to collect the loans, and a disruption in servicing could reduce or delay collections.

Under the Servicing Agreement, the Servicer administers the loans on behalf of the Issuer, collects the instalments by direct debit and other means, manages arrears and defaults, recovers and sells Vehicles, handles Borrower queries, complaints and end-of-contract options, performs the CCA information requirements and prepares the monthly data from which the investor reports are produced, as described in section 13. The performance of the loans depends to a large extent on the quality of that servicing, and in particular on the Servicer's collection and recovery capabilities. A deterioration in the Servicer's operations, for example because of staff turnover, a change of systems, a cyber attack, a failure of an outsourced service provider, or the operational demands of the Redress Scheme, may lead to an increase in arrears and losses and to errors in the information reported to the Issuer.

The Servicing Agreement sets out the events upon which the appointment of the Servicer may be terminated by the Issuer or by the Trustee (each a "Servicer Termination Event"), including a failure to transfer collections, a material breach of its obligations, the loss of its FCA permissions and its insolvency. The termination of the Servicer's appointment does not take effect until a

substitute servicer has been appointed. If the Servicer were to cease to perform its obligations before a substitute was appointed, collections could be interrupted for a period, the Issuer could be unable to pay interest on the Notes in full, and the Reserve Fund could be drawn.

No back-up servicer has been appointed at the Closing Date, and there is no assurance that a substitute servicer could be appointed promptly or on acceptable terms.

Pellam Corporate Services Ltd has been appointed as Back-up Servicer Facilitator. Its role, as described in section 13, is to use reasonable endeavours, following a Servicer Termination Event, to identify and assist the Issuer in appointing a substitute servicer (a "Back-up Servicer") which holds the necessary FCA permissions and has experience of servicing UK motor finance receivables. The Back-up Servicer Facilitator is not itself obliged to service the loans, and it does not hold the permissions to do so. No servicer has agreed in advance to act as substitute, and the Servicer's systems and data have not been mapped to those of any other servicer.

The number of firms in the United Kingdom with the permissions, systems and experience to service a portfolio of HP and PCP agreements, including the management of Vehicle recoveries and end-of-contract hand-backs, is limited. A substitute servicer may require several months to take over the portfolio, may charge a fee higher than the fee paid to the Servicer, which would rank ahead of interest on the Notes as a senior fee in section 15, and may be unwilling to act in the market conditions that typically accompany the failure of a servicer. The transfer of servicing may itself lead to a temporary increase in arrears, as Borrowers change their payment instructions and new direct debit mandates are established. These factors may reduce collections and the amounts available to pay the Notes.

The Issuer is exposed to the credit risk of the Account Bank, and amounts held in the issuer accounts are not protected by deposit insurance.

All amounts received by the Issuer, including collections transferred by the Servicer and the Reserve Fund, are held in the issuer accounts with the Account Bank until they are applied on the next Payment Date, as described in section 14. If the Account Bank became insolvent or subject to resolution, the Issuer would be an unsecured creditor of it for the balances of those accounts, and the Issuer's deposits would not be protected by the Financial Services Compensation Scheme. Under the Banking Act 2009, the Bank of England as resolution authority has powers to transfer the business of a failing bank, to bail in its liabilities, including certain deposits, and to suspend payment obligations, and the exercise of those powers could delay or reduce the Issuer's access to its funds.

The Transaction Documents require the Account Bank to have ratings at or above levels set by the Rating Agencies and, if it ceases to have them, to procure its replacement by a suitably rated bank, or a guarantee of its obligations, within the period stated in section 14. There can be no assurance that a replacement bank willing to act on the terms of the account bank agreement will be found within that period, or at all, and a failure to replace the Account Bank may lead to a downgrade of the Notes. The interest paid on the issuer accounts may be lower than the interest payable on the Notes, which creates negative carry on the balances held in them, including the Reserve Fund.

Collections are paid first into an account of the Originator, so that the Issuer is exposed to commingling risk until they are transferred.

Borrowers pay their instalments by direct debit, card or bank transfer into an account in the name of the Originator held with a UK clearing bank (the "Collection Account"), together with amounts paid by Borrowers under loans which have not been sold to the Issuer. The Servicer is required to identify the collections on the loans and transfer them to the issuer transaction account within the period stated in section 14, and the Originator has declared a trust over

the amounts in the Collection Account which relate to the loans in favour of the Issuer. The Collection Account does not form part of the Charged Property, and the bank which holds it is not a party to the Transaction Documents.

If the Originator became insolvent while collections were held in the Collection Account, the Issuer's entitlement to those collections would depend on the effectiveness of the declaration of trust and on the ability of an insolvency office-holder to identify the amounts belonging to the Issuer. The process of identification and transfer may be delayed by the insolvency, and if the trust were not effective, or if the funds had been mixed with other money of the Originator in a way which prevents them from being traced, the Issuer would have only an unsecured claim against the Originator. In addition, if the bank holding the Collection Account became insolvent, or exercised a right of set-off against the account, the collections held in it could be lost. Following a Perfection Event, Borrowers will be instructed to pay directly to an account of the Issuer, but the change of payment instructions may take some time to implement. The amount at risk at any time is the collections of the relevant period which have not yet been transferred, which may be substantial relative to the Reserve Fund.

The Issuer relies on the Cash Manager, the Agent Bank and the Principal Paying Agent for the calculation and payment of amounts due on the Notes.

The Cash Manager calculates the Available Funds, the amounts to be drawn from the Reserve Fund, the amounts payable under section 15 and the results of the trigger tests in section 16, on the basis of the information provided by the Servicer. The Agent Bank determines the rate of interest on each Class, and the Principal Paying Agent makes payments to the clearing systems. An error in a calculation, a failure of the Servicer to provide information on time, or an operational failure at the Cash Manager or the Principal Paying Agent, may result in incorrect or late payments on the Notes. The Transaction Documents provide for the Cash Manager to make estimates in the absence of information from the Servicer and to reconcile them later, but payments based on estimates may differ from those which would have been made on the basis of complete information. The replacement of any of these parties following its insolvency or a breach of its obligations may take time and may increase the costs of the Issuer.

The Originator's group may experience financial difficulty, which may affect its ability to perform its roles in the transaction.

The Originator is a subsidiary of Kestrel Group plc, and its ability to perform its obligations as Seller and Servicer, to fund repurchases and Deemed Collections, and to continue to originate new loans depends on the financial position of the group, which in turn depends on its access to warehouse facilities, securitisation markets and other funding. A disruption in the group's funding, a material redress liability, losses on its other portfolios or the withdrawal of support from its lenders may affect its ability to continue in business. Kestrel Group plc has not guaranteed any obligation of the Originator under the Transaction Documents. A decision by the group to cease new lending would not of itself terminate the Servicer's appointment, but may reduce its investment in servicing capabilities and may affect the incentives of Borrowers to continue paying, in particular those Borrowers who would otherwise refinance their Balloon Payments with the Originator at the end of their PCP Agreements.

2.5 Macroeconomic and market risks

Pressure on household finances from the cost of living may increase arrears and defaults.

The performance of the loans depends on the general economic conditions in the United Kingdom and on their effect on household incomes and expenditure. In recent years, UK households have experienced a period of high inflation in the cost of energy, food and housing, followed by rises in interest rates, which reduced real disposable incomes, in particular for lower-income

households and for renters and mortgage borrowers whose fixed rates expired. Although inflation has fallen from its peak, prices have not returned to their previous levels, and many households have depleted their savings or increased their borrowing. Increases in taxation, in rents, in the cost of motor insurance and of vehicle repairs, or in other essential costs may further reduce the ability of Borrowers to meet their obligations under the loans.

Borrowers with lower credit scores, higher loan-to-value ratios and higher monthly instalments relative to their income are the most exposed to these pressures. An increase in the number of Borrowers in financial difficulty will increase arrears, forbearance and defaults, and may also increase the number of voluntary terminations and of complaints about affordability. The trigger tests in section 16 may lead to a switch to sequential payment in those circumstances, with the consequences described in section 2.1.

Changes in interest rates, including the Bank Rate set by the Bank of England, may affect both the Notes and the Borrowers.

The interest rate payable on the Notes follows SONIA, which closely follows the Bank Rate set by the Monetary Policy Committee of the Bank of England. The Bank Rate rose sharply from historically low levels in 2022 and 2023 and has since been reduced in stages. Its future path is uncertain and will depend on the Bank of England's assessment of inflation and of the economy. As described in section 2.1, a rise in SONIA increases the interest payable on the Notes without any increase in the interest received on the fixed rate loans, and so reduces the excess spread. A fall in SONIA increases excess spread but may also increase prepayments, as Borrowers refinance at lower rates or change their Vehicles early.

Interest rates also affect the Borrowers. Although the loans bear fixed rates, many Borrowers have other borrowings at variable rates, including mortgages, credit cards and other consumer loans, whose cost rises with the Bank Rate. Higher interest rates may therefore increase the financial pressure on Borrowers and the rate of default on the loans, at the same time as they reduce the excess spread available to absorb losses. Higher interest rates on new motor finance may also reduce demand for vehicles and so the prices of used Vehicles, and may make it more difficult for Borrowers to refinance their Balloon Payments at the end of their PCP Agreements, increasing the number of Vehicles returned.

The used car market may weaken, reducing the value of the Vehicles and the amounts recovered on defaults, voluntary terminations and hand-backs.

The amounts which the Issuer recovers from the sale of Vehicles on default, voluntary termination and return at the end of PCP Agreements depend on the prices of used vehicles in the United Kingdom at the time of sale. Used vehicle prices have been volatile in recent years. They rose sharply when the supply of new vehicles was restricted by shortages of semiconductors and other components, and subsequently fell, at different rates for different segments and fuel types, as the supply of new vehicles recovered and as the prices of new electric vehicles were reduced. Used vehicle prices are influenced by the supply of new vehicles, manufacturers' pricing and incentives, the volume of vehicles returning from leasing and PCP contracts, consumer confidence, the cost and availability of finance, fuel and energy prices, government policy on emissions and taxation, and international trade conditions, including tariffs affecting vehicles and components.

A fall in used vehicle prices would reduce recoveries on defaulted loans, increase the number and size of Residual Value Losses on PCP Agreements, increase the incentive of Borrowers to exercise voluntary termination and reduce the equity of Borrowers in their Vehicles, which may reduce their willingness to keep paying. Because these effects would occur across the whole portfolio at the same time, a severe fall in used vehicle prices could cause losses on the loans to rise sharply. The vehicle recovery and remarketing channels used by the Servicer may also

become congested in a period of high volumes of returned and repossessed vehicles, which may delay sales and increase their costs.

A recession, a rise in unemployment or another economic shock in the United Kingdom may adversely affect the performance of the loans.

The United Kingdom's economic performance is affected by domestic factors, including fiscal and monetary policy, and by international factors, including the economic performance of its trading partners, conflicts and geopolitical tensions, changes in trade policy and tariffs, the prices of energy and commodities, and disruption to supply chains. A recession or a rise in unemployment would reduce the ability of Borrowers to pay, and historical experience shows that the default rate on consumer motor finance rises with unemployment. The automotive sector itself is exposed to the transition to zero emission vehicles, to competition from new manufacturers and to changes in trade arrangements, and a downturn in that sector may affect both the employment of Borrowers in regions with a concentration of automotive manufacturing and the value of the Vehicles. No assurance can be given as to the economic conditions which will prevail over the life of the Notes.

Conditions in the asset-backed securities market and in the market for UK motor finance assets may affect the market value of the Notes, irrespective of the performance of the portfolio.

The market value of the Notes will be affected by conditions in the credit markets generally and in the market for asset-backed securities in particular, including the supply of new issues, the demand for asset-backed securities from banks, insurers and asset managers, changes in the regulatory treatment of securitisation positions, and the market's perception of the risks of UK consumer credit and motor finance. Negative developments affecting other UK motor finance lenders or securitisations, such as the Redress Scheme and related litigation, the failure of a lender or servicer, or a deterioration in the performance of other transactions, may reduce the market value of the Notes even if the portfolio continues to perform. Noteholders who need to sell their Notes before maturity may therefore realise a loss, and should not invest unless they are able to bear the economic risk of their investment until the Final Maturity Date.

3. Transaction parties

The table below lists each party to the securitisation of motor finance receivables described in this Prospectus (the "Transaction") and the role it performs. Each party is described in more detail in the paragraphs that follow. The documents under which each party acts (together, the "Transaction Documents") are listed in section 21, where they are also stated to be available for inspection.

In this Prospectus, a "Loan" means each hire purchase or personal contract purchase agreement sold by the Seller to the Issuer on the Closing Date, together with its related rights, and the "Portfolio" means all the Loans from time to time; a "Borrower" means the individual who is the customer under a Loan. A "Collection Period" means each calendar month, the first Collection Period being January 2026 (period 1), and a "Payment Date" means the 20th day of each month, the first Payment Date being 20 February 2026; each Collection Period is followed by the Payment Date in the next month. An "Insolvency Event" occurs in respect of a company if it is unable or admits its inability to pay its debts as they fall due within the meaning of section 123 of the Insolvency Act 1986, if an administrator, liquidator, receiver or similar officer is appointed over it or over the whole or a substantial part of its assets, if it enters into a voluntary arrangement or other composition with its creditors generally, or if an order is made or an effective resolution is passed for its winding-up (other than a solvent reorganisation approved by the Trustee). The holders of the Notes are the "Noteholders", as defined in the Important notices.

Party	Role in the transaction	See also
Thames Auto Receivables 2026-1 plc	Issuer of the Notes; purchaser of the Loans	section 7
Thames Auto Receivables Holdings Ltd	Sole shareholder of the Issuer	section 7
Kestrel Motor Finance Ltd	Originator, seller, servicer and retention holder	sections 8, 13 and 18
Kestrel Group plc	Parent company of the Originator	section 8
The Trustee	Note trustee and security trustee	section 5
Larkmead Bank plc	Cash manager, issuer account bank, collection account bank, agent bank and principal paying agent	sections 13 and 14
Pellam Corporate Services Ltd	Corporate services provider, share trustee and back-up servicer facilitator	sections 7 and 13
Corvane Securities plc	Arranger and lead manager	section 20
Grantley Moss LLP	Legal adviser to the Arranger, the Lead Manager and the Trustee	section 21
Hartwell Quinn LLP	Legal adviser to the Issuer and the Originator	section 21
Fennick & Rowe LLP	Auditors of the Issuer and of Holdings	sections 7 and 21
The Rating Agencies	Rating agencies appointed by the Issuer to rate the Notes	section 4

Thames Auto Receivables 2026-1 plc

Thames Auto Receivables 2026-1 plc (the "Issuer") is a public limited company incorporated in England and Wales. It is a special purpose vehicle established for the sole purpose of issuing the Notes, purchasing the Loans from the Seller and entering into the Transaction Documents. The Issuer has no employees and no subsidiaries, and its activities are restricted by its articles of association and by the covenants in the trust deed constituting the Notes (the "Trust Deed"). Its share capital, directors, capitalisation and accounts are described in section 7.

Holdings

Thames Auto Receivables Holdings Ltd ("Holdings") is a private limited company incorporated in England and Wales. Holdings holds the entire issued share capital of the Issuer. The entire issued share capital of Holdings is held by the Share Trustee on a discretionary trust for charitable purposes. Neither the Originator nor any company in its group owns, directly or indirectly, any share in Holdings or the Issuer, and neither the Issuer nor Holdings is controlled by the Originator. Holdings is described in section 7.

Kestrel Motor Finance Ltd

Kestrel Motor Finance Ltd (the "Originator") is a private limited company incorporated in England and Wales and authorised and regulated by the FCA to carry on consumer credit lending and related regulated activities. It provides hire purchase and personal contract purchase finance for new and used cars to individuals throughout the United Kingdom, through a network of franchised and independent motor dealers. The Originator originated each of the Loans in the portfolio.

Under the loan sale agreement dated on or about the Closing Date (the "Sale Agreement"), Kestrel Motor Finance Ltd (the "Seller") will sell the Loans and their related rights to the Issuer on the Closing Date. The Seller gives the loan warranties described in section 12 and is obliged to repurchase any loan that breaches a loan warranty in the circumstances described in that section.

Under the servicing agreement dated on or about the Closing Date (the "Servicing Agreement"), Kestrel Motor Finance Ltd (the "Servicer") will continue to administer the Loans on behalf of the Issuer, collect payments from Borrowers, manage arrears, terminate agreements and repossess and sell vehicles in accordance with its policies and procedures, and prepare the information on the Loans that the Cash Manager uses for the investor reports. The Servicer's duties, its fee and the circumstances in which it may be replaced are described in section 13.

The Originator will also act as the retention holder for the purposes of the UK securitisation framework (the "Retention Holder"): it will retain on an ongoing basis a material net economic interest in the securitisation of not less than 5% of the nominal value of each class of Notes (a vertical slice), as described in section 18. Kestrel Motor Finance Ltd was incorporated in England and Wales on 12 March 2004 with registered number 05087341, and its head office is in Leicester. The Transaction is its first public securitisation; certain of the Loans are financed, until the Closing Date, under a private warehouse facility provided to the Originator by a United Kingdom bank and are released from that facility on the Closing Date (see section 6). The Originator is a wholly owned subsidiary of Kestrel Group plc, a public limited company incorporated in England and Wales. Kestrel Group plc does not guarantee any obligation of the Originator under the Transaction Documents. The Originator, its history and its business are described in section 8.

The Trustee

The Trustee will act as note trustee for the Noteholders under the Trust Deed and as security trustee for the Secured Creditors under the deed of charge dated on or about the Closing Date (the "Deed of Charge"). Under the Deed of Charge the Issuer grants to the Trustee, for the benefit of the Secured Creditors, an assignment by way of security of its rights in the Loans and the Transaction Documents and a first-ranking charge over the Issuer Accounts and its other assets. The Trustee is a trust corporation regulated in the United Kingdom. Its fees and expenses are paid by the Issuer as a senior fee in the Priority of Payments (section 15). The Trustee has no obligation to monitor the performance of the Loans or the compliance of any party with the Transaction Documents, and it is entitled to be indemnified and secured to its satisfaction before it takes any action. The rights of the Trustee and the circumstances in which it may be removed or may retire are set out in the Conditions (section 5).

Larkmead Bank plc

Larkmead Bank plc (the "Cash Manager") is a public limited company incorporated in England and Wales and authorised by the Prudential Regulation Authority (the "PRA") and regulated by the FCA and the PRA. Under the cash management agreement dated on or about the Closing Date (the "Cash Management Agreement"), the Cash Manager will operate the Issuer Accounts, calculate the Available Funds and the amounts payable on each Payment Date, apply the Available Funds in accordance with the Priority of Payments, maintain the ledgers of the Issuer and prepare the investor reports from the information provided by the Servicer.

Larkmead Bank plc (the "Account Bank") will hold the transaction account and the reserve account of the Issuer (together, the "Issuer Accounts") under the bank account agreement dated on or about the Closing Date (the "Bank Account Agreement"). If the Account Bank ceases to have the minimum ratings required by the Rating Agencies, it must, within the period set out in the Bank Account Agreement, transfer the Issuer Accounts to a suitably rated bank or obtain a guarantee from a suitably rated guarantor, as described in section 14.

Larkmead Bank plc (the "Collection Account Bank") also holds the account of the Servicer into which Borrowers pay their instalments (the "Collection Account"). The Collection Account is held on trust for the Issuer and the other persons entitled to the collections credited to it, and collections on the Loans are swept to the transaction account of the Issuer, as described in sections 13 and 14.

Larkmead Bank plc (the "Agent Bank") will determine the rate of interest on each class of Notes for each interest period under the agency agreement dated on or about the Closing Date (the "Agency Agreement"), and Larkmead Bank plc (the "Principal Paying Agent") will make payments of interest and principal on the Notes to the Clearing Systems for credit to the accounts of the Noteholders. The fees of Larkmead Bank plc in each of its capacities, and the fee of the Back-up Servicer Facilitator, are paid by Kestrel Motor Finance Ltd out of the servicer fee it receives under the Servicing Agreement, and not by the Issuer.

Pellam Corporate Services Ltd

Pellam Corporate Services Ltd (the "Corporate Services Provider") is a private limited company incorporated in England and Wales that provides directors, company secretarial, accounting and administrative services to special purpose companies. Under the corporate services agreement dated on or about the Closing Date (the "Corporate Services Agreement"), it will provide the directors and the company secretary of the Issuer and of Holdings, keep their statutory books and arrange the preparation and filing of their accounts and returns.

Pellam Corporate Services Ltd (the "Share Trustee") holds the entire issued share capital of Holdings on a discretionary trust for charitable purposes under a declaration of trust (the "Share Trust Deed"), as described in section 7.

Pellam Corporate Services Ltd (the "Back-up Servicer Facilitator") will, under the Servicing Agreement, use reasonable endeavours to identify and assist the Issuer and the Trustee in appointing a substitute servicer if the appointment of the Servicer is terminated following a servicer termination event, as described in section 13. The Back-up Servicer Facilitator does not itself undertake to service the Loans.

Corvane Securities plc

Corvane Securities plc (the "Arranger") is a public limited company incorporated in England and Wales and authorised and regulated by the FCA. It structured the transaction. Corvane Securities plc (the "Lead Manager") has agreed, subject to the conditions in the subscription agreement described in section 20, to subscribe or procure subscribers for the Notes that the Retention Holder does not acquire.

Legal advisers and auditors

Grantley Moss LLP, a limited liability partnership registered in England and Wales, is the legal adviser to the Arranger, the Lead Manager and the Trustee as to English law. Hartwell Quinn LLP, a limited liability partnership registered in England and Wales, is the legal adviser to the Issuer and the Originator as to English law and as to the United Kingdom tax treatment of the Issuer. Fennick & Rowe LLP, a limited liability partnership registered in England and Wales and a member of the Institute of Chartered Accountants in England and Wales, has been appointed as the auditors of the Issuer and of Holdings (the "Auditors").

The Rating Agencies

The Notes are expected to be rated by the Rating Agencies on the Closing Date, as set out in section 4. Each of the Rating Agencies is established in the United Kingdom and registered under the UK CRA Regulation. The Rating Agencies are not parties to the Transaction Documents. Certain actions of the parties, including the replacement of the Account Bank and certain amendments to the Transaction Documents, are subject to confirmation that the then current ratings of the Notes will not be downgraded, withdrawn or qualified as a result.

Conflicts of interest

Each of the parties, and its affiliates, may engage in other business with the Originator, the Issuer or other parties and may act in more than one capacity in this transaction. In particular, Kestrel Motor Finance Ltd acts in four capacities (originator, seller, servicer and retention holder), Larkmead Bank plc acts in five capacities and Pellam Corporate Services Ltd acts in three capacities. In each capacity a party acts only in accordance with the Transaction Documents to which it is a party in that capacity, and it may have interests that differ from those of the Noteholders. The risks arising from these arrangements are described in section 2.

4. The notes

The table shows the margin of each class of notes over SONIA and its rating at closing.

Class	Initial balance	Share	SONIA + margin	Rating
Class A	£62,964,482.91	85%	SONIA + 0.70%	AAA
Class B	£4,444,551.73	6%	SONIA + 1.30%	AA
Class C	£3,703,793.11	5%	SONIA + 2.10%	A
Class D	£2,963,034.49	4%	SONIA + 3.50%	BBB

Interest. Each class pays interest monthly at SONIA plus its margin. For each period, interest equals the class balance at the start of the period multiplied by one-twelfth of the annual rate. The SONIA rate for each period is stated in the investor report.

Principal. On each payment date the issuer pays principal so that the total balance of the notes falls to the pool balance at the end of the period, provided enough funds are available (section 15, item 7).

Pro rata and sequential payment. Until a trigger event occurs (section 16), principal is shared between all classes in proportion to their balances (*pro rata*). From the first payment date on which a trigger event has occurred, principal is paid *sequentially*: Class A is repaid in full before Class B receives any principal, then Class B before Class C, then Class C before Class D. The switch to sequential payment is permanent.

5. Terms and conditions of the notes

The following is the text of the terms and conditions of the Notes (the "Conditions") which, subject to completion and amendment, will be endorsed on each Note in definitive form (if issued) and will be attached to and (subject to the provisions thereof) apply to each Global Note. While the Notes are represented by Global Notes, the Conditions apply to them as modified by the provisions of the Global Notes summarised in Condition 1. Words in the Conditions that begin with a capital letter have the meanings given to them in the Conditions or in the Incorporated Terms Memorandum described below. In the event of any inconsistency between the Conditions and any Transaction Document, the Conditions prevail as regards the Noteholders, save that the Trust Deed prevails in relation to the rights, powers and discretions of the Trustee.

Introduction

(a) **The Notes.** The sterling asset-backed floating rate notes due 20 December 2032 of Thames Auto Receivables 2026-1 plc (the "Issuer" and the "Notes") are issued in four classes, A, B, C and D (each a "Class"). The Notes of Class A are the "Class A Notes", and the Notes of the other Classes are named in the same way. The initial principal amount, the margin over SONIA and the expected rating of each Class are set out in section 4 (*The notes*). The Notes will be issued on 28 January 2026 (the "Closing Date"). References to "Notes" include, where the context permits, the Global Notes and any Definitive Notes, and references to a "holder" of a Note or a "Noteholder" are to the person in whose name a Note is registered in the Register.

(b) **The Trust Deed.** The Notes are constituted by a trust deed dated the Closing Date (the "Trust Deed") between the Issuer and the trustee for the Noteholders and for the other Secured Creditors (the "Trustee", which expression includes any successor or additional trustee appointed under the Trust Deed). The Trustee acts as trustee for the Noteholders under the Trust Deed and as security trustee for the Secured Creditors under the Deed of Charge. The Trust Deed contains the form of the Global Notes and of the Definitive Notes, the provisions for meetings of Noteholders and the provisions on the retirement and removal of the Trustee. The Noteholders are bound by, and are deemed to have notice of, all the provisions of the Trust Deed.

(c) **The Deed of Charge.** The Notes are secured by a deed of charge dated the Closing Date (the "Deed of Charge") between, among others, the Issuer, the Trustee and the other Secured Creditors. The Deed of Charge creates the Security described in Condition 3 and sets out the order in which the Trustee will apply all moneys received after the Security has become enforceable (the "Post-Enforcement Priority of Payments").

(d) **The Agency Agreement.** The Issuer has entered into an agency agreement dated the Closing Date (the "Agency Agreement") with the Trustee and Larkmead Bank plc (the "Principal Paying Agent", which expression includes, together with any further paying agent appointed under the Agency Agreement, the "Paying Agents"), under which Larkmead Bank plc also acts as agent bank (in that capacity, the "Agent Bank") and as registrar (in that capacity, the "Registrar"). The Principal Paying Agent, the Paying Agents, the Agent Bank and the Registrar are together the "Agents". References to an Agent include its successors appointed under the Agency Agreement.

(e) **The other Transaction Documents.** The Issuer has also entered into, on or before the Closing Date:

(i) a receivables sale agreement (the "Sale Agreement") with Kestrel Motor Finance Ltd (in that capacity, the "Seller" and, in its capacity as originator of the Receivables, the "Originator") and the Trustee, under which the Seller sells the Portfolio to the Issuer and gives

the loan warranties described in section 12;

(ii) a servicing agreement (the "Servicing Agreement") with Kestrel Motor Finance Ltd (the "Servicer") and the Trustee, under which the Servicer administers the Receivables and collects the amounts due under them, as described in section 13;

(iii) a back-up servicer facilitator agreement (the "Back-up Servicer Facilitator Agreement") with Pellam Corporate Services Ltd (the "Back-up Servicer Facilitator"), the Servicer and the Trustee;

(iv) a cash management agreement (the "Cash Management Agreement") with Larkmead Bank plc (the "Cash Manager"), the Servicer and the Trustee, under which the Cash Manager operates the Issuer Accounts, makes the calculations and applies the Available Funds, as described in section 14;

(v) an issuer accounts agreement (the "Bank Account Agreement") with Larkmead Bank plc (the "Issuer Account Bank"), the Cash Manager and the Trustee, under which the Account Bank maintains the Transaction Account and the Reserve Account (together, the "Issuer Accounts");

(vi) a corporate services agreement (the "Corporate Services Agreement") with Pellam Corporate Services Ltd (the "Corporate Services Provider"), Thames Auto Receivables Holdings Ltd ("Holdings") and the Trustee, under which the Corporate Services Provider provides directors, a company secretary and administrative services to the Issuer and to Holdings;

(vii) a subscription agreement (the "Subscription Agreement") with Corvane Securities plc (the "Lead Manager") and the Originator; and

(viii) an incorporated terms memorandum dated the Closing Date (the "Incorporated Terms Memorandum") signed for the purposes of identification by each of the parties to the Transaction Documents, which contains the defined terms and the rules of construction used in each of them.

The Trust Deed, the Deed of Charge, the Agency Agreement, the documents listed in paragraphs (i) to (viii) of this paragraph (e), the Notes and the share trust deed under which Pellam Corporate Services Ltd (the "Share Trustee") holds the shares of Holdings are together the "Transaction Documents". The Trustee, the Noteholders, the Servicer, the Cash Manager, the Account Bank, the Agents, the Back-up Servicer Facilitator, the Corporate Services Provider, the Seller and any Receiver are together the "Secured Creditors".

(f) Summaries and inspection. The statements in the Conditions include summaries of, and are subject to, the detailed provisions of the Transaction Documents. Copies of the Transaction Documents are available for inspection by Noteholders during normal business hours at the registered office of the Issuer and at the specified office of the Principal Paying Agent, and may be provided by electronic means to a Noteholder who produces evidence of its holding satisfactory to the Principal Paying Agent. The Noteholders are entitled to the benefit of, are bound by and are deemed to have notice of all the provisions of the Transaction Documents applicable to them.

(g) Interpretation. In the Conditions:

"**Available Funds**" means, for each Payment Date, the amounts described as available funds in section 11, together with the amounts drawn from the Reserve Account in accordance with section 16 and interest earned on the Issuer Accounts, as calculated by the Cash Manager on the related Calculation Date.

A day (other than a Saturday or a Sunday) on which commercial banks and foreign exchange markets settle payments and are open for general business in London is a business day (a "Business Day").

"**Calculation Date**" means, for each Payment Date, the fifth Business Day before that Payment

Date.

"**Collection Period**" means each calendar month. The first Collection Period begins on the day after the Cut-off Date and ends on the last day of January 2026; each Collection Period is followed by the Payment Date falling in the next calendar month.

"**Cut-off Date**" means 31 December 2025.

"**Extraordinary Resolution**" has the meaning given to it in Condition 12.

"**Interest Period**" means the period from (and including) a Payment Date (or, for the first Interest Period, the Closing Date) to (but excluding) the next Payment Date.

"**Most Senior Class**" means the Class A Notes while any Class A Note is outstanding; thereafter the Class B Notes while any Class B Note is outstanding; thereafter the Class C Notes while any Class C Note is outstanding; and thereafter the Class D Notes.

"**Payment Date**" means the 20thth day of each month, the first Payment Date being 20 February 2026, or, if that day is not a Business Day, the next Business Day.

"**Pool Balance**" has the meaning given to "pool balance" in section 11; the Pool Balance at the Cut-off Date is £74,075,862.24.

"**Portfolio**" means the 5,000 hire purchase and personal contract purchase agreements (each, a "Loan Agreement") sold by the Seller to the Issuer on the Closing Date, and "**Receivables**" means all amounts due or to become due under the Loan Agreements, including instalments, balloon payments, termination sums, fees, insurance proceeds and the proceeds of sale of the Financed Vehicles.

"**Pre-Enforcement Priority of Payments**" means the order of priority in which the Cash Manager applies the Available Funds on each Payment Date before the delivery of an Enforcement Notice, as set out in section 15.

"**Principal Amount Outstanding**" means, for a Note on any date, its principal amount on the Closing Date less the aggregate of all payments of principal made on it on or before that date.

"**Rating Agencies**" means the rating agencies appointed by the Issuer to rate the Notes, and "**Rating Agency Confirmation**" means a written confirmation (or deemed confirmation, where a Transaction Document so provides) from each Rating Agency that a proposed action will not result in the downgrade or withdrawal of the then current rating of any Class of Notes.

"**Reserve Fund**" means the reserve fund held in the Reserve Account and described in section 16, and "**Reserve Fund Required Amount**" means the required amount of the Reserve Fund set out in section 16.

"**Trigger Event**" means any of the trigger events set out in section 16.

Other capitalised terms are defined in the Incorporated Terms Memorandum. References to a section are to a section of this prospectus, references to a Condition are to a Condition of these Conditions, and references to a Transaction Document are to that document as amended, supplemented, novated or replaced from time to time.

Condition 1 — Form, denomination and title

(**a**) **Form.** The Notes of each Class will be issued in fully registered form, without interest coupons. Each Class will initially be represented by a global note in registered form (each, a "Global Note"), which will be deposited on the Closing Date with, and registered in the name of a nominee of, a common depositary for one or more international clearing systems (the "Clearing Systems"). Interests in a Global Note will be shown on, and transfers of them will be effected

only through, the records maintained by the Clearing Systems and their participants. The Notes are not and will not be listed or admitted to trading on any stock exchange or market.

(b) **Denomination.** The Notes are issued in minimum denominations of £100,000 and integral multiples of £1,000 in excess thereof (each, an "Authorised Denomination"). No Note may be held or transferred in an amount lower than £100,000. A Noteholder whose holding falls below £100,000 as a result of trading in the Clearing Systems will not receive a Definitive Note for that holding and must first increase its holding to an Authorised Denomination.

(c) **Definitive Notes.** A Global Note will be exchanged, in whole but not in part, for notes in definitive registered form (the "Definitive Notes") only if: (i) both Clearing Systems are closed for business for a continuous period of 14 days (other than by reason of a public holiday) or announce an intention permanently to cease business, and no alternative clearing system satisfactory to the Trustee is available; or (ii) as a result of a change in the law of the United Kingdom, or in its interpretation or administration, the Issuer or any Paying Agent would be required to make a deduction or withholding for or on account of tax from a payment on the Notes that would not be required if the Notes were in definitive form. The Issuer will issue Definitive Notes, at its own cost, within 30 days of the occurrence of the relevant event. Definitive Notes will be issued only in Authorised Denominations and will be serially numbered.

(d) **Title.** Title to the Notes passes only by registration in the register of Noteholders maintained by the Registrar (the "Register"). The registered holder of a Note will (except as otherwise required by law) be treated as its absolute owner for all purposes, whether or not any payment on it is overdue and regardless of any notice of ownership, trust or any interest in it, any writing on it or its theft or loss, and no person will be liable for so treating the holder. While the Notes are represented by a Global Note, each person shown in the records of a Clearing System as the holder of a principal amount of Notes (an "Accountholder") must look solely to that Clearing System for its share of each payment made to the registered holder, and the Issuer, the Trustee and the Agents may treat the Accountholder as the holder of that principal amount for every purpose other than payment.

(e) **Transfers of Definitive Notes.** A Definitive Note may be transferred in whole or in part (in an Authorised Denomination) by depositing it at the specified office of the Registrar with the form of transfer endorsed on it, duly completed and executed, together with any evidence the Registrar reasonably requires. A new Definitive Note will be issued to the transferee, and a new Definitive Note for any balance to the transferor, within five Business Days of receipt. Transfers will be effected without charge, except for any tax or other governmental charge imposed in relation to the transfer. No transfer will be registered during the 15 days ending on the due date for any payment of principal or interest on the Notes.

(f) **Selling restrictions.** The Notes may be offered, sold and transferred only to professional investors in the United Kingdom and the European Economic Area, and only in compliance with the restrictions described in section 20. Each purchaser of an interest in a Note is deemed to have made the representations set out in section 20.

Condition 2 — Status and ranking

(a) **Status.** The Notes are direct, secured, limited recourse and unconditional obligations of the Issuer, secured by the Security described in Condition 3 and recoverable only as provided in Condition 11.

(b) **Ranking within a Class.** The Notes of each Class rank *pari passu* and rateably, without any preference or priority among themselves, for all purposes.

(c) **Ranking between Classes.** Before the delivery of an Enforcement Notice, payments of inter-

est and principal on the Notes are made in the order set out in the Pre-Enforcement Priority of Payments (section 15). In that order, interest on the Class A Notes is paid before interest on the Class B Notes, which is paid before interest on the Class C Notes, which is paid before interest on the Class D Notes. Principal is paid to all Classes *pro rata* to their Principal Amount Outstanding until the first Payment Date following the occurrence of a Trigger Event and sequentially thereafter, as described in section 4 and section 16. After the delivery of an Enforcement Notice, the Class A Notes rank in priority to the Class B Notes, the Class B Notes in priority to the Class C Notes and the Class C Notes in priority to the Class D Notes, as to both interest and principal, under the Post-Enforcement Priority of Payments.

(**d**) **Payments to other Secured Creditors.** The Issuer's obligations to the other Secured Creditors rank in the order set out in the Pre-Enforcement Priority of Payments and the Post-Enforcement Priority of Payments. The amounts due to the Servicer and the Trustee rank ahead of all payments on the Notes. Deferred consideration payable to the Seller ranks behind all payments on the Notes.

(**e**) **Conflicts of interest between Classes.** The Trust Deed requires the Trustee, in exercising its powers, trusts, authorities, duties and discretions, to have regard to the interests of the holders of each Class as a class. Where, in the opinion of the Trustee, there is a conflict between the interests of the holders of two or more Classes, the Trustee is required to have regard only to the interests of the holders of the Most Senior Class then outstanding, and it will have no liability to the holders of any other Class for so doing. Where there is a conflict between the interests of the Noteholders and those of any other Secured Creditor, the Trustee is required to have regard only to the interests of the Noteholders. The Trustee is not required to have regard to the interests of individual Noteholders arising from their particular circumstances, including their place of residence or their tax position.

(**f**) **Retained Notes.** The Originator will hold, on the Closing Date and for the life of the transaction, Notes of each Class equal to 5% of the nominal value of that Class, as its retained interest in the form of a vertical slice described in section 18 (the "Retained Notes"). The Retained Notes rank *pari passu* with the other Notes of the same Class and carry the same rights, save that, for as long as the Originator or any of its affiliates holds them, they are disregarded for the purposes of determining the quorum and the result of any vote on a resolution under Condition 12 that relates to the removal or replacement of the Servicer, the waiver of a Servicer default, or any other matter in which the Originator or its affiliates has, in the opinion of the Trustee, an interest that conflicts with the interests of the other Noteholders. Notes held by or for the Issuer or Holdings are not treated as outstanding for any of those purposes.

Condition 3 — Security

(**a**) **The Security.** As continuing security for the payment of all amounts due on the Notes and to the other Secured Creditors (the "Secured Obligations"), the Issuer grants to the Trustee, for itself and on trust for the Secured Creditors, under the Deed of Charge:

(i) an assignment by way of first fixed security of its rights, title, interest and benefit in the Receivables, the Loan Agreements and the ancillary rights under them, including its beneficial interest in the Seller's title to the vehicles financed under the Loan Agreements (the "Financed Vehicles") and to the proceeds of their sale;

(ii) an assignment by way of first fixed security of its rights under each Transaction Document to which it is a party, other than the Trust Deed and the Deed of Charge themselves;

(iii) a first fixed charge over its rights in the Issuer Accounts and the amounts standing to their credit, and over any investments of those amounts in authorised investments (the "Authorised Investments"); and

(iv) a first floating charge over the whole of its undertaking, property and assets not otherwise effectively charged or assigned by way of fixed security, including its assets in Scotland,

(together, the "Security"). The floating charge is a qualifying floating charge for the purposes of paragraph 14 of Schedule B1 to the Insolvency Act 1986, and the Trustee may appoint an administrative receiver of the Issuer in the circumstances permitted by section 72B of that Act (the capital market exception).

(**b**) **Perfection of the sale.** The sale of the Receivables to the Issuer takes effect in equity only. Notice of the sale will not be given to the borrowers, and legal title to the Receivables and to the Financed Vehicles will remain with the Seller, unless and until one of the perfection events set out in the Receivables Sale Agreement occurs (each, a "Perfection Event"), which include the insolvency of the Seller, the termination of the appointment of the Servicer, a direction from the Trustee following the delivery of an Enforcement Notice, and a change of law requiring notice. After a Perfection Event the Issuer and the Trustee may give notice to the borrowers and take the other steps described in section 12 to perfect the transfer. Until notice is given, the risks described in section 2 in relation to equitable assignment and set-off apply.

(**c**) **Release of Security.** The Security over a Receivable is released automatically when it is repurchased by the Seller under the Sale Agreement, when it is repaid in full or written off by the Servicer in accordance with its credit and collection policies, or when the related Financed Vehicle is sold and the sale proceeds are credited to the Transaction Account. The Security over the moneys in the Issuer Accounts is released, without further action, to the extent that those moneys are applied in accordance with the Pre-Enforcement Priority of Payments or as otherwise permitted by the Transaction Documents.

(**d**) **Enforceability.** The Security becomes enforceable on the delivery of an Enforcement Notice under Condition 10. The Trustee may then take the steps described in Condition 11, and will apply all moneys received by it in accordance with the Post-Enforcement Priority of Payments.

(**e**) **Trustee not responsible.** The Trustee will not be responsible for the adequacy, enforceability or validity of the Security, for any failure to register or perfect the Security, or for monitoring the performance of the Receivables, and it will have no liability for any loss arising from the Security being held in a Clearing System or by a custodian selected with reasonable care. The Trustee may rely, without further enquiry, on any certificate or report of the Issuer, the Servicer or the Cash Manager, and on the opinion of any professional adviser.

Condition 4 — Issuer covenants

(**a**) **Restrictions.** So long as any Note remains outstanding, the Issuer will not, except as provided in or contemplated by the Transaction Documents or with the prior written consent of the Trustee:

(i) engage in any business other than acquiring, holding and administering the Portfolio, issuing the Notes and entering into and performing the Transaction Documents;
(ii) incur any indebtedness for borrowed money, or give any guarantee or indemnity in respect of any indebtedness, other than under the Notes and the Transaction Documents;
(iii) create or permit to subsist any mortgage, charge, pledge, lien or other security interest over the whole or any part of its assets or undertaking, other than the Security;
(iv) sell, transfer, lend or otherwise dispose of any of its assets, other than as permitted by the Transaction Documents;
(v) pay any dividend or make any other distribution to its shareholders, other than out of the profit retained by it in accordance with the Pre-Enforcement Priority of Payments, or issue any further shares;
(vi) have any subsidiary, employee or premises;

(vii) consolidate or merge with any other person or convey or transfer its properties or assets substantially as an entirety to any other person, other than in accordance with Condition 15;
(viii) have an interest in any bank account other than the Issuer Accounts, unless that account is charged to the Trustee on terms acceptable to it;
(ix) agree to any amendment, variation or waiver of any Transaction Document, or release any party from its obligations under it, other than in accordance with Condition 12;
(x) become a member of a group for the purposes of value added tax, or a member of any group for the purposes of corporation tax other than a group of which it is the principal company; or
(xi) take any action which would cause it to cease to be a "securitisation company" within the meaning of the Taxation of Securitisation Companies Regulations 2006 (SI 2006/3296).

(b) Positive covenants. The Issuer will at all times: (i) maintain its centre of main interests and its registered office in England and Wales and conduct its business in its own name; (ii) keep proper books of account and have its annual financial statements audited by Fennick & Rowe LLP or other independent auditors appointed in accordance with the Companies Act 2006; (iii) hold at least one meeting of its board of directors in the United Kingdom in each year and ensure that its affairs are managed and controlled in the United Kingdom; (iv) deliver to the Trustee, within 180 days after the end of each financial year, a copy of its audited financial statements and a certificate signed by two directors confirming that no Event of Default has occurred, or giving details of any that has; (v) give notice to the Trustee promptly on becoming aware of any Event of Default, Trigger Event or Perfection Event; (vi) maintain the Agents and the other service providers required by the Transaction Documents; and (vii) do all such things as are necessary to maintain the Security and to enable the Trustee to exercise its rights under it.

(c) Securitisation Regulations. The Issuer, as securitisation special purpose entity, and the Originator, as originator, have agreed in the Transaction Documents to comply with the obligations that apply to them under the Securitisation Regulations 2024 (SI 2024/102) and the related rules of the FCA and the PRA (together, the "UK Securitisation Framework"). The Originator is designated as the entity responsible for making available the information required by the transparency rules of the UK Securitisation Framework (the "Reporting Entity"), and will make available each monthly investor report within 15 days after each Payment Date, together with the loan-level data, as described in section 18. The Originator has undertaken to retain its interest as described in Condition 2(f) and not to sell, hedge or otherwise mitigate the credit risk of the Retained Notes, save as permitted by the UK Securitisation Framework.

(d) Servicer and Cash Manager. The Issuer will procure that, at all times while any Note is outstanding, a servicer and a cash manager are appointed under the Servicing Agreement and the Cash Management Agreement. The Issuer may terminate the appointment of the Servicer, and will do so if so directed by the Trustee, on the occurrence of a servicer termination event set out in the Servicing Agreement (each, a "Servicer Termination Event"), as described in section 13. No termination of the appointment of the Servicer takes effect until a substitute servicer has been appointed on terms approved by the Trustee. The Back-up Servicer Facilitator will assist the Issuer in identifying and appointing a substitute servicer in accordance with the Back-up Servicer Facilitator Agreement. The Issuer will give notice to the Noteholders of any change of the Servicer or the Cash Manager in accordance with Condition 14.

(e) Account Bank. If the Account Bank ceases to have the minimum ratings required by the Issuer Accounts Agreement (as described in section 14), the Issuer will, within 30 calendar days, either transfer the Issuer Accounts to a bank that has those ratings, or obtain a guarantee of the Account Bank's obligations from a person that has those ratings, or take any other action in respect of which Rating Agency Confirmation is obtained.

(f) **Further issues.** The Issuer will not issue any further notes, whether or not ranking *pari passu* with or subordinated to any Class of Notes, and will not acquire any further receivables after the Closing Date, other than replacement receivables substituted by the Seller in the limited circumstances permitted by the Receivables Sale Agreement and described in section 12.

Condition 5 — Interest

(a) **Accrual of interest.** Each Note bears interest on its Principal Amount Outstanding from (and including) the Closing Date. Interest is payable monthly in arrear on each Payment Date in respect of the Interest Period ending on (but excluding) that Payment Date. Each Note (or, in the case of the redemption of part only of a Note, that part) ceases to bear interest from its due date for redemption, unless payment of principal is improperly withheld or refused, in which case it continues to bear interest in accordance with this Condition (both before and after judgment) until whichever is the earlier of: (i) the day on which all sums due on that Note up to that day are received by or on behalf of the relevant Noteholder; and (ii) the day falling five Business Days after the Principal Paying Agent or the Trustee has notified the Noteholders, in accordance with Condition 14, that it has received all sums due on that Note up to that fifth Business Day (except to the extent that there is any subsequent default in payment).

(b) **Rate of Interest.** The rate of interest payable on each Class of Notes for each Interest Period (the "Rate of Interest") is the sum of Compounded Daily SONIA for that Interest Period, determined by the Agent Bank under Condition 5(c), and the margin for that Class set out in section 4 (the "Relevant Margin"). The Relevant Margin of each Class is fixed on the Closing Date for the life of the Notes and does not step up. If the Rate of Interest so determined for any Class and any Interest Period is less than zero, the Rate of Interest for that Class and that Interest Period will be zero.

(c) **Compounded Daily SONIA.** "Compounded Daily SONIA" means, for an Interest Period, the rate of return of a daily compound interest investment in sterling (with the daily Sterling Overnight Index Average as the reference rate for the calculation of interest), calculated by the Agent Bank on the Interest Determination Date for that Interest Period as follows, the resulting percentage being rounded, if necessary, to the fourth decimal place, with 0.00005 being rounded upwards:

(i) for each London Banking Day in the Interest Period, the Agent Bank takes the SONIA rate for the London Banking Day falling five London Banking Days before it (the "Lookback Rate"), multiplies it by the number of calendar days from (and including) that London Banking Day to (but excluding) the next London Banking Day, divides the result by 365, and adds one;

(ii) the Agent Bank then multiplies together all the factors obtained under paragraph (i) for the London Banking Days in the Interest Period, and subtracts one from the product; and

(iii) the Agent Bank multiplies the result by 365 and divides it by the number of calendar days in the Interest Period.

In this Condition: "**SONIA**" means, for any London Banking Day, a reference rate equal to the daily Sterling Overnight Index Average rate for that London Banking Day as provided by the Bank of England, as administrator of that rate (or any successor administrator), to authorised distributors and as then published on the relevant screen page designated by those distributors (the "Relevant Screen Page") or, if the Relevant Screen Page is unavailable, as otherwise published by those authorised distributors, in each case on the London Banking Day immediately following that London Banking Day; "**London Banking Day**" means any day on which commercial banks are open for general business (including dealing in foreign exchange and foreign currency deposits) in London; and "**Interest Determination Date**" means, for each Interest Period, the fifth London Banking Day before the Payment Date on which that Interest Period ends.

The lookback of five London Banking Days is applied to the SONIA rate only: the days on which the rate is weighted and the number of days in the Interest Period are those of the Interest Period itself. The "Compounded Daily SONIA" so determined for each Interest Period is reported in the monthly investor report as the SONIA rate for the related Collection Period.

(d) SONIA fallback. If, in respect of any London Banking Day, the Agent Bank determines that SONIA is not made available on the Relevant Screen Page and has not otherwise been published by the authorised distributors, SONIA for that London Banking Day will be: (i) the Bank of England's Bank Rate (the "Bank Rate") prevailing at close of business on that London Banking Day; plus (ii) the mean of the spread of SONIA to the Bank Rate over the previous five days on which SONIA has been published, excluding the highest spread (or, if there is more than one highest spread, one only of those highest spreads) and the lowest spread (or, if there is more than one lowest spread, one only of those lowest spreads). Notwithstanding the preceding sentence, if the Bank of England publishes guidance as to how SONIA is to be determined, or as to any rate that is to replace SONIA, the Agent Bank will, to the extent that it is reasonably practicable, follow that guidance in order to determine SONIA for so long as SONIA is not available or has not been published by the authorised distributors.

If the Rate of Interest cannot be determined in accordance with Conditions 5(c) and 5(d) by the Agent Bank, the Rate of Interest for the relevant Interest Period will be the Rate of Interest last determined for the relevant Class for the immediately preceding Interest Period (or, if there has been no preceding Interest Period, the rate which would have applied to the first Interest Period had the Notes been in issue for a full month ending on the Closing Date). The application of this paragraph is without prejudice to the operation of Condition 12(g) on the occurrence of a Benchmark Rate Disruption Event.

(e) Interest Amount. The Agent Bank will, as soon as practicable after the Interest Determination Date for each Interest Period, calculate the amount of interest payable on each Class of Notes for that Interest Period (the "Interest Amount"). The Interest Amount of a Class is the Principal Amount Outstanding of that Class on the first day of the Interest Period (after taking into account any payment of principal made on that day) multiplied by one-twelfth of the Rate of Interest of that Class, the result being rounded to the nearest penny (half a penny being rounded upwards). The same fraction of one-twelfth applies to every Interest Period, including the first Interest Period and any Interest Period that is lengthened or shortened because a Payment Date is not a Business Day. The Interest Amount payable on each Note of a Class is the Interest Amount of that Class multiplied by the fraction that the Principal Amount Outstanding of that Note represents of the Principal Amount Outstanding of the Class, rounded down to the nearest penny.

(f) Publication. The Agent Bank will cause the Rate of Interest and the Interest Amount of each Class for each Interest Period, and the related Payment Date, to be notified to the Issuer, the Cash Manager, the Trustee, the Principal Paying Agent and the Clearing Systems as soon as possible after their determination and in any event no later than the third Business Day before the related Payment Date, and will cause them to be published in accordance with Condition 14. The Interest Amounts and the Payment Date so notified may be amended (or appropriate alternative arrangements made by way of adjustment) without notice if the Interest Period is extended or shortened. The Servicer will include the Rate of Interest and the Interest Amount of each Class in the monthly investor report described in section 18.

(g) Determination by the Trustee. If the Agent Bank does not at any time determine the Rate of Interest or calculate the Interest Amount of any Class in accordance with this Condition, the Trustee may (but is not obliged to) do so, or appoint an agent to do so on its behalf, at the cost of the Issuer, in the manner provided in this Condition, having regard as it thinks fit to the procedures described above. Each such determination or calculation will be deemed to have

been made by the Agent Bank, and the Trustee will have no liability to any person in connection with it.

(h) **Notifications to be final.** All notifications, opinions, determinations, certificates, calculations, quotations and decisions given, expressed, made or obtained for the purposes of this Condition, whether by the Agent Bank or the Trustee, will (in the absence of wilful default, fraud or manifest error) be binding on the Issuer, the Agent Bank, the Trustee, the other Agents and all Noteholders, and (in the absence of wilful default, fraud or manifest error) no liability to the Issuer or the Noteholders will attach to the Agent Bank or the Trustee in connection with the exercise or non-exercise by them of their powers, duties and discretions.

(i) **Interest deferral.** To the extent that, on any Payment Date before the delivery of an Enforcement Notice, the Available Funds (including any amount drawn from the Reserve Fund in accordance with section 16) are not sufficient, after paying the items ranking in priority to it in the Pre-Enforcement Priority of Payments, to pay in full the Interest Amount of any Class other than the Most Senior Class, the amount of the shortfall (the "Deferred Interest") will not then fall due. The Issuer will instead create a provision in its accounts for the Deferred Interest and pay it, together with interest accrued on it at the Rate of Interest of the relevant Class for each subsequent Interest Period, on the next Payment Date and on each later Payment Date on which there are sufficient Available Funds to do so, in the position in the Pre-Enforcement Priority of Payments of the interest of that Class. The deferral of interest under this paragraph is not an Event of Default. All Deferred Interest and interest on it will in any event fall due on the earliest of the redemption of the relevant Notes in full under Condition 6, the Final Maturity Date and the delivery of an Enforcement Notice. Interest on the Most Senior Class may not be deferred: a failure to pay it in full when due is an Event of Default under Condition 10(a)(i). The Cash Manager will notify the Noteholders, in accordance with Condition 14, of any Deferred Interest on a Class.

(j) **The Agent Bank.** The Issuer will procure that, so long as any Note is outstanding, there is at all times an Agent Bank. The Issuer may, with the prior written approval of the Trustee, terminate the appointment of the Agent Bank and appoint another leading bank or financial institution in London to act in its place. If the Agent Bank is unable or unwilling to continue to act, or fails duly to determine the Rate of Interest or calculate the Interest Amount of any Class for any Interest Period, the Issuer will appoint a successor. The Agent Bank may not resign its duties without a successor having been appointed.

Condition 6 — Redemption

(a) **Final redemption.** Unless previously redeemed in full and cancelled as provided in this Condition, the Issuer will redeem the Notes of each Class at their Principal Amount Outstanding, together with accrued interest, on the Payment Date falling on 20 December 2032 (the "Final Maturity Date"). The Issuer may not redeem or purchase Notes other than in accordance with this Condition. The Final Maturity Date falls after the latest scheduled maturity of any Loan Agreement in the Portfolio, to allow time for the collection of balloon payments, the recovery of amounts due on defaulted Loan Agreements and the sale of the related Financed Vehicles.

(b) **Mandatory redemption in part.** On each Payment Date before the delivery of an Enforcement Notice, the Issuer will redeem the Notes in part by applying, in accordance with the Pre-Enforcement Priority of Payments, the amount of Available Funds remaining after the payment of the items ranking in priority to principal on the Notes (the "Principal Payment Amount"). The Principal Payment Amount for each Payment Date is limited to the amount needed to reduce the aggregate Principal Amount Outstanding of the Notes to the Pool Balance at the end of the immediately preceding Collection Period (the "Target Principal Amount"). The Principal Payment Amount is applied:

(i) until the first Payment Date following the occurrence of a Trigger Event, *pro rata* to the Principal Amount Outstanding of the Class A Notes, the Class B Notes, the Class C Notes and the Class D Notes; and
(ii) from (and including) the first Payment Date following the occurrence of a Trigger Event, sequentially: first to the Class A Notes until they are redeemed in full, then to the Class B Notes until they are redeemed in full, then to the Class C Notes until they are redeemed in full and finally to the Class D Notes, as described in section 4 and section 16.

The change from *pro rata* to sequential redemption under paragraph (ii) is permanent and does not reverse if the Trigger Event ceases to apply. The amount applied to each Class is apportioned among the Notes of that Class *pro rata* to their Principal Amount Outstanding, rounded down to the nearest penny.

(c) Principal deficiency. If the Principal Payment Amount for any Payment Date is less than the amount needed to reduce the aggregate Principal Amount Outstanding of the Notes to the Target Principal Amount, the excess of the aggregate Principal Amount Outstanding of the Notes (after the payments made on that Payment Date) over the Pool Balance at the end of the preceding Collection Period is a "Principal Deficiency". A Principal Deficiency is not an Event of Default. It is reduced on later Payment Dates by the application of Available Funds in the manner described in section 15 and, to the extent not so reduced, it is borne by the Notes in reverse order of seniority on the Final Maturity Date or on enforcement. The Cash Manager will record the amount of any Principal Deficiency on each Calculation Date and the Servicer will report it in the monthly investor report.

(d) Optional redemption: clean-up call. On any Payment Date on which the Pool Balance at the end of the immediately preceding Collection Period is less than 10% of the Pool Balance at the Cut-off Date, Kestrel Motor Finance Ltd, as Seller, may under the Sale Agreement repurchase all (but not some) of the Loan Agreements then held by the Issuer, together with all the related Receivables and the Issuer's interest in the related Financed Vehicles (the "Clean-Up Call"). The repurchase price paid by the Seller funds the redemption of the Notes. If the Seller exercises the Clean-Up Call, the Issuer will redeem all (but not some) of the Notes on that Payment Date at their Principal Amount Outstanding together with accrued and unpaid interest (including any Deferred Interest and interest on it), provided that:

(i) the Issuer has given not more than 60 nor fewer than 30 days' notice to the Trustee and to the Noteholders in accordance with Condition 14;
(ii) the repurchase price payable by the Seller is not less than the amount needed to redeem all the Notes as described above and to pay all amounts ranking in priority to or *pari passu* with the Notes in the Post-Enforcement Priority of Payments; and
(iii) before giving the notice, the Issuer has certified to the Trustee that it will have the necessary funds on the relevant Payment Date, and the Trustee is entitled to rely on that certificate without further enquiry.

The repurchase price for a defaulted Receivable is its fair market value, determined by the Servicer in accordance with its credit and collection policies; for every other Receivable it is the outstanding principal balance plus accrued interest. The Clean-Up Call is the only optional redemption of the Notes apart from the tax call in Condition 6(e): the Notes do not have a step-up date or a call on a fixed date.

(e) Optional redemption for tax reasons. If the Issuer satisfies the Trustee immediately before giving the notice referred to below that:

(i) on the next Payment Date the Issuer or any Paying Agent would be required to make a deduction or withholding for or on account of any present or future taxes, duties or charges of whatever nature from any payment of principal or interest on any Class of

Notes (other than because a Noteholder has some connection with the United Kingdom other than the holding of the Notes), by reason of a change in the tax law of the United Kingdom (or of any political sub-division or authority of it) or in its application or official interpretation, which change becomes effective after the Closing Date; or

(ii) by reason of such a change, the Issuer would be subject to United Kingdom corporation tax in an accounting period on an amount which materially exceeds the amount of its retained profit for that period as described in section 19, or the borrowers would be required to make any deduction or withholding from a payment on the Receivables,

and that the Issuer has used reasonable endeavours (if necessary with the agreement of the Trustee) to avoid that event by arranging the substitution of a company incorporated in another jurisdiction as principal debtor under Condition 15, then the Issuer may, on any Payment Date and on giving not more than 60 nor fewer than 30 days' notice to the Trustee and the Noteholders, redeem all (but not some) of the Notes at their Principal Amount Outstanding together with accrued and unpaid interest (including any Deferred Interest and interest on it). Before giving such notice the Issuer must deliver to the Trustee a certificate signed by two directors stating that the relevant event has occurred and that it will have the funds, not subject to any interest of any other person, needed to redeem the Notes and to pay all amounts ranking in priority to or *pari passu* with them, and an opinion of independent legal advisers of recognised standing that the event has occurred. The Trustee may accept the certificate and the opinion as sufficient evidence, and they will be conclusive and binding on the Noteholders. The funds needed for the redemption will come from the sale of the Receivables to the Seller or to a third party at a price not less than the amount described in Condition 6(d)(ii).

(f) **Principal Amount Outstanding and pool factor.** On each Calculation Date the Cash Manager will determine, for each Class: (i) the amount of principal to be paid on that Class on the next Payment Date; (ii) the Principal Amount Outstanding of each Note of that Class on that Payment Date after that payment; and (iii) the fraction expressed as a decimal to the sixth decimal place (the "Pool Factor") of which the numerator is that Principal Amount Outstanding and the denominator is the principal amount of that Note on the Closing Date. The Cash Manager will notify those determinations to the Issuer, the Trustee, the Agents and the Clearing Systems no later than the third Business Day before the Payment Date, and they will be published in accordance with Condition 14. If the Cash Manager does not make any such determination, it will be made by the Trustee (or an agent it appoints) in accordance with this Condition, and will be deemed to have been made by the Cash Manager.

(g) **Notice irrevocable.** Any notice of redemption given under Condition 6(d) or 6(e) is irrevocable, and on its expiry the Issuer is bound to redeem the Notes concerned. A certificate given by the Issuer under those Conditions binds the Noteholders.

(h) **Purchases and cancellation.** The Issuer may not purchase any Notes. All Notes redeemed in full will be cancelled immediately and may not be reissued or resold. A Note that is redeemed in part will remain outstanding for its reduced Principal Amount Outstanding.

(i) **No other redemption.** Except as described in this Condition and in Condition 11, the Notes will not be redeemed before the Final Maturity Date. Noteholders have no right to require the Issuer to redeem their Notes. The timing of redemption under Condition 6(b) depends on the rate at which borrowers repay, prepay or default on the Receivables, on the exercise of voluntary termination rights under sections 99 and 100 of the Consumer Credit Act 1974 and on the payment of balloon amounts under personal contract purchase agreements; the weighted average lives of the Notes under various assumptions are described in section 17.

Condition 7 — Payments

(a) **Method of payment.** Payments of principal and interest on the Notes will be made by transfer to the registered account of the Noteholder. While the Notes are represented by a Global Note, each payment will be made to, or to the order of, the holder of the Global Note, which will be the nominee of the common depositary of the Clearing Systems, and each Accountholder must look solely to the relevant Clearing System for its share of that payment. Payments on Definitive Notes will be made by transfer to a sterling account maintained by the payee with a bank in London, details of which appear on the Register at the close of business on the fifteenth day before the due date for payment (the "Record Date"). Payments of principal on the final redemption of a Definitive Note will be made only against surrender of that Note at the specified office of the Registrar or of any Paying Agent.

(b) **Payments subject to law.** All payments are subject in all cases to any applicable fiscal or other laws, regulations and directives in the place of payment, and to any deduction or withholding required by an agreement described in section 1471(b) of the US Internal Revenue Code of 1986 or otherwise imposed under sections 1471 to 1474 of that Code, any regulations or agreements under them, any official interpretation of them or any law implementing an intergovernmental approach to them, but without prejudice to Condition 8. No commission or expense will be charged to the Noteholders in respect of any payment.

(c) **Payments on Business Days.** If the due date for any payment on a Note is not a Business Day, the holder is not entitled to payment until the next Business Day and is not entitled to any further interest or other payment as a result of the delay. The Interest Amount for an Interest Period is not adjusted for the delay, and the next Interest Period ends on the next Payment Date determined in accordance with the definition of Payment Date.

(d) **Partial payments.** If the amount of principal or interest paid on a Note is less than the amount then due (including where interest is deferred under Condition 5(i)), the Registrar will annotate the Register with a record of the amount paid, and that annotation is *prima facie* evidence that the payment has been made.

(e) **Paying Agents.** The initial Principal Paying Agent, Agent Bank and Registrar and their initial specified offices are set out in section 21. The Issuer may, with the prior written approval of the Trustee, vary or terminate the appointment of any Agent and appoint additional or other Agents, provided that it will at all times maintain a Principal Paying Agent, an Agent Bank and a Registrar, each having a specified office in London. Notice of any change in the Agents or their specified offices will be given to the Noteholders in accordance with Condition 14. The Agents act solely as agents of the Issuer and, in certain circumstances described in the Agency Agreement, of the Trustee, and do not assume any obligation or relationship of agency or trust with or for any Noteholder.

(f) **Payments from the Issuer Accounts.** On the Business Day before each Payment Date, the Cash Manager will instruct the Account Bank to transfer from the Transaction Account to the Principal Paying Agent the amounts to be paid on the Notes on that Payment Date in accordance with the Pre-Enforcement Priority of Payments. Each payment made by the Issuer to the Principal Paying Agent in accordance with the Agency Agreement discharges the obligation of the Issuer to make the corresponding payment on the Notes, except to the extent that the Principal Paying Agent subsequently fails to make that payment to the Noteholders.

Condition 8 — Taxation

(a) **Payments without withholding.** All payments of principal and interest on the Notes will be made without withholding or deduction for or on account of any present or future taxes, duties, assessments or governmental charges of whatever nature, unless the Issuer, the Trustee

or any Paying Agent (as the case may be) is required by law to make such a withholding or deduction. In that event, the Issuer, the Trustee or the Paying Agent will make the payment after the withholding or deduction and will account to the relevant authority for the amount withheld or deducted.

(b) **No gross-up.** Neither the Issuer, nor the Trustee, nor any Paying Agent will be obliged to pay any additional amount to any Noteholder in respect of any withholding or deduction made under Condition 8(a). The imposition of such a withholding or deduction is not an Event of Default; it may, however, entitle the Issuer to redeem the Notes under Condition 6(e).

(c) **United Kingdom withholding.** Because the Notes are not listed on a recognised stock exchange, the exemption from United Kingdom withholding tax for quoted Eurobonds in section 882 of the Income Tax Act 2007 is not available, and interest on the Notes is in principle payable after deduction of United Kingdom income tax at the basic rate. The Issuer may nevertheless pay interest without withholding or deduction where an exemption or relief applies, including where the Issuer reasonably believes that the person beneficially entitled to the interest is a company within the charge to United Kingdom corporation tax in respect of it or is another person listed in sections 933 to 937 of the Income Tax Act 2007, where the Notes are a qualifying private placement within section 888A of that Act and the conditions for that exemption are met, or where HMRC has directed the Issuer to pay interest without deduction (or at a reduced rate) under an applicable double taxation treaty. The position, including the information Noteholders must provide in order to benefit from an exemption, is described in section 19. Noteholders should take their own advice on the tax consequences of acquiring, holding and disposing of the Notes.

(d) **Tax information.** Each Noteholder, by acquiring a Note or an interest in a Note, agrees to provide the Issuer, the Paying Agents and the Trustee with any information, documentation or certification that they reasonably request in order to determine whether a payment on the Notes may be made without, or at a reduced rate of, withholding or deduction for or on account of tax, or in order to comply with any reporting obligation of the Issuer under the law of the United Kingdom or under any intergovernmental agreement to which the United Kingdom is a party.

Condition 9 — Prescription

Claims against the Issuer for payment of principal on the Notes become void unless made within ten years, and claims for payment of interest on the Notes become void unless made within five years, in each case from the Relevant Date. In this Condition, the "**Relevant Date**" means, for any payment, the date on which it first becomes due or (if the full amount payable has not been received by the Principal Paying Agent or the Trustee on or before that date) the date on which, the full amount having been so received, notice to that effect is given to the Noteholders in accordance with Condition 14. Any moneys paid by the Issuer to the Principal Paying Agent for a payment that becomes void under this Condition will be repaid to the Issuer, and the Principal Paying Agent will have no further liability for them. The periods in this Condition are without prejudice to the Limitation Act 1980, which applies to any claim under the Trust Deed.

Condition 10 — Events of default

(a) **Events of Default.** Each of the following events is an "Event of Default":

(i) the Issuer fails to pay any interest due on the Most Senior Class within five Business Days of the due date for that payment, or fails to pay any principal due on any Class of Notes within seven Business Days of the due date for that payment (it being understood that the deferral of interest under Condition 5(i), and any Principal Deficiency under Condition 6(c), is not a failure to pay an amount then due);

(ii) the Issuer fails to perform or observe any of its other obligations under the Notes, the Trust Deed, the Deed of Charge or any other Transaction Document, and (except where the Trustee considers that the failure is incapable of remedy, in which case no notice or continuation is required) the failure continues for 30 days (or any longer period the Trustee permits) after the Trustee has given written notice of it to the Issuer requiring it to be remedied;

(iii) any representation or warranty made by the Issuer in any Transaction Document, or in any certificate delivered under it, proves to have been incorrect in any material respect when made or repeated, and the matters giving rise to the misrepresentation are not remedied within 30 days after the Trustee has given written notice of it to the Issuer;

(iv) an order is made or an effective resolution is passed for the winding up of the Issuer, except a winding up for the purposes of a reconstruction or amalgamation on terms previously approved in writing by the Trustee or by an Extraordinary Resolution of the Most Senior Class;

(v) the Issuer ceases or threatens to cease to carry on all or substantially all of its business, other than as permitted by the Transaction Documents, or the Issuer stops or threatens to stop payment of, or is unable or admits its inability to pay, its debts as they fall due, or is deemed unable to pay its debts within the meaning of section 123(1) or (2) of the Insolvency Act 1986 (on the basis that the reference in section 123(1)(a) to £750 is to £1,000,000 or any higher amount the Trustee approves);

(vi) proceedings are initiated against the Issuer under any applicable liquidation, insolvency, composition, reorganisation or similar law (including the presentation of a petition for an administration order, the filing of documents with the court for the appointment of an administrator, or the giving of notice of intention to appoint an administrator, in each case other than by the Trustee), or an administrative or other receiver, administrator or similar official is appointed in relation to the Issuer or the whole or any substantial part of its undertaking or assets, or an encumbrancer takes possession of the whole or any substantial part of its undertaking or assets, or a distress, execution, diligence or other process is levied or enforced on the whole or any substantial part of its undertaking or assets and is not discharged within 14 days;

(vii) the Issuer initiates or consents to judicial proceedings relating to itself under any applicable liquidation, insolvency, composition, reorganisation or similar law, or makes a conveyance or assignment for the benefit of its creditors generally, or enters into any composition or other arrangement with its creditors generally (including a moratorium under Part A1 of the Insolvency Act 1986 or a restructuring plan under Part 26A of the Companies Act 2006); or

(viii) it is or becomes unlawful for the Issuer to perform or comply with any of its material obligations under the Notes or the Trust Deed.

The occurrence of a Trigger Event, a Servicer Termination Event or a Perfection Event is not, of itself, an Event of Default.

(b) Certification of material prejudice. In the case of the events in Condition 10(a)(ii) and 10(a)(iii), the Trustee may give an Enforcement Notice only if it has certified in writing to the Issuer that, in its opinion, the event is materially prejudicial to the interests of the holders of the Most Senior Class. In giving that certificate the Trustee may rely on the advice of any adviser it appoints and on any report of the Servicer or the Cash Manager.

(c) Delivery of an Enforcement Notice. If an Event of Default occurs and is continuing, the Trustee at its absolute discretion may, and shall if so requested in writing by the holders of at least 25% of the aggregate Principal Amount Outstanding of the Most Senior Class or if so directed by an Extraordinary Resolution of the holders of the Most Senior Class (subject in each case to its being indemnified and/or secured and/or prefunded to its satisfaction), give written

notice to the Issuer (an "Enforcement Notice") declaring the Notes to be immediately due and repayable. On the delivery of an Enforcement Notice, all the Notes become immediately due and repayable at their Principal Amount Outstanding together with accrued interest (including any Deferred Interest and interest on it) as provided in the Trust Deed, and the Security becomes enforceable. Only the holders of the Most Senior Class may direct the Trustee to deliver an Enforcement Notice; the holders of any other Class have no right to do so while the Most Senior Class is outstanding.

(**d**) **Notice.** The Issuer will notify the Noteholders, the Rating Agencies and the other Secured Creditors of the delivery of an Enforcement Notice in accordance with Condition 14 and the Transaction Documents. After the delivery of an Enforcement Notice, no amount may be applied under the Pre-Enforcement Priority of Payments.

Condition 11 — Enforcement and limited recourse

(**a**) **Proceedings.** At any time after the delivery of an Enforcement Notice, the Trustee may, at its discretion and without further notice, take such proceedings, steps and actions against the Issuer or any other party to any Transaction Document as it thinks fit to enforce the Security and the other provisions of the Notes, the Trust Deed, the Deed of Charge and the other Transaction Documents, including the sale of the Receivables, the appointment of a receiver or administrative receiver (a "Receiver"), and the giving of notice to the borrowers under the Loan Agreements. The Trustee is not bound to take any such proceedings, steps or actions unless:

(i) it has been so directed by an Extraordinary Resolution of the holders of the Most Senior Class, or so requested in writing by the holders of at least 25% of the aggregate Principal Amount Outstanding of the Most Senior Class; and

(ii) it has been indemnified and/or secured and/or prefunded to its satisfaction against all liabilities, costs and expenses to which it may thereby become liable or which it may incur.

(**b**) **Sale of the Receivables.** The Trustee may sell the Receivables after the delivery of an Enforcement Notice only if: (i) the proceeds of sale would be sufficient to discharge in full all amounts due on the Notes and all amounts ranking in priority to or *pari passu* with them in the Post-Enforcement Priority of Payments; or (ii) the Trustee is of the opinion, which it may reach on the advice of a financial adviser selected by it (and on which it may rely without further enquiry), that the cash flows expected to be received by the Issuer will not, or are not likely to, be sufficient to discharge those amounts as they fall due; or (iii) the sale is sanctioned by an Extraordinary Resolution of the holders of each Class of Notes then outstanding.

(**c**) **Post-Enforcement Priority of Payments.** After the delivery of an Enforcement Notice, the Trustee will apply all moneys received by it or by any Receiver in respect of the Security, including the amount standing to the credit of the Reserve Account, in the order set out in the Deed of Charge. Under that order, the costs, fees and expenses of the Trustee and any Receiver, and the amounts due to the Servicer, the Cash Manager, the Account Bank, the Agents and the Corporate Services Provider, are paid first; then interest and principal on the Class A Notes, interest and principal on the Class B Notes, interest and principal on the Class C Notes and interest and principal on the Class D Notes, in that order, with interest on each Class being paid before principal on that Class and no amount being paid on a Class until all amounts due on each Class ranking above it have been paid in full; and finally deferred consideration to the Seller. The order differs from the Pre-Enforcement Priority of Payments described in section 15 in that principal on each Class is paid immediately after interest on that Class, and there is no reserve fund replenishment and no *pro rata* redemption.

(**d**) **Only the Trustee may enforce.** No Noteholder is entitled to proceed directly against the Issuer or any other party to the Transaction Documents, or to take any action to enforce the

Security, unless the Trustee, having become bound to do so, fails to do so within a reasonable period and the failure is continuing. Even then, a Noteholder may not: (i) take any step for the purpose of recovering any of the Secured Obligations owed to it, or enforcing any rights arising out of the Transaction Documents, other than in the name of the Trustee and in accordance with the Deed of Charge; (ii) initiate or join any person in initiating any insolvency, winding-up, administration or similar proceeding in relation to the Issuer, until the date falling two years and one day after the date on which all the Notes have been redeemed in full; or (iii) take any step that would result in the Post-Enforcement Priority of Payments not being observed.

(e) **Limited recourse.** The Notes are limited recourse obligations of the Issuer. The Issuer's assets available to meet its obligations on the Notes are limited to the Receivables, the Financed Vehicles to the extent of the Issuer's interest in them, the Issuer Accounts and its rights under the Transaction Documents. If the Trustee, having realised the Security in full, certifies that there are no further assets of the Issuer available to pay any amount outstanding on the Notes of any Class (after paying all amounts ranking in priority to or *pari passu* with them), the Noteholders of that Class will have no further claim against the Issuer for that amount, and the obligation of the Issuer to pay it will be extinguished. The Notes are not obligations of, and are not guaranteed by, Kestrel Group plc, the Seller, the Servicer, the Originator, the Trustee, the Cash Manager, the Account Bank, the Agents, the Corporate Services Provider, the Lead Manager, Holdings or any other person.

(f) **No liability of directors.** No recourse may be had for any amount due on the Notes against any officer, member, director, employee, security holder or incorporator of the Issuer or of Holdings, or against their successors or assigns, in their capacity as such.

(g) **Trustee's rights.** The Trust Deed contains provisions for the indemnification of the Trustee and for its relief from responsibility, including provisions relieving it from taking proceedings to enforce repayment unless indemnified and/or secured and/or prefunded to its satisfaction. The Trustee and its affiliates may enter into business transactions with the Issuer, the Seller, the Servicer and any of their affiliates without accounting for any profit. The Trustee is not liable for any loss arising from its acting on any instruction given by an Extraordinary Resolution, or by the holders of the required percentage of the Most Senior Class, even if it later appears that the instruction was not validly given.

Condition 12 — Meetings of noteholders, modification and waiver

(a) **Meetings.** The Trust Deed contains provisions for convening meetings of the Noteholders of any Class, or of two or more Classes, to consider matters affecting their interests, including the sanctioning by Extraordinary Resolution of a modification of the Conditions or of any Transaction Document. A meeting may be convened by the Issuer or by the Trustee, and the Trustee must convene a meeting if requested in writing by Noteholders holding at least 10% of the aggregate Principal Amount Outstanding of the relevant Class or Classes, subject to being indemnified and/or secured and/or prefunded to its satisfaction. At least 21 clear days' notice (exclusive of the day on which the notice is given and of the day of the meeting) must be given of a meeting. Meetings may be held in person, by electronic platform or by a combination of both, as the Trust Deed provides.

(b) **Resolutions.** An "**Ordinary Resolution**" is a resolution passed at a quorate meeting by a majority of more than 50% of the votes cast. An "**Extraordinary Resolution**" is a resolution passed at a quorate meeting by a majority of at least 75% of the votes cast. A resolution in writing signed by or on behalf of the holders of at least 75% (for an Extraordinary Resolution) or more than 50% (for an Ordinary Resolution) of the aggregate Principal Amount Outstanding of the relevant Class (a "**Written Resolution**"), and consent given by electronic means through

the Clearing Systems by holders of the same proportion (an "**Electronic Consent**"), each takes effect as if passed at a duly convened meeting.

(c) Quorum. The quorum at a meeting to pass an Ordinary Resolution is one or more persons holding or representing more than 25% of the aggregate Principal Amount Outstanding of the relevant Class (or, at an adjourned meeting, one or more persons holding or representing any amount). The quorum at a meeting to pass an Extraordinary Resolution, other than one sanctioning a Basic Terms Modification, is one or more persons holding or representing more than 50% of the aggregate Principal Amount Outstanding of the relevant Class (or, at an adjourned meeting, more than 25%). The quorum at a meeting to pass an Extraordinary Resolution sanctioning a Basic Terms Modification is one or more persons holding or representing at least 75% of the aggregate Principal Amount Outstanding of the relevant Class (or, at an adjourned meeting, at least 25%).

(d) Basic Terms Modifications. A "**Basic Terms Modification**" is a modification that would: (i) change any date fixed for payment of principal or interest on any Class, including the Final Maturity Date; (ii) reduce the amount of principal or interest payable on any Class, or change the method of calculating it, other than a Benchmark Rate Modification under Condition 12(g); (iii) change the currency of payment of any Class; (iv) alter the Pre-Enforcement Priority of Payments or the Post-Enforcement Priority of Payments in a way that affects the amount or timing of payments on any Class; (v) release the Security other than as permitted by the Transaction Documents; (vi) change the quorum required at any meeting or the majority required to pass an Extraordinary Resolution; or (vii) amend this definition. A Basic Terms Modification takes effect only if sanctioned by an Extraordinary Resolution of the holders of each Class then outstanding.

(e) Effect on other Classes. An Extraordinary Resolution passed by the holders of the Most Senior Class is binding on the holders of all the other Classes, irrespective of its effect on them, except an Extraordinary Resolution sanctioning a Basic Terms Modification. No Extraordinary Resolution of the holders of any other Class is effective unless the Trustee is of the opinion that it will not be materially prejudicial to the interests of the holders of each Class ranking above it, or it is sanctioned by an Extraordinary Resolution of the holders of each such Class. A resolution passed at a meeting of a Class is binding on all the holders of that Class, whether or not they were present or voted.

(f) Modification and waiver without the consent of Noteholders. The Trustee may agree, without the consent or sanction of the Noteholders or the other Secured Creditors, to: (i) any modification of the Conditions or of any Transaction Document (other than a Basic Terms Modification) that, in the opinion of the Trustee, is not materially prejudicial to the interests of the holders of the Most Senior Class; (ii) any modification that, in its opinion, is of a formal, minor or technical nature or is made to correct a manifest error or an error which is, to its satisfaction, proven; and (iii) any waiver or authorisation of any breach or proposed breach by the Issuer of the Conditions or any Transaction Document, or any determination that an Event of Default is not to be treated as such, if in its opinion the interests of the holders of the Most Senior Class will not be materially prejudiced by it. The Trustee may not exercise its power under paragraph (iii) in contravention of any express direction given by an Extraordinary Resolution of the holders of the Most Senior Class or of a written request by the holders of at least 25% of the Principal Amount Outstanding of that Class.

In addition, the Trustee is obliged, without the consent of the Noteholders, to concur with the Issuer in making any modification (other than a Basic Terms Modification) that the Issuer, or the Servicer on its behalf, certifies in writing is required solely: (i) to comply with any change in the criteria of a Rating Agency that applies to the Account Bank or to any other counterparty, or to enable the Issuer to appoint a replacement counterparty; (ii) to comply with the UK Secu-

ritisation Framework, including any change to the reporting or retention requirements, or with any obligation under the UK version of Regulation (EU) No 648/2012 on derivatives, central counterparties and trade repositories; (iii) to enable the Notes to be, or to remain, eligible as collateral for any central bank facility; or (iv) to avoid the Issuer becoming liable to taxation or ceasing to be a securitisation company, provided in each case that the Issuer has given at least 30 days' notice to the Noteholders of the proposed modification and that holders of 10% or more of the aggregate Principal Amount Outstanding of the Most Senior Class have not objected to it in writing within that period. The Trustee is not obliged to concur in any modification that would, in its opinion, expose it to any liability against which it has not been indemnified and/or secured and/or prefunded to its satisfaction, or that would add to its obligations or reduce its protections.

(g) Benchmark Rate Modification. If a Benchmark Rate Disruption Event occurs, the Issuer (or the Servicer on its behalf) may propose, and the Trustee will be obliged to concur with the Issuer in making, without the consent of the Noteholders, a modification of the Conditions and the Transaction Documents to change the benchmark rate on the Notes from SONIA to an alternative benchmark rate (an "Alternative Benchmark Rate") and to make any consequential amendments, including to the Relevant Margin by way of an adjustment spread (a "**Benchmark Rate Modification**"), provided that:

(i) the Issuer, or the Servicer on its behalf, certifies in writing to the Trustee (a "Benchmark Rate Modification Certificate") that a Benchmark Rate Disruption Event has occurred, that the modification is being made solely as a result of it and is required solely to implement the Alternative Benchmark Rate, and that the Alternative Benchmark Rate is: a rate formally recommended or published by the Bank of England, the FCA or the PRA or any working group or committee sponsored by any of them; or a rate that has replaced SONIA in customary market usage for sterling asset-backed floating rate notes; or such other rate as the Issuer reasonably determines, with reasons, to be appropriate;

(ii) the Issuer has given at least 30 days' notice of the proposed Benchmark Rate Modification to the Noteholders in accordance with Condition 14, and to the Trustee and the Rating Agencies; and

(iii) the holders of at least 10% of the aggregate Principal Amount Outstanding of the Most Senior Class have not notified the Issuer or the Principal Paying Agent in writing, within 30 days of the notice, that they do not consent to the modification.

If holders of 10% or more of the Most Senior Class object, the Benchmark Rate Modification will not be made unless it is sanctioned by an Extraordinary Resolution of the holders of the Most Senior Class (for which purpose the quorum and majority for an Extraordinary Resolution that is not a Basic Terms Modification apply). A "**Benchmark Rate Disruption Event**" means any of: (i) a material disruption to SONIA, a material change in its methodology or SONIA ceasing to exist or to be published; (ii) a public statement by the administrator of SONIA that it has ceased or will cease to publish SONIA permanently or indefinitely (where no successor administrator has been appointed); (iii) a public statement by the supervisor of the administrator of SONIA that SONIA has been or will be permanently or indefinitely discontinued, prohibited from being used or is no longer representative of its underlying market; (iv) it becoming unlawful for the Agent Bank, the Issuer or any Paying Agent to calculate any payment due on the Notes using SONIA; or (v) the reasonable expectation of the Issuer that any of the events in paragraphs (i) to (iv) will occur within six months. The Issuer may make a single Benchmark Rate Modification for the Notes of all Classes at the same time, and the same Alternative Benchmark Rate and the same method of determining it will apply to every Class. The Relevant Margin of each Class will remain as set out in section 4, adjusted only by the adjustment spread forming part of the Benchmark Rate Modification.

(**h**) **Notification.** Any modification, waiver, authorisation or determination under this Condition is binding on all the Noteholders and on the other Secured Creditors and, unless the Trustee agrees otherwise, will be notified by the Issuer to the Noteholders in accordance with Condition 14 and to the Rating Agencies as soon as practicable after it has been made.

(**i**) **Trustee's considerations.** In determining whether a matter is materially prejudicial to the interests of the holders of any Class, the Trustee may rely on a Rating Agency Confirmation, but is not bound to do so and a Rating Agency Confirmation is not a substitute for its own judgement. A Rating Agency Confirmation addresses only the effect of a matter on the ratings of the Notes and does not address its effect on the interests of the Noteholders generally.

Condition 13 — Replacement of notes

If a Definitive Note is mutilated, defaced, lost, stolen or destroyed, it may be replaced at the specified office of the Registrar, subject to all applicable laws, on payment by the claimant of the expenses incurred in connection with the replacement and on such terms as to evidence, security and indemnity as the Issuer and the Registrar may reasonably require. A mutilated or defaced Definitive Note must be surrendered before a replacement is issued. If a Definitive Note that has been replaced is subsequently presented for payment, the claimant must pay to the Issuer on demand the amount the Issuer pays on that Note. A Global Note that is mutilated, defaced, lost, stolen or destroyed will be replaced by the Issuer on the same terms, without any expense to the Accountholders.

Condition 14 — Notices

(**a**) **Notices while in global form.** While the Notes are represented by Global Notes, notices to the Noteholders will be valid if delivered to the Clearing Systems for communication by them to the Accountholders, and will be deemed to have been given on the day after the day on which they are delivered. Each investor report, and each notice of the Rate of Interest, the Interest Amounts, the Principal Payment Amount and the Pool Factor, will also be made available on the website maintained by the Originator as Reporting Entity for the purposes of the UK Securitisation Framework, as described in section 18; the availability of a report on that website is not a condition of the validity of a notice.

(**b**) **Notices while in definitive form.** If Definitive Notes are issued, notices to the Noteholders will be valid if sent by first-class post (or, if posted to an address outside the United Kingdom, by airmail) to the holders at their respective addresses shown in the Register, and will be deemed to have been given on the fourth day after the date of posting.

(**c**) **Other methods.** The Trustee may approve any other method of giving notice to the Noteholders, or to the holders of any Class, if in its opinion that method is reasonable having regard to the market practice then prevailing and to the requirements of the Clearing Systems, and notice so given will be deemed to have been given on the date the Trustee approves.

(**d**) **Notices from Noteholders.** Notices to be given by any Noteholder must be in writing and given by lodging them, with evidence of the holding satisfactory to the Principal Paying Agent, with the Principal Paying Agent or, while the Notes are represented by Global Notes, through the Clearing Systems in such manner as the Principal Paying Agent and the Clearing Systems approve.

(**e**) **Rating Agencies.** The Issuer will give a copy of every notice given under this Condition to each Rating Agency. A failure to do so does not affect the validity of the notice.

Condition 15 — Substitution of the issuer

(a) **Substitution.** The Trustee may agree with the Issuer, without the consent of the Noteholders or the other Secured Creditors, to the substitution of another company (the "Substituted Obligor") in place of the Issuer as principal debtor under the Notes, the Trust Deed and the other Transaction Documents, provided that:

(i) a deed is executed, or some other form of undertaking is given, by the Substituted Obligor, in a form and manner satisfactory to the Trustee, agreeing to be bound by the Notes, the Trust Deed and the other Transaction Documents as if it had been named in them as principal debtor;
(ii) the Substituted Obligor acquires the Issuer's interest in the Receivables and its other assets, and grants security over them in favour of the Trustee equivalent to the Security;
(iii) the Substituted Obligor is a special purpose company, with restrictions on its business equivalent to those in Condition 4, and its directors certify that it will be solvent immediately after the substitution;
(iv) the Trustee is satisfied that the substitution will not be materially prejudicial to the interests of the holders of the Most Senior Class, and Rating Agency Confirmation has been obtained for the substitution;
(v) where the Substituted Obligor is incorporated, domiciled or resident for tax purposes in a territory other than the United Kingdom, undertakings or covenants are given in terms corresponding to Condition 8 and Condition 6(e), with references to that territory in addition to the United Kingdom, and legal opinions satisfactory to the Trustee are delivered as to the law of that territory; and
(vi) the substitution complies with the UK Securitisation Framework and does not cause the Originator to cease to comply with its retention obligation described in Condition 2(f).

(b) **Effect.** On the substitution taking effect, the Substituted Obligor will be treated as the Issuer for every purpose, and the Issuer will be released from its obligations as principal debtor. The Issuer will give notice of the substitution to the Noteholders in accordance with Condition 14 within 14 days of its taking effect. In connection with any substitution, the Trustee will not have regard to the consequences for individual Noteholders resulting from their being domiciled or resident in, or otherwise connected with, any particular territory, and no Noteholder is entitled to claim from the Issuer, the Substituted Obligor or the Trustee any indemnification or payment in respect of any tax consequence of the substitution for that Noteholder.

Condition 16 — Rights of third parties

No person has any right under the Contracts (Rights of Third Parties) Act 1999 to enforce any term of the Notes, but this does not affect any right or remedy of any person which exists or is available apart from that Act. The parties to the Trust Deed may rescind or vary it without the consent of any person who is not a party to it, subject to Condition 12.

Condition 17 — Governing law and jurisdiction

(a) **Governing law.** The Notes, the Trust Deed, the Deed of Charge, the Agency Agreement and the other Transaction Documents, and any non-contractual obligation arising out of or in connection with any of them, are governed by and will be construed in accordance with English law.

(b) **Jurisdiction.** The courts of England have exclusive jurisdiction to settle any dispute arising out of or in connection with the Notes, including any dispute as to their existence, validity, interpretation, performance, breach or termination, or the consequences of their nullity, and any dispute relating to any non-contractual obligation arising out of or in connection with them

(a "Dispute"). The Issuer submits to the jurisdiction of the courts of England and waives any objection to them on the grounds that they are an inconvenient or inappropriate forum. This Condition is for the benefit of the Trustee and the Noteholders only. To the extent permitted by law, the Trustee may, in respect of any Dispute, take proceedings in any other court with jurisdiction, and concurrent proceedings in any number of jurisdictions.

(c) Service of process. The Issuer has its registered office in England and Wales and agrees that service of process in any proceedings in England may be effected by delivery to that registered office, or to any other address in England of which it gives notice to the Trustee.

6. Use of proceeds

The gross proceeds of the issue of the Notes on the Closing Date will be equal to the aggregate initial principal amount of the Notes set out in section 4, which is equal to the pool balance at the Cut-off Date (£74,075,862.24). The Issuer will apply the whole of those proceeds on the Closing Date to pay to the Seller the initial purchase price for the 5,000 loans in the portfolio and their related rights, under the Loan Sale Agreement (the "Initial Purchase Price"). The Seller will apply part of the Initial Purchase Price to repay the amounts outstanding under the private warehouse facility from which certain of the Loans are released on the Closing Date, as described in section 8, and will receive the balance for its general corporate purposes.

In addition to the Initial Purchase Price, the Issuer will pay to the Seller deferred consideration for the Loans (the "Deferred Consideration"). Deferred Consideration is payable on each Payment Date only out of the Available Funds that remain after every higher-ranking item in the Priority of Payments has been paid in full, as set out in section 15. The Seller has no claim against the Issuer for Deferred Consideration on any Payment Date on which those funds are insufficient.

The reserve fund described in section 16 will be funded by the Originator on the Closing Date and does not reduce the proceeds applied to the Initial Purchase Price. The fees and expenses of the Arranger and the Lead Manager and the other costs incurred in connection with the issue of the Notes will be paid by the Originator and will not be paid out of the proceeds of the Notes. None of the proceeds will be retained by the Issuer as profit, and the Issuer will not use any part of them for any other purpose.

7. The issuer and Holdings

Incorporation and status

Thames Auto Receivables 2026-1 plc (the "Issuer") was incorporated in England and Wales on 4 November 2025 as a public company limited by shares under the Companies Act 2006, with registered number 16048213. The registered office of the Issuer is at 8 Aldermary Lane, London EC4, and that is also its principal place of business. The Issuer has no telephone number of its own; it may be contacted through the Corporate Services Provider at the same address.

The Issuer was established as a special purpose vehicle for the purpose of issuing asset-backed securities. It is an orphan company: it is not a subsidiary of the Originator or of any company in the Kestrel group, and no party to the Transaction Documents other than Holdings has any ownership interest in it. The Issuer is a "securitisation company" for the purposes of the Taxation of Securitisation Companies Regulations 2006 (SI 2006/3296), as described in section 19.

Share capital of the Issuer

The issued share capital of the Issuer is £50,000, divided into 50,000 ordinary shares of £1 each. One share is fully paid up and 49,999 shares are each paid up as to 25 pence, so that £12,500.75 of the issued share capital has been paid up. Holdings is the legal and beneficial owner of 49,999 shares, and Pellam Corporate Services Ltd holds the remaining share as nominee for Holdings under a declaration of trust in favour of Holdings. The Issuer has no other class of shares, no shares held in treasury and no outstanding options, warrants or rights to subscribe for shares, and it has not issued any convertible or exchangeable securities.

The rights of the shareholders are set out in the articles of association of the Issuer. Holdings may not dispose of, or create any security interest over, the shares in the Issuer except in accordance with the Transaction Documents.

Principal activities of the Issuer

The principal objects of the Issuer are set out in its articles of association and include the purchase of receivables, the issue of debt securities, the entry into financial arrangements in connection with them and the grant of security for its obligations. Since its incorporation the Issuer has not engaged in any material activities other than those incidental to its incorporation, to its registration as a public company under the Companies Act 2006, to the authorisation and issue of the Notes, to the matters described or contemplated in this Prospectus and to the authorisation, execution, delivery and performance of the Transaction Documents. The Issuer has not commenced operations and has not prepared any financial statements as at the date of this Prospectus.

From the Closing Date the Issuer's activities will consist of holding the Loans and their related rights, receiving collections on them through the Servicer, paying interest and principal on the Notes and its other obligations in the order set out in the Priority of Payments in section 15, and performing its obligations and exercising its rights under the Transaction Documents. All of its assets will be charged to the Trustee under the Deed of Charge to secure its obligations to the Secured Creditors.

Restrictions on the Issuer

So long as any Note is outstanding, the Issuer has covenanted with the Trustee in the Trust Deed that, save as permitted by the Transaction Documents or with the prior written consent of the Trustee, it will not:

(a) carry on any business other than as described in this Prospectus and as contemplated by the Transaction Documents;

(b) incur any indebtedness for borrowed money, or give any guarantee or indemnity in respect of the indebtedness of any person, other than the Notes and the obligations it assumes under the Transaction Documents;

(c) create or permit to subsist any mortgage, charge, pledge, lien or other security interest over any of its assets or its undertaking, other than the security created by the Deed of Charge;

(d) sell, transfer or otherwise dispose of any of its assets, other than in accordance with the Transaction Documents;

(e) pay any dividend or make any other distribution to its shareholders, or issue any further shares;

(f) have any employees, own or lease any premises, or have any subsidiary undertaking;

(g) consolidate or merge with any other person or convey or transfer all or substantially all of its properties or assets to any other person;

(h) open or have an interest in any bank account other than the Issuer Accounts, unless the account is charged to the Trustee under the Deed of Charge;

(i) amend, supplement or waive any provision of its articles of association or of any Transaction Document, except as provided in the Conditions (section 5); or

(j) take any action which would cause it to cease to be a securitisation company for the purposes of the Taxation of Securitisation Companies Regulations 2006, or become resident for tax purposes in any jurisdiction other than the United Kingdom.

Directors and company secretary

The directors of the Issuer and their business addresses and principal outside activities are set out in the table below. Each director is an employee or officer of the Corporate Services Provider, which supplies the directors to the Issuer under the Corporate Services Agreement.

Name	Business address	Principal outside activities
Helena Ashcombe	8 Aldermary Lane, London EC4	Director of special purpose companies, Pellam Corporate Services Ltd
Rupert Vane-Dalby	8 Aldermary Lane, London EC4	Head of corporate administration, Pellam Corporate Services Ltd
Priya Sandeford	8 Aldermary Lane, London EC4	Director of special purpose companies, Pellam Corporate Services Ltd

The company secretary of the Issuer is Pellam Corporate Services Ltd, whose registered office is at 8 Aldermary Lane, London EC4.

The directors of the Issuer are also the directors of Holdings and act as directors of other special purpose companies, some of which may be parties to other securitisation transactions. There are no potential conflicts of interest between the duties of the directors to the Issuer and their

private interests or other duties, save that the directors are employees or officers of the Corporate Services Provider, which receives a fee for its services under the Corporate Services Agreement. The Corporate Services Agreement provides that the directors supplied by the Corporate Services Provider will act in the interests of the Issuer and in accordance with their duties under the Companies Act 2006, and not on the instructions of the Originator. The Issuer has no non-executive directors who are independent of the Corporate Services Provider and has not established an audit committee or a remuneration committee. As a company whose securities are not listed, the Issuer is not required to comply with the UK Corporate Governance Code and does not do so.

The appointment of the Corporate Services Provider may be terminated by the Issuer, with the prior written consent of the Trustee, on the occurrence of certain events, including the insolvency of the Corporate Services Provider or its material breach of the Corporate Services Agreement. The Corporate Services Provider may resign on not less than 90 days' notice, provided that a substitute corporate services provider has been appointed on substantially the same terms.

Capitalisation of the Issuer

The table below shows the capitalisation and indebtedness of the Issuer as at the Closing Date, adjusted for the issue of the Notes. The initial principal amount of each class of Notes is set out in section 4.

	Amount
Share capital	
Issued: 50,000 ordinary shares of £1 each	£50,000.00
Of which paid up (1 share fully paid, 49,999 shares paid up as to 25 pence each)	£12,500.75
Loan capital	
Class A Notes	the Notes, see section 4
Class B Notes	the Notes, see section 4
Class C Notes	the Notes, see section 4
Class D Notes	the Notes, see section 4
Total capitalisation and indebtedness	share capital paid up plus the Notes

Save as set out above and save for its obligations under the Transaction Documents, the Issuer has, as at the date of this Prospectus, no borrowings or indebtedness in the nature of borrowings, no term loans, no liabilities under acceptances or acceptance credits, no mortgages or charges, no guarantees and no other contingent liabilities. There has been no change in the capitalisation of the Issuer since its incorporation, other than the issue of the shares described above.

Holdings

Thames Auto Receivables Holdings Ltd ("Holdings") was incorporated in England and Wales on 3 November 2025 as a private company limited by shares under the Companies Act 2006, with registered number 16047795. Its registered office is at 8 Aldermary Lane, London EC4. The issued share capital of Holdings is £1, consisting of one ordinary share of £1, which is fully paid up and held by the Share Trustee.

The principal objects of Holdings are to acquire and hold, by way of investment, the shares in the Issuer and to carry on any business incidental to that purpose. Holdings has not engaged in any activities since its incorporation other than those incidental to its incorporation, to the

acquisition of the shares in the Issuer and to the matters contemplated in this Prospectus. Holdings has no employees and no subsidiary other than the Issuer, and it has given covenants to the Trustee, in a deed dated on or about the Closing Date, that it will not dispose of or charge the shares of the Issuer, or permit the Issuer to issue further shares, while any Note is outstanding. The directors of Holdings are the same persons as the directors of the Issuer, and its company secretary is Pellam Corporate Services Ltd.

Holdings has no right to any payment from the Issuer under the Transaction Documents and receives no dividend from the Issuer. It is not a party to the Deed of Charge and does not guarantee any obligation of the Issuer.

The share trust

The Share Trustee holds the share in Holdings under the terms of the Share Trust Deed on a discretionary trust for the benefit of one or more charities or for charitable purposes. The Share Trustee has no beneficial interest in, and derives no benefit (other than its fees for acting as share trustee) from, its holding of the share in Holdings. Any income it receives under the trust is applied for the benefit of the charitable purposes in its discretion. The Share Trust Deed provides that the trust will be wound up, and the shares of Holdings disposed of, only after all amounts due under the Notes and the other Transaction Documents have been paid in full.

This structure is intended to ensure that neither the Issuer nor Holdings is a subsidiary undertaking of the Originator or of any other party to the transaction for the purposes of the Companies Act 2006, and that the assets of the Issuer are not consolidated with those of the Originator on the insolvency of the Originator. The Originator does not control, directly or indirectly, the Issuer, Holdings or the Share Trustee, and none of them is accustomed to act in accordance with the directions of the Originator.

No employees and no subsidiaries

Neither the Issuer nor Holdings has, or will have while any Note is outstanding, any employees. The administrative functions of the Issuer are performed by the Corporate Services Provider, the servicing of the Loans by the Servicer and the operation of its bank accounts and the calculation of payments by the Cash Manager, in each case under the relevant Transaction Document. The Issuer has no subsidiary undertakings and, other than the Issuer, Holdings has none.

Accounts and auditors

The accounting reference date of the Issuer and of Holdings is 31 December. The first statutory accounts of the Issuer will be prepared for the period from its incorporation to 31 December 2026 and, in accordance with the Companies Act 2006, will be filed at Companies House within six months of that date, as a public company. The Issuer will prepare its accounts in accordance with United Kingdom generally accepted accounting practice, including Financial Reporting Standard 102. Holdings will prepare its accounts in the same way and, as a private company, will file them within nine months of its accounting reference date. Neither the Issuer nor Holdings has prepared any financial statements or published any accounts as at the date of this Prospectus.

Fennick & Rowe LLP, chartered accountants and registered auditors, of London, have been appointed as the auditors of the Issuer and of Holdings. Fennick & Rowe LLP is registered to carry out audit work in the United Kingdom by the Institute of Chartered Accountants in England and Wales. The Auditors have no material interest in the Issuer or in Holdings.

Copies of the audited annual accounts of the Issuer, when published, will be available for inspection as described in section 21, and the Issuer will deliver a copy of them to the Trustee and to the Principal Paying Agent. The Issuer is not required by the Conditions to prepare interim accounts.

8. The originator, seller and servicer

The information in this section has been provided by Kestrel Motor Finance Ltd and relates to Kestrel Motor Finance Ltd and its group. The Issuer confirms that this information has been accurately reproduced and that, so far as it is aware and is able to ascertain from information published or provided by Kestrel Motor Finance Ltd, no facts have been omitted which would render the reproduced information inaccurate or misleading. None of Corvane Securities plc (the "Arranger" and the "Lead Manager"), Larkmead Bank plc (the "Cash Manager"), the Issuer or the Trustee has independently verified this information or accepts any responsibility for it, other than the responsibility of the Issuer stated in this paragraph. Financial and operational figures in this section describe the business of Kestrel Motor Finance Ltd as a whole; they are not figures for the Portfolio, which is described only in section 10, and they are not terms of the Notes.

Introduction

Kestrel Motor Finance Ltd ("Kestrel" and, in its respective capacities in the Transaction, the "Originator", the "Seller" and the "Servicer") is a private limited company incorporated in England and Wales on 12 March 2004 under the Companies Act 1985 with registered number 05087341. Kestrel is a wholly owned subsidiary of Kestrel Group plc (the "Parent" and, together with its subsidiaries, the "Kestrel Group"), a public limited company incorporated in England and Wales which acts as the holding company of the Kestrel Group and has no operating business of its own. The shares of the Parent are not admitted to trading on any market; they are held by the founding shareholders, members of senior management under an employee share plan and a small number of institutional investors, none of which holds a controlling interest.

Kestrel is authorised and regulated by the Financial Conduct Authority (the "FCA") under the Financial Services and Markets Act 2000 ("FSMA") for the regulated activities of entering into regulated credit agreements as lender, exercising or having the right to exercise the lender's rights and duties under regulated credit agreements, credit broking, debt collecting and debt administration. Kestrel is entered on the Financial Services Register maintained by the FCA. Kestrel is also registered with the Information Commissioner's Office as a controller of personal data and is a member of the principal UK trade association for consumer and motor finance providers, whose lending code it has adopted.

Kestrel's business consists of the provision of point-of-sale finance to individual consumers for the purchase of new and used cars and light commercial vehicles supplied by franchised and independent motor dealers in England, Wales, Scotland and Northern Ireland. Its two principal products are hire purchase agreements ("HP Agreements") and personal contract purchase agreements ("PCP Agreements" and, together with HP Agreements, the "Finance Agreements"), each of which is a fixed-sum credit agreement regulated by the Consumer Credit Act 1974 (the "CCA") under which title to the financed vehicle remains with Kestrel until the borrower has paid all amounts due and exercised the option to purchase. Kestrel does not offer leasing products, does not lend on an unsecured basis and does not lend to businesses other than sole traders and small partnerships whose agreements are regulated by the CCA; agreements with sole traders and partnerships are not included in the Portfolio.

History and development

Kestrel was founded in 2004 by a group of former managers of the motor finance division of a UK clearing bank, with the intention of offering independent and medium-sized franchised dealers in the Midlands and the north of England a responsive alternative to the captive finance companies of the vehicle manufacturers. During its first three years Kestrel operated from a

single office in Leicester and financed its lending through a revolving credit facility provided by its founding shareholders and a bilateral bank facility.

From 2008 Kestrel extended its dealer network to the south of England and Wales and, in 2011, opened a regional office in Glasgow to serve dealers in Scotland. In 2013 Kestrel introduced its PCP product, which had until then been offered principally by captive lenders, and established a residual value function to set and monitor guaranteed future values (see section 9). In 2016 Kestrel began to finance dealers in Northern Ireland through a team based in Belfast. In 2018 the Parent was incorporated as the new holding company of the group, and Kestrel's head office moved to its present location in Leicester, where its underwriting, servicing, collections and finance functions are located. Kestrel has no operations outside the United Kingdom.

In 2019 Kestrel completed the migration of its loan origination and administration to the systems described below under "Systems". In 2021 it launched an online application journey through which a consumer who has selected a vehicle at a dealer may complete the application, receive a decision and sign the Finance Agreement electronically. Since 2022 Kestrel has offered dedicated finance for battery electric and plug-in hybrid vehicles, for which it applies separate residual value curves.

Business volumes

Kestrel's new business is generated exclusively through motor dealers that have entered into a dealer agreement with Kestrel and that are themselves authorised by the FCA for credit broking or are appointed representatives of a firm so authorised (each an "Introducing Dealer"). Kestrel does not lend directly to consumers who approach it without an Introducing Dealer, other than through refinancing of the balloon payment of an existing PCP Agreement, and agreements arising from such refinancing are not included in the Portfolio.

At 30 September 2026 Kestrel had dealer agreements with approximately 2,300 Introducing Dealers, of which approximately 40% by number were franchised dealers and the remainder independent dealers. No single dealer group introduced more than 4% of Kestrel's new business by amount advanced in the year ended 31 December 2025. The following table shows Kestrel's new business by year. The figures are unaudited management information, include agreements that are not eligible for the Transaction and are given for information only.

Year ended 31 December	Agreements written	Amount advanced (£ million)	Of which PCP (£ million)
2021	41,200	552	318
2022	45,900	641	389
2023	48,300	702	437
2024	50,700	756	476
2025	53,100	811	519

At 30 September 2026 Kestrel administered a portfolio of approximately 141,000 live Finance Agreements with an aggregate outstanding principal balance of approximately £1.62 billion, all of which were originated by Kestrel. The Kestrel Group's consolidated audited financial statements for the year ended 31 December 2025 reported profit before tax of £38.4 million and total equity of £214.7 million. The financial statements of the Parent and of Kestrel are filed at Companies House and are available on request from the registered office of the Parent.

Kestrel finances its lending through equity, subordinated loans from the Parent, a senior revolving warehouse facility provided by a UK bank and secured on a portfolio of Finance Agreements

held by a special purpose company within the Kestrel Group, and bilateral term facilities. Certain of the Loans in the Portfolio were, until the Closing Date, held by that special purpose company and will be released from the security of the warehouse facility and transferred back to Kestrel immediately before their sale to the Issuer on the Closing Date. The Transaction is part of Kestrel's strategy of diversifying its funding by accessing the term securitisation market.

Management

The board of directors of Kestrel consists of five executive directors and three non-executive directors, two of whom are independent. The board is supported by an audit committee, a risk committee, a remuneration committee and a customer and conduct committee, each chaired by a non-executive director. The principal executive officers of Kestrel are as follows.

Name	Position	Joined Kestrel
Catherine Ellwood	Chief Executive Officer	2004
Daniel Prothero	Chief Financial Officer	2012
Rachel Okonjo	Chief Risk Officer	2015
Martin Haldane	Chief Operating Officer	2009
Priya Ramsden	Director of Customer Operations and Collections	2017
Owen Treharne	Chief Commercial Officer	2010

Catherine Ellwood is a founder of Kestrel and has worked in UK motor finance for more than twenty-five years; before founding Kestrel she held senior credit and sales positions in the motor finance division of a UK bank. Daniel Prothero is a chartered accountant and was previously finance director of a UK consumer lender. Rachel Okonjo is responsible for credit risk, residual value risk, operational risk and compliance, and chairs the Credit Committee described in section 9. Martin Haldane is responsible for systems, change and information security. Priya Ramsden is responsible for customer service, arrears management, recoveries and vehicle remarketing. Owen Treharne is responsible for dealer relationships and the dealer support teams. The business address of each of these persons is the registered office of Kestrel.

Kestrel employed approximately 640 full-time equivalent staff at 30 September 2026, of whom approximately 260 work in customer operations and collections, 70 in underwriting and credit risk, 55 in dealer support and the remainder in finance, risk, compliance, systems and central functions. Each person in a customer-facing role, and each person who exercises judgement in the collection of arrears, is subject to the certification regime of the Senior Managers and Certification Regime and to annual competence assessment.

Systems

Kestrel uses a single loan management platform, licensed from an established vendor of consumer lending software and hosted in two UK data centres operated by a third party, for the administration of every Finance Agreement from proposal to settlement. The platform holds the customer and vehicle records, the contractual payment schedule, the balloon payment and guaranteed future value of each PCP Agreement, the payment history, arrears status, forbearance arrangements and recovery history, and generates the statutory notices and statements required by the CCA. Applications are received from Introducing Dealers through a web-based dealer portal and are routed to an automated decision engine which retrieves credit reference

agency data, applies Kestrel's scorecards and policy rules and returns a decision or refers the application to an underwriter (see section 9).

Collections are managed through a dialler and workflow system integrated with the loan management platform, which assigns accounts in arrears to collection strategies and records each contact with the customer. Payments by Direct Debit are submitted through the Bacs scheme by Kestrel as a service user; card payments are processed through a payment service provider. Data on the loan management platform are replicated in real time to the secondary data centre, and a full backup is taken daily and held off-site. Kestrel tests its business continuity and disaster recovery arrangements at least annually; the most recent test, completed in June 2026, restored the loan management platform and the payment files at the secondary site within the recovery time objective set by the board. Kestrel's systems will produce the loan-level data required for the reports described in section 13 and section 18 in the templates required by the Securitisation Regulations 2024 (SI 2024/102) and the FCA's securitisation rules.

The internal audit function of the Kestrel Group, which reports to the chair of the audit committee, reviews the underwriting, servicing and collections processes on a risk-based cycle. The external auditors of Kestrel have not been asked to report on the systems or controls described in this section. An independent firm of accountants has, at the request of the Arranger, performed agreed-upon procedures on a sample of the Loans in the Portfolio, comparing the data in the loan management platform with the underlying Finance Agreements and with the data tape from which section 10 was prepared; no material exceptions were noted that have not been corrected or the related Loans removed from the Portfolio.

Previous securitisations

The Transaction is the first public securitisation of Kestrel and the first transaction in which Finance Agreements originated by Kestrel have been securitised in a transaction rated by any rating agency. Before the Closing Date Kestrel's securitisation experience consisted of the private warehouse facility described above under "Business volumes", for the administration of which Kestrel has acted as servicer since 2017 and under which it has delivered monthly loan-level and portfolio reports to the warehouse lender. Kestrel has therefore not previously acted as servicer of a rated securitisation, and investors have no history of investor reports for Kestrel-originated receivables. Historical static and dynamic performance data on Kestrel's originations, covering a period of at least five years, have been made available to prospective investors before pricing as described in section 18.

Kestrel has confirmed to the Issuer that it has expertise in originating and servicing exposures of a similar nature to the Loans, through its management body and senior staff with professional experience in the origination and servicing of motor finance receivables of more than five years, and that it has well-documented and adequate policies, procedures and risk management controls relating to the servicing of such exposures. Kestrel will act as the originator for the purposes of the Securitisation Regulations 2024 (SI 2024/102) and will retain a material net economic interest in the Transaction by way of the vertical slice described in section 1 and section 18.

Regulatory matters and the FCA review of motor finance commission

Kestrel is subject to the FCA's Principles for Businesses, including the Consumer Duty set out in Principle 12 and PRIN 2A, to the Consumer Credit sourcebook ("CONC") and to the other parts of the FCA Handbook that apply to consumer credit firms. Kestrel has a compliance function independent of its business lines and reports to the FCA through the regular regulatory returns required of consumer credit firms. Kestrel has not been the subject of any FCA enforcement

action or of any requirement imposed under section 55L of FSMA, and is not aware of any investigation by the FCA into its business other than the matters described in this paragraph and the following paragraphs.

Like other UK motor finance providers, Kestrel is affected by the FCA's review of historical commission arrangements between lenders and motor dealers, by the related litigation in the English courts, including the judgment of the Supreme Court in 2025 on the duties owed by motor dealers to customers and the disclosure of commission, and by the industry-wide consumer redress scheme which the FCA has consulted on and is implementing in respect of motor finance agreements entered into during the period covered by the scheme. Before the FCA's prohibition of discretionary commission arrangements took effect in January 2021, a proportion of Kestrel's agreements were introduced by dealers who were remunerated under arrangements which allowed the dealer to adjust the interest rate within a range set by Kestrel. Kestrel has also reviewed the disclosure of commission made to customers under the fixed commission arrangements which it has used since then.

Kestrel has made provisions in its financial statements for the estimated cost of redress and of the administration of complaints relating to commission, has paused final responses to such complaints where permitted by the FCA and is preparing to implement the redress scheme in the form in which it is finally adopted. The amount of any redress, and the number of agreements affected, cannot yet be determined with certainty and may differ materially from the amount provided. Some of the Loans in the Portfolio were entered into during the period covered by the redress scheme. Under the Sale Agreement, Kestrel has agreed that it remains liable for, and will indemnify the Issuer against, any redress, compensation, interest or costs payable to a Borrower in connection with commission paid or payable to an Introducing Dealer in respect of a Loan, and that any reduction of the amount owed by a Borrower which is made by way of redress will be treated as a deemed collection which Kestrel must pay to the Issuer (see section 12). Investors should nevertheless consider the risk factor in section 2 relating to the FCA review of motor finance commission, because the Issuer's protection depends on the continued solvency of Kestrel and because a Borrower may in some circumstances seek to set off a claim against amounts owed under a Loan.

Kestrel is not, and has not been during the twelve months before the date of this Prospectus, involved in any governmental, legal or arbitration proceedings, other than the matters described above and complaints and claims arising in the ordinary course of its business, which may have, or have had in the recent past, significant effects on its financial position or its ability to perform its obligations under the Transaction Documents. Complaints by Borrowers which Kestrel does not resolve may be referred to the Financial Ombudsman Service; the number of complaints referred to, and upheld by, the Financial Ombudsman Service in relation to Kestrel is published by the Financial Ombudsman Service in accordance with its usual practice.

Kestrel as Servicer

Kestrel will service the Loans on behalf of the Issuer under the servicing agreement dated the Closing Date between Pellam Corporate Services Ltd (the "Back-up Servicer Facilitator"), the Issuer, Kestrel and the Trustee (the "Servicing Agreement"), in accordance with the same policies and procedures that it applies to Finance Agreements which it owns for its own account. Kestrel will continue to service the Loans from its head office in Leicester using the systems and staff described above, and Borrowers will continue to deal with Kestrel as before; they will not be notified of the sale of the Loans unless a Perfection Event occurs (see section 12). The servicing, collection and arrears procedures, the reports which the Servicer will deliver and the circumstances in which its appointment may be terminated are described in section 13. The fee payable to the Servicer is set out in section 15.

9. Origination and underwriting

The information in this section has been provided by Kestrel Motor Finance Ltd ("Kestrel"). It summarises the origination and underwriting policies and procedures (the "Credit and Collection Policies") which applied to the Loans in the Portfolio when they were originated and which Kestrel applies to new Finance Agreements at the date of this Prospectus. The Credit and Collection Policies are reviewed at least annually by the Credit Committee and may be amended from time to time; the restrictions on changes to the Credit and Collection Policies after the Closing Date are described in section 13. Each Loan was originated in accordance with the Credit and Collection Policies in force at the date of its origination, as warranted by Kestrel under the Sale Agreement (see section 12). The criteria which a Loan had to satisfy to be included in the Portfolio are the Eligibility Criteria set out in section 11; they are narrower than the lending criteria described in this section, and not every Finance Agreement which Kestrel originates is eligible for the Transaction.

Governance of credit risk

Kestrel's credit risk appetite is set by its board on the recommendation of the risk committee. Within that appetite, the credit committee of Kestrel (the "Credit Committee"), chaired by the Chief Risk Officer and including the Chief Financial Officer, the Chief Operating Officer and the heads of underwriting, credit analytics and residual values, approves the scorecards, the policy rules, the cut-off scores, the affordability model, the maximum advance and loan-to-value limits by product and vehicle age, the residual value curves and the delegated lending authorities described below. The Credit Committee meets monthly and reviews management information on application volumes, approval rates, early arrears, defaults, losses on repossessed and returned vehicles and the performance of each dealer segment. A change to a scorecard, a cut-off score or the affordability model is validated by the credit analytics team, which is independent of the sales function, and is monitored after implementation by comparison of actual and expected performance.

Kestrel's commercial teams have no lending authority. Sales and dealer support staff are not remunerated by reference to the volume or value of business approved, and no element of the remuneration of any underwriter depends on the number of applications approved.

Dealer onboarding and monitoring

Kestrel accepts applications only from Introducing Dealers. Before Kestrel enters into a dealer agreement, its dealer onboarding team carries out due diligence on the prospective dealer, which includes:

(a) confirmation that the dealer is authorised by the FCA for credit broking, or is an appointed representative of a principal firm so authorised, and that the scope of its permission or appointment covers the introduction of regulated credit agreements;

(b) verification of the identity of the dealer's legal entity, its directors and its beneficial owners, and screening of each of them against sanctions, politically exposed persons and adverse media lists, in accordance with the Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017;

(c) a review of the dealer's financial position, using filed accounts and commercial credit reference agency data, and of any county court judgments, insolvency events or disqualifications affecting the dealer or its directors;

(d) a site visit or a remote inspection of the dealer's premises, stock and sales processes, and

a review of its website and advertising for compliance with the financial promotion rules in CONC 3;

(e) a review of the dealer's complaints handling procedures and of any complaints about the dealer referred to the Financial Ombudsman Service; and

(f) confirmation that the dealer's sales staff who will introduce applications have completed Kestrel's training on its products, the disclosure of commission, the treatment of vulnerable customers and the prevention of fraud.

Each dealer agreement requires the Introducing Dealer to comply with CONC and with the Consumer Duty, to disclose to the customer the existence and nature of any commission payable by Kestrel in accordance with the FCA's rules, to provide the customer with the pre-contract information and explanations required by the CCA and CONC 4, to verify the identity of the customer and to deliver to the customer a vehicle which conforms to its description and to the Consumer Rights Act 2015. Commission is paid to Introducing Dealers on a fixed basis by reference to the amount of credit and the product; Kestrel has not permitted any dealer to vary the interest rate charged to a customer since the FCA's prohibition of discretionary commission arrangements took effect. The Introducing Dealer gives warranties as to the vehicle and the information supplied, and indemnifies Kestrel against losses arising from a breach of the dealer agreement; Kestrel may claw back commission on agreements that are cancelled, withdrawn or terminated early.

Kestrel monitors each Introducing Dealer through monthly management information on the volume and quality of its applications, approval and decline rates, cancellations and withdrawals, early payment default (a missed instalment in the first months of an agreement), complaints, fraud referrals and losses on vehicles. A dealer whose indicators deviate from those of its peer group is placed on a watch list and reviewed by the dealer risk team, which may require additional documents on every application from that dealer, suspend its ability to introduce business or terminate the dealer agreement. Each Introducing Dealer is subject to an annual review of its FCA status and, for dealers above a volume threshold set by the Credit Committee, a periodic audit of a sample of files. Kestrel checks the FCA status of all Introducing Dealers against the Financial Services Register each month.

The application process

A customer who wishes to finance a vehicle through an Introducing Dealer completes an application, either with the dealer at its premises or remotely through Kestrel's online application journey. The application captures the customer's identity, date of birth, address history for the previous three years, marital and residential status, employment status, employer and length of employment, gross and net income, the number of dependants, the customer's declared regular expenditure and existing credit commitments, the vehicle (including its registration or chassis number, mileage, age and the dealer's cash price), the deposit (in cash, by part-exchange or from a manufacturer or dealer deposit contribution), the requested term and, for a PCP Agreement, the annual mileage which the customer expects to drive. The customer's consent is obtained before any search is made with a credit reference agency, and a quotation search is used until the customer proceeds with a full application.

The dealer submits the application through the dealer portal. The decision engine verifies the vehicle against an industry vehicle data service, which confirms its identity, its first registration date, whether it has been recorded as stolen, written off or subject to outstanding finance, and its current trade valuation. The engine then retrieves the customer's credit file from one or more credit reference agencies and applies the policy rules, the scorecard, the affordability assessment and the fraud checks described below. It returns one of three outcomes to the dealer:

an acceptance, which may be conditional on proof of income, proof of address or another document; a referral to an underwriter; or a decline. Where an application is declined, the customer is told that the decision has been made and, where the decision was based on information from a credit reference agency, is given the name and contact details of that agency as required by section 157 of the CCA.

When an application has been accepted, the dealer presents the pre-contract credit information in the Standard European Consumer Credit Information form prescribed under the Consumer Credit (Disclosure of Information) Regulations 2010 and the adequate explanations required by CONC 4.2, and the customer signs the Finance Agreement, either on paper or electronically through Kestrel's e-signature process. Kestrel pays the dealer the amount financed only after it has received the signed Finance Agreement and the supporting documents, confirmed that any conditions of acceptance have been met and recorded the vehicle as subject to its finance agreement with the industry vehicle finance register. The customer may withdraw from the Finance Agreement within fourteen days under section 66A of the CCA, in which case the customer must repay the credit with accrued interest; no Loan was within that period at the Cut-off Date, because each Loan had the seasoning required by the Eligibility Criteria in section 11.

Credit scoring

Kestrel uses application scorecards developed by its credit analytics team on its own historical performance data, which combine credit reference agency data (including payment history, current indebtedness, recent credit searches, county court judgments, insolvency records and electoral roll data) with application data and the characteristics of the vehicle and the proposed agreement. Separate scorecards are used for new and used vehicles and for applicants with limited credit histories. The scorecard produces a score which is mapped to a risk grade. Applications are subject to minimum scores and to policy rules set by the Credit Committee, which decline, among others, applicants under 18 years of age, applicants not resident in the United Kingdom, applicants who are subject to a current bankruptcy order, sequestration, individual voluntary arrangement, debt relief order or trust deed, and applicants with unsatisfied county court judgments above a threshold amount or recent defaults. The credit score recorded in the data tape and used in section 10 is the score of the credit reference agency at origination and not Kestrel's internal score.

Each scorecard is monitored monthly for its stability and its power to rank applicants by risk. A scorecard whose performance deteriorates beyond the tolerance set by the Credit Committee is recalibrated or redeveloped. The interest rate charged on a Finance Agreement depends on the product, the vehicle and the risk grade, within a rate card approved by the Credit Committee; the Introducing Dealer has no discretion over the rate.

Creditworthiness and affordability

Kestrel carries out a creditworthiness assessment of every applicant in accordance with CONC 5.2A before it enters into a Finance Agreement or significantly increases the amount of credit. The assessment considers both the risk to Kestrel that the customer will not make repayments (credit risk) and the risk to the customer of not being able to make repayments without undue difficulty, that is, without failing to meet other reasonable commitments, without having to borrow further to meet the repayments and without a significant adverse impact on the customer's financial situation (affordability risk). The assessment is proportionate to the amount and the term of the credit and to the customer's circumstances, and is based on sufficient information obtained from the customer and from credit reference agencies.

Kestrel verifies income in every case. For most applicants, income is verified through a credit

reference agency service which compares declared income with the turnover recorded on the applicant's current account; where that check does not confirm income within a tolerance, the applicant is asked for payslips, bank statements or, for a self-employed applicant, tax calculations or accounts. Committed expenditure, including existing credit repayments and housing costs, is taken from the credit file and the application; essential living costs are estimated using statistical data published by the Office for National Statistics, adjusted for household size and region, and the higher of the declared and the estimated figure is used. The application is declined unless the customer's verified net income after committed expenditure, essential living costs and a buffer for unexpected costs is sufficient to meet the proposed instalment. The assessment uses the scheduled instalments and, for a PCP Agreement, takes into account that the customer will have to pay, refinance or settle the balloon payment through the return of the vehicle at the end of the term.

Kestrel does not take into account the value of the vehicle as a substitute for the customer's ability to repay. The customer is asked about any foreseeable changes in income or expenditure during the term of the agreement, such as retirement or the end of a fixed-term contract, and the assessment is adjusted accordingly.

Fraud prevention

Each application is checked against the fraud prevention databases to which Kestrel subscribes, the internal records of previous applications to Kestrel and the credit reference agency identity and address verification services. The decision engine identifies inconsistencies in the application data, the reuse of contact details across unrelated applications, mismatches between the applicant's address and the dealer's location and other indicators of application fraud, impersonation and first-party fraud. Applications which trigger a fraud rule are referred to Kestrel's fraud team, which may contact the applicant, request original documents or conduct a video identity check. Confirmed frauds are recorded on the fraud prevention databases, and Introducing Dealers associated with repeated fraud are reviewed under the dealer monitoring process. Kestrel also verifies, before paying out, that the vehicle is not recorded as stolen or as subject to existing finance and that the dealer is entitled to sell it, and checks that the amount financed is consistent with the trade valuation of the vehicle.

Loan-to-value and the amount of credit

The amount of credit under each Finance Agreement is the cash price of the vehicle, plus any optional products financed with Kestrel's approval, less the deposit. Kestrel sets maximum loan-to-value ratios by product, by vehicle age and by risk grade, by reference to the trade valuation of the vehicle at origination supplied by the vehicle data service; for the purposes of section 10, the original loan-to-value of a Loan is the amount of credit divided by that valuation. Kestrel requires a minimum deposit, set by the Credit Committee, on all PCP Agreements and on HP Agreements for higher risk grades. Kestrel finances only cars and light commercial vehicles under a maximum age at the end of the agreement and a maximum mileage at origination. Agreements for light commercial vehicles and agreements with an original loan-to-value above 100% are excluded from the Portfolio by the Eligibility Criteria in section 11. The original term of an HP Agreement or a PCP Agreement is between 12 and 60 months.

Personal contract purchase and the setting of residual values

Under a PCP Agreement the customer pays a deposit, a series of monthly instalments and a final optional payment (the "Balloon Payment"). The Balloon Payment is equal to the guaranteed minimum future value of the vehicle at the end of the agreement (the "GMFV"), set by Kestrel at origination for the term and the annual mileage agreed with the customer. At the end of the term

the customer may pay the Balloon Payment and acquire title to the vehicle, or return the vehicle to Kestrel in full satisfaction of the Balloon Payment, provided that the vehicle is within the agreed mileage and is in a condition consistent with fair wear and tear; if it is not, the customer pays an excess mileage charge set out in the agreement and the cost of repairing damage. A customer may also part-exchange the vehicle at a dealer, in which case the Balloon Payment is settled from the sale proceeds. In addition, a customer under any Finance Agreement may terminate it voluntarily under sections 99 and 100 of the CCA, as described in section 13.

Kestrel's residual value function sets the GMFV for each make, model, derivative, fuel type, term and mileage band. The GMFV is derived from the forecast future trade values of an independent vehicle valuation provider, adjusted by Kestrel for its own historical experience of returned vehicles and for the residual value appetite set by the Credit Committee. Kestrel applies a prudence margin below the forecast future trade value for every vehicle; the margin is larger for vehicles with less established resale markets, including battery electric vehicles, for which separate residual value curves and lower maximum GMFVs have applied since 2022. The residual value function reviews the forecasts monthly and, where the forecast values for a segment fall, may reduce the GMFVs offered on new agreements in that segment. The GMFV of an existing PCP Agreement is not changed after origination.

Kestrel measures its residual value exposure monthly by comparing the Balloon Payment of each live PCP Agreement with the current forecast trade value of the vehicle at maturity, and reports the results to the Credit Committee and the risk committee. The Issuer bears the risk that the value of a returned vehicle is lower than the Balloon Payment it replaces, as described in section 2 and section 13.

Approval authorities and referrals

Applications which pass the policy rules, the scorecard, the affordability assessment and the fraud checks, and which are within the automatic approval limits for the risk grade, are approved by the decision engine. All other applications which are not declined automatically are referred to an underwriter. Underwriters exercise lending authority delegated by the Credit Committee to named individuals according to their grade, as follows. The amounts are Kestrel's internal limits on the amount of credit and are not terms of the Notes.

Authority	Maximum amount of credit	May approve exceptions to policy
Underwriter	£30,000	No
Senior underwriter	£50,000	Minor exceptions only
Underwriting manager	£75,000	Yes, within the limits of the policy
Head of underwriting or Chief Risk Officer	Above £75,000	Yes

An underwriter who refers an application considers the information on the credit file, the affordability assessment and any documents supplied, and may approve it, approve it on amended terms (for example with a higher deposit, a shorter term or a different vehicle), request further information or decline it. The reasons for each decision are recorded on the loan management platform. An underwriter may not approve an application introduced by a dealer with which the underwriter has a personal connection, and a sample of decisions by each underwriter is reviewed each month by the quality assurance team.

Exceptions to policy

An exception is an approval of an application which does not meet one or more of the policy rules, other than the rules which give effect to legal or regulatory requirements, which may not be waived. Exceptions may be approved only by an underwriter with authority to approve them and only where the underwriter records a reason which mitigates the risk, such as a strong payment history with Kestrel, verified income substantially in excess of the minimum required, or a larger deposit. Exceptions are reported to the Credit Committee each month, and the number of exceptions is limited by the Credit Committee to a small proportion of approvals. The performance of agreements approved as exceptions is monitored separately. No exception may be made to the affordability assessment.

Quality assurance and the underwriting audit

Kestrel's quality assurance team, which reports to the Chief Risk Officer, reviews each month a sample of applications approved automatically and of applications decided by underwriters, and checks that the documents required by the Credit and Collection Policies were obtained, that the affordability assessment was completed correctly and that the Finance Agreement was executed in the prescribed form. Findings are reported to the Credit Committee, and remedial training is given where necessary. The Kestrel Group's internal audit function reviews the underwriting process at least every two years.

Documentation and retention of records

Each Finance Agreement is executed in the form required by the Consumer Credit (Agreements) Regulations 2010 and contains the prescribed terms required for its enforceability under the CCA. Kestrel maintains a standard form of HP Agreement and of PCP Agreement which is reviewed by its legal and compliance functions whenever the law or the FCA's rules change; the form of each Finance Agreement is confirmed by Kestrel's warranty in the Sale Agreement (see section 12). Agreements signed electronically are executed through an e-signature platform which records the identity checks performed, the time of signature and a tamper-evident copy of the signed document; the customer is provided with a copy of the executed agreement in a durable medium.

Kestrel holds the original or electronic signed Finance Agreement, the application, the credit file at origination, the affordability assessment, the identity and income verification documents, the dealer's invoice and the vehicle data check (together, the "Loan Files") in electronic form in its document management system, with paper originals held in a secure archive operated by a third party. Under the Servicing Agreement, Kestrel holds the Loan Files relating to the Loans as agent of the Issuer and must make them available to the Issuer, the Trustee and any successor servicer on request. Kestrel retains Loan Files for at least six years after the end of the relevant Finance Agreement, in accordance with its record-keeping obligations under the FCA Handbook, the limitation periods applicable under the Limitation Act 1980 and its policies under the UK General Data Protection Regulation and the Data Protection Act 2018, after which they are securely destroyed unless they relate to a complaint, a claim or a regulatory review which is still open.

10. The portfolio at the cut-off date

Characteristic	Value
Number of loans	5,000
Pool balance	£74,075,862.24
Average current balance	£14,815.17
Largest current balance	£58,863.68
Weighted average interest rate	9.31%
Weighted average remaining term	29.9 months
Weighted average seasoning	15.2 months
Weighted average credit score	782
Weighted average original loan-to-value	87.93%
Share of PCP loans (by balance)	63.03%
Total balloon amounts (PCP)	£28,005,714.71

Table 10.1 — Distribution by region

Category	Loans	Balance	Share of balance
East Midlands	309	£4,486,568.49	6.06%
East of England	472	£7,154,659.84	9.66%
London	620	£9,758,144.69	13.17%
North East	173	£2,464,219.82	3.33%
North West	575	£8,232,983.85	11.11%
Northern Ireland	153	£2,415,179.38	3.26%
Scotland	415	£6,283,572.66	8.48%
South East	777	£11,277,537.15	15.22%
South West	392	£5,615,516.42	7.58%
Wales	305	£4,648,597.91	6.28%
West Midlands	433	£6,363,239.47	8.59%
Yorkshire and the Humber	376	£5,375,642.56	7.26%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 10.2 — Distribution by product

Category	Loans	Balance	Share of balance
HP	2,037	£27,383,612.38	36.97%
PCP	2,963	£46,692,249.86	63.03%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 10.3 — Distribution by vehicle type

Category	Loans	Balance	Share of balance
New	2,033	£42,297,142.75	57.10%
Used	2,967	£31,778,719.49	42.90%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 10.4 — Distribution by fuel type

Category	Loans	Balance	Share of balance
Petrol	2,235	£33,204,077.76	44.82%
Diesel	1,030	£15,215,542.99	20.54%
Hybrid	950	£14,143,543.83	19.09%
Electric	785	£11,512,697.66	15.54%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 10.5 — Distribution by credit score

Category	Loans	Balance	Share of balance
Below 650	346	£5,532,344.17	7.47%
650–699	547	£8,225,210.36	11.10%
700–749	860	£12,467,591.27	16.83%
750–799	1,109	£16,232,450.17	21.91%
800–849	1,001	£14,799,106.97	19.98%
850 and above	1,137	£16,819,159.30	22.71%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 10.6 — Distribution by interest rate

Category	Loans	Balance	Share of balance
Below 8.00%	712	£12,799,353.62	17.28%
8.00–8.99%	1,061	£17,069,490.22	23.04%
9.00–9.99%	1,495	£21,709,781.63	29.31%
10.00–10.99%	1,114	£14,702,599.80	19.85%
11.00% and above	618	£7,794,636.97	10.52%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 10.7 — Distribution by original loan-to-value

Category	Loans	Balance	Share of balance
Below 80%	1,011	£13,633,754.79	18.41%
80–84.99%	975	£13,886,796.16	18.75%
85–89.99%	1,008	£14,995,451.43	20.24%
90–94.99%	1,015	£15,970,849.10	21.56%
95–100%	991	£15,589,010.76	21.04%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 10.8 — Distribution by remaining term

Category	Loans	Balance	Share of balance
1–12 months	538	£5,365,291.13	7.24%
13–24 months	1,385	£18,572,815.58	25.07%

Category	Loans	Balance	Share of balance
25–36 months	1,823	£28,453,565.95	38.41%
37–60 months	1,254	£21,684,189.58	29.27%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 10.9 — Distribution by year of origination

Category	Loans	Balance	Share of balance
2023	1,302	£14,791,448.60	19.97%
2024	2,105	£31,110,442.16	42.00%
2025	1,593	£28,173,971.48	38.03%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 10.10 — Distribution by seasoning

Category	Loans	Balance	Share of balance
3–6 months	733	£13,625,428.08	18.39%
7–12 months	1,039	£17,336,242.93	23.40%
13–24 months	2,121	£30,707,487.74	41.45%
25–36 months	1,107	£12,406,703.49	16.75%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 10.11 — Distribution by current balance

Category	Loans	Balance	Share of balance
Up to £5,000	192	£744,321.92	1.00%
£5,000.01–£10,000	1,391	£10,734,552.22	14.49%
£10,000.01–£15,000	1,332	£16,432,058.08	22.18%
£15,000.01–£20,000	897	£15,580,583.55	21.03%
£20,000.01–£30,000	973	£23,233,054.85	31.36%
Over £30,000	215	£7,351,291.62	9.92%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 10.12 — Distribution by original term

Category	Loans	Balance	Share of balance
25–36 months	1,955	£27,223,363.72	36.75%
37–48 months	2,403	£37,094,486.02	50.08%
49–60 months	642	£9,758,012.50	13.17%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 10.13 — Distribution by year of maturity

Category	Loans	Balance	Share of balance
2026	538	£5,365,291.13	7.24%
2027	1,385	£18,572,815.58	25.07%
2028	1,823	£28,453,565.95	38.41%
2029	1,069	£18,147,809.66	24.50%
2030	185	£3,536,379.92	4.77%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 10.14 — Distribution by employment status of the borrower

Category	Loans	Balance	Share of balance
Employed	3,942	£58,229,002.01	78.61%
Other	97	£1,342,819.43	1.81%
Retired	307	£4,725,492.99	6.38%
Self-employed	654	£9,778,547.81	13.20%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 10.15 — Distribution by annual income of the borrower

Category	Loans	Balance	Share of balance
Up to £20,000	259	£3,814,733.08	5.15%
£20,000.01–£30,000	1,113	£16,201,300.79	21.87%
£30,000.01–£40,000	1,368	£20,314,944.76	27.42%
£40,000.01–£60,000	1,632	£24,408,893.84	32.95%
Over £60,000	628	£9,335,989.77	12.60%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 10.16 — Distribution by postcode area

Category	Loans	Balance	Share of balance
AB	109	£1,675,643.24	2.26%
B	109	£1,567,044.70	2.12%
BA	100	£1,417,001.04	1.91%
BD	88	£1,312,708.40	1.77%
BL	130	£1,918,533.82	2.59%
BN	163	£2,341,518.12	3.16%
BS	102	£1,604,144.01	2.17%
BT	153	£2,415,179.38	3.26%
CB	120	£1,763,300.19	2.38%
CF	108	£1,680,186.49	2.27%
CO	119	£1,785,124.20	2.41%
CV	110	£1,621,937.29	2.19%
DD	103	£1,610,592.19	2.17%
DE	100	£1,484,464.44	2.00%
DH	67	£968,464.50	1.31%
E	108	£1,746,693.85	2.36%

Category	Loans	Balance	Share of balance
EH	99	£1,428,287.25	1.93%
EX	111	£1,502,844.11	2.03%
G	104	£1,569,049.98	2.12%
GU	152	£2,357,545.66	3.18%
HU	76	£1,053,862.06	1.42%
IP	115	£1,743,708.48	2.35%
L	118	£1,645,624.40	2.22%
LE	110	£1,584,169.83	2.14%
LL	112	£1,710,944.88	2.31%
LS	102	£1,436,508.05	1.94%
M	115	£1,562,926.93	2.11%
ME	162	£2,154,543.96	2.91%
N	139	£2,185,076.76	2.95%
NE	61	£840,342.41	1.13%
NG	99	£1,417,934.22	1.91%
NR	118	£1,862,526.97	2.51%
OX	163	£2,439,519.04	3.29%
PL	79	£1,091,527.26	1.47%
PR	113	£1,677,779.77	2.26%
RG	137	£1,984,410.37	2.68%
S	110	£1,572,564.05	2.12%
SA	85	£1,257,466.54	1.70%
SE	120	£1,896,528.90	2.56%
SR	45	£655,412.91	0.88%
ST	101	£1,609,240.99	2.17%
SW	127	£1,911,424.70	2.58%
W	126	£2,018,420.48	2.72%
WA	99	£1,428,118.93	1.93%
WV	113	£1,565,016.49	2.11%
Total	**5,000**	**£74,075,862.24**	**100.00%**

Table 10.17 — PCP loans: balloon payment as a share of current balance

Balloon / current balance	Loans	Current balance	Balloon payments
25–50%	445	£8,025,946.20	£3,715,212.89
50–75%	2,184	£34,423,224.48	£20,901,353.70
75–100%	334	£4,243,079.18	£3,389,148.12
Total	**2,963**	**£46,692,249.86**	**£28,005,714.71**

11. Eligibility criteria and definitions

Each loan met the following criteria at the cut-off date:

1. The borrower is an individual resident in the United Kingdom.
2. The loan is a hire purchase or personal contract purchase agreement for a car.
3. No instalment was in arrears (days past due equal to 0).
4. At least 3 instalments had been paid (seasoning of 3 months or more).
5. At least 6 instalments remained to be paid.
6. The original loan-to-value was 100% or less.

Definitions used in this prospectus

- **Pool balance**: Sum of the outstanding principal of all loans that are not defaulted, prepaid or repaid.
- **Defaulted loan**: A loan is defaulted when it is 4 instalments in arrears. A defaulted loan leaves the pool balance in the period in which it defaults; its outstanding principal at that date is its *defaulted balance*.
- **Recoveries**: amounts received after a default, mainly from the sale of the vehicle. For this transaction the servicer expects to recover 55% of the defaulted balance, 3 periods after the default.
- **Cumulative default ratio**: the sum of the defaulted balances of all loans that have defaulted since the cut-off date, divided by the pool balance at the cut-off date (£74,075,862.24).
- **90+ day arrears ratio**: the total balance of loans that are not defaulted and have 3 instalments in arrears, divided by the pool balance, both measured at the end of the period.
- **Available funds**: for each period, the sum of interest collections, principal received from instalments (including balloon payments), prepayments and recoveries received during the period.

12. Loan warranties and repurchase

The Sale Agreement

On the Closing Date, Kestrel Motor Finance Ltd ("Kestrel", in this capacity the "Seller") will sell the Loans in the Portfolio to Thames Auto Receivables 2026-1 plc (the "Issuer") under a receivables sale agreement dated the Closing Date between the Seller, the Issuer and the Trustee (the "Sale Agreement"). The sale takes effect, in relation to each Loan, from the Cut-off Date, so that all collections received by the Seller on or after the Cut-off Date in respect of the Loans belong to the Issuer, whether received before or after the Closing Date. The Sale Agreement is governed by English law, save that the declaration of trust by which the Seller holds the Loans whose Borrowers reside in Scotland (the "Scottish Loans") on trust for the Issuer (the "Scottish Declaration of Trust") is governed by Scots law, as is required for it to take effect.

The property sold comprises, for each Loan, the Seller's rights under the related HP Agreement or PCP Agreement to receive all instalments, Balloon Payments, settlement amounts, arrears, fees and other sums payable by the Borrower, together with the Seller's rights against the Introducing Dealer and any insurer in relation to the Loan, the proceeds of any claim, and the Seller's rights in respect of the financed vehicle, including the proceeds of its sale after repossession, surrender, voluntary termination or return at the end of a PCP Agreement (together, the "Ancillary Rights"). Title to each vehicle remains registered in the records of the Seller. Because the transfer of legal title to vehicles would require notification of each Borrower, the Seller will declare a trust over its title to the vehicles and over the proceeds of their sale in favour of the Issuer under the Sale Agreement (the "Vehicle Trust"), and will hold that title, and apply any proceeds, as trustee for the Issuer.

The consideration for the sale consists of an initial purchase price paid in cash on the Closing Date from the proceeds of the issue of the Notes (the "Initial Purchase Price"), equal to the aggregate outstanding principal of the Loans at the Cut-off Date, and of deferred consideration payable to the Seller on each Payment Date to the extent of the Available Funds remaining after the payment of the items ranking in priority to it in the Priority of Payments described in section 15 (the "Deferred Consideration"). The Seller has no claim against the Issuer for any Deferred Consideration which is not paid because the Available Funds are insufficient.

The Sale Agreement contains the representations and warranties described below, the Seller's obligation to repurchase Loans which do not comply with them, the obligations of the Seller relating to commission redress and set-off described in section 8, and the provisions on the perfection of the Issuer's title.

Representations of the Seller as to itself

The Seller represents and warrants to the Issuer and the Trustee on the date of the Sale Agreement and on the Closing Date that:

(a) it is duly incorporated and validly existing under the laws of England and Wales and has the power to enter into and perform the Transaction Documents to which it is a party;

(b) its obligations under those Transaction Documents are legal, valid, binding and enforceable, subject to the laws on insolvency and creditors' rights and to the general principles of law;

(c) it holds all authorisations required under FSMA and the CCA to originate, own and service the Loans, and no such authorisation has been suspended, varied or cancelled;

(d) it is not unable to pay its debts within the meaning of section 123 of the Insolvency Act 1986 and will not become so as a result of the sale of the Loans, which is made for full

value and in good faith.

Loan warranties

In addition, the Seller will represent and warrant to the Issuer and the Trustee in relation to each Loan, as at the Cut-off Date or, where stated, the Closing Date (together, the "Loan Warranties"), that the Loan satisfied each of the Eligibility Criteria set out in section 11 and that:

(a) the Loan was originated by the Seller in the ordinary course of its business, in accordance with the Credit and Collection Policies described in section 9 as they applied at the date of origination, and through an Introducing Dealer which was, at that date, authorised by the FCA, or an appointed representative of a firm so authorised, for the introduction of regulated credit agreements;

(b) the Finance Agreement was entered into in the Seller's standard form of HP Agreement or PCP Agreement in use at that date, contains all prescribed terms and complies in all material respects with the CCA and the regulations made under it, so that it is enforceable against the Borrower without an order of the court under section 127 of the CCA;

(c) the pre-contract information and the adequate explanations required by the CCA and CONC were given to the Borrower, a creditworthiness assessment was carried out in accordance with CONC 5.2A, and the Borrower's right of withdrawal under section 66A of the CCA has expired without being exercised;

(d) the Seller is the sole legal and beneficial owner of the Loan and of the Ancillary Rights and has full title to the vehicle, free from any security interest, trust, option or other third party right, other than the rights of the Borrower under the Finance Agreement and any security which is released on or before the Closing Date;

(e) the Loan and the Ancillary Rights are capable of being sold to the Issuer, and of being held on trust for it, without the consent of the Borrower or any other person and without breach of any restriction on transfer;

(f) the Loan bears interest at a fixed rate, is denominated and payable in sterling, and is repayable by monthly instalments and, for a PCP Agreement, a Balloon Payment equal to the GMFV set at origination;

(g) the vehicle was a car which, at origination, was not recorded as stolen, written off or subject to outstanding finance, was delivered to the Borrower and accepted by the Borrower, and is registered with the industry vehicle finance register as subject to the Finance Agreement;

(h) no Borrower has notified the Seller of any rejection of the vehicle under the Consumer Rights Act 2015, of any claim under section 75 or section 56 of the CCA or of any claim for rescission, and, so far as the Seller is aware, no Borrower has a right of set-off or counterclaim against the Seller, other than a claim in respect of commission which is subject to the redress scheme and indemnity described in section 8;

(i) the Seller has not received notice of the death or bankruptcy of any Borrower, or of any voluntary termination under section 99 of the CCA, and the Loan is not subject to a forbearance arrangement, a payment holiday or a variation of its contractual terms which remains in effect at the Cut-off Date;

(j) the Loan is not a Defaulted Loan, has not been the subject of a default notice under section 87 of the CCA and has not been written off in whole or in part;

(k) the Borrower is not an employee, director or connected person of the Seller and is not, so far as the Seller is aware, the subject of any insolvency proceedings;

(l) the Loan Files for the Loan are complete in all material respects and are held by the Seller in accordance with section 9, and the information relating to the Loan in the data tape from which section 10 was prepared is true and accurate in all material respects;

(m) the Loan has been serviced by the Seller since its origination in accordance with the Credit and Collection Policies, the CCA, CONC and the Consumer Duty, and the Seller has complied in all material respects with its obligations to send the statements, notices and information required by the CCA; and

(n) the Loan has not been selected for sale to the Issuer by a process intended to select assets of lower credit quality than comparable Finance Agreements of the Seller which satisfy the Eligibility Criteria.

The Loan Warranties are given by reference to the facts at the Cut-off Date or the Closing Date and are not repeated after the Closing Date. The Seller gives no warranty as to the future performance of any Loan, the creditworthiness of any Borrower or the value of any vehicle, and the Issuer bears the credit risk and the residual value risk of the Loans, subject only to the remedies described below. The Issuer and the Trustee rely on the Loan Warranties and have made no investigation of the Loans other than the agreed-upon procedures described in section 8.

Repurchase of non-compliant Loans

If the Seller, the Servicer, the Issuer, the Cash Manager or the Trustee becomes aware that a Loan Warranty was untrue in relation to a Loan when it was given, it must notify the other parties promptly. Where the breach has a material adverse effect on the value of the Loan or on the interests of the Issuer in it, and, if capable of remedy, is not remedied within 30 days of the Seller becoming aware of it or receiving notice of it, the Seller must repurchase the Loan (a "Non-Compliant Loan") together with its Ancillary Rights on or before the Payment Date following the end of that period. A breach of the warranty that a Loan satisfied the Eligibility Criteria is treated as having a material adverse effect, whatever the performance of the Loan.

The price payable by the Seller for a Non-Compliant Loan (the "Repurchase Price") is the outstanding principal of the Loan on the date of repurchase, plus accrued and unpaid interest and any other amounts due from the Borrower, plus the costs reasonably incurred by the Issuer in connection with the repurchase. Where the Non-Compliant Loan has become a Defaulted Loan, the Repurchase Price is calculated on the outstanding principal at the date on which it became a Defaulted Loan, less any Recoveries already received by the Issuer. The Repurchase Price is paid into the Issuer Transaction Account described in section 14 and forms part of the Available Funds for the relevant period, as principal received in respect of the outstanding principal and as interest collections in respect of the remainder.

Where the Seller is unable to repurchase a Non-Compliant Loan, for example because the Finance Agreement has been settled or the vehicle has been sold, the Seller must instead pay the Issuer an indemnity amount equal to the Repurchase Price that would have been payable. The Seller's obligations to repurchase a Non-Compliant Loan or pay that indemnity amount, and its indemnity in respect of commission redress and set-off described in section 8, are the sole remedies of the Issuer and the Trustee for a breach of the Loan Warranties. These obligations are unsecured obligations of the Seller and are not guaranteed by the Parent or any other person; their value to the Issuer depends on the solvency of the Seller at the time of the claim, as explained in section 2.

The Seller must also repurchase a Loan, at the Repurchase Price, if the Servicer agrees a variation of the Finance Agreement which is not permitted by the Servicing Agreement (see section 13), and may repurchase all, but not some only, of the Loans on any Payment Date on which the Issuer may redeem the Notes under the clean-up call described in section 5, at a price which,

together with the other Available Funds, is sufficient to redeem the Notes in full and pay all amounts ranking in priority to them.

No substitution and no further sales

The Portfolio is static. The Seller has no right or obligation to substitute another Finance Agreement for a Non-Compliant Loan or for any other Loan, and the Issuer will not purchase any further loans after the Closing Date. Apart from a repurchase described above, the Seller has no right to repurchase or call any Loan, and the Issuer has no right to require the Seller to repurchase a Loan because it has become a Defaulted Loan or has otherwise performed badly.

Notification and perfection of the Issuer's title

The Seller will not, on the Closing Date, give notice of the sale to the Borrowers, the Introducing Dealers or any insurer. Until notice is given, the sale of the Loans which are governed by English law or the law of Northern Ireland takes effect as an equitable assignment, and the Issuer's interest in the Scottish Loans takes effect under the Scottish Declaration of Trust. As a result, until notice is given or an assignation is intimated:

(a) a Borrower may continue to pay the Seller and obtains a good discharge by doing so;

(b) a Borrower may set off against the Seller claims which arise before the Borrower receives notice, and the Issuer's rights may be subject to equities which arise between the Borrower and the Seller;

(c) the Seller remains the legal owner of the Loans and the vehicles and must be joined in any proceedings taken by the Issuer to enforce a Loan; and

(d) a later legal assignee of a Loan without notice of the Issuer's interest could obtain priority over it.

The Issuer is protected against these risks by the Seller's covenants in the Sale Agreement, the Vehicle Trust, the declaration of trust over the Collection Account described in section 14 and the Seller's obligation to pay any amount set off by a Borrower as a deemed collection. The Seller will grant to the Issuer and the Trustee an irrevocable power of attorney, by way of security for its obligations, to perfect the transfer of the Loans and the vehicles in its name after a Perfection Event.

Each of the following events is a "Perfection Event":

(a) a Servicer Termination Event occurs, as described in section 13, and the appointment of Kestrel as Servicer is terminated;

(b) an Insolvency Event occurs in relation to the Seller;

(c) the Seller fails to pay any amount due under the Sale Agreement, including a Repurchase Price, within five Business Days of its due date;

(d) the Trustee delivers an enforcement notice to the Issuer under the Conditions;

(e) the Seller is required to perfect the Issuer's title by law, by an order of a court or by a requirement of a regulatory authority; or

(f) the Trustee, acting reasonably, considers that the security created by the Issuer, or the Issuer's title to a material part of the Loans, is in jeopardy.

Within 20 Business Days after a Perfection Event, the Seller (or, if it fails to do so, the Issuer or the Trustee under the power of attorney) must give notice of the assignment to each Borrower and

instruct each Borrower to pay directly into an account of the Issuer, execute legal assignments and assignations of the Loans, intimate the assignation of the Scottish Loans to the Borrowers and transfer to the Issuer, or as it directs, legal title to the vehicles and the Loan Files. The costs of perfection are borne by the Seller. After notice, payments by a Borrower to the Seller do not discharge the Borrower, and new rights of set-off against the Seller cease to arise. Notice to Borrowers will be given in a form which complies with the CCA, CONC and the Consumer Duty, and the Borrowers' rights under their Finance Agreements, including the right to voluntary termination and the protections described in section 13, will not be affected by the transfer.

13. Servicing, collections and arrears

Appointment of the Servicer

Under the Servicing Agreement, the Issuer and, after the delivery of an enforcement notice, the Trustee appoint Kestrel Motor Finance Ltd ("Kestrel", in this capacity the "Servicer") to administer the Loans and the Ancillary Rights, to collect all amounts payable in respect of them, to manage arrears, defaults and recoveries and to report to the Issuer, the Cash Manager and the Trustee. The Servicer acts as agent of the Issuer and holds the Loan Files, and any collections which it receives, for the Issuer. In performing its services the Servicer must apply the Credit and Collection Policies described in section 9 and this section, with the degree of skill and care which it applies to Finance Agreements which it services for its own account and which a reasonable and prudent lender of motor finance in the United Kingdom would apply, and must comply with the CCA, FSMA, CONC, the Consumer Duty and data protection law. The Servicer may subcontract specific services, such as the collection of vehicles, the auction of vehicles, tracing and the printing and dispatch of statements, to third parties, but remains liable for their performance.

The Servicer may amend the Credit and Collection Policies only where the amendment is required by law or by the FCA, or where it would be made by a reasonable and prudent lender and it applies the amendment equally to Finance Agreements which it services for its own account; it must give prior notice to the Issuer, the Trustee and the Rating Agencies of any amendment which would be likely to have a material adverse effect on the Loans. The Servicer may not vary the terms of a Loan except as permitted by the Servicing Agreement. Permitted variations are a change of payment date or payment method, a forbearance arrangement agreed under the procedures described below, a settlement or a voluntary termination exercised under the CCA, and any variation required by law, by the FCA, by the Financial Ombudsman Service or by the redress scheme described in section 8. No variation may reduce the interest rate of a Loan (other than as required by law or by such redress) or extend its final scheduled payment beyond the date falling two years before the Final Maturity Date. A variation which is not permitted obliges the Seller to repurchase the Loan (see section 12).

Servicer fee. The servicer fee is 1.00% per year of the pool balance, paid to the Servicer monthly as a senior fee in the Priority of Payments (section 15). The Servicer bears from that fee all its costs of servicing, other than the costs of repossession, transport, storage and sale of vehicles and legal costs of enforcement, which are deducted from the proceeds of the relevant Loan before those proceeds are paid to the Issuer.

Payment methods and Direct Debits

Each Borrower is required by the Finance Agreement to pay instalments monthly, and nearly all Borrowers pay by direct debit under the Bacs Direct Debit scheme ("Direct Debit") on a collection date chosen by the Borrower at origination. Borrowers may also pay by debit card, by standing order or by bank transfer, and may make additional payments or settle the agreement early by any of these methods. The Servicer submits the Direct Debit files on the working day before each collection date, and the funds are credited to the Collection Account on the collection date. Under the Direct Debit Guarantee, a Borrower may require its bank to refund a payment which was taken in error; the bank then reclaims the amount from the Servicer through an indemnity claim. Amounts so reclaimed after they have been transferred to the Issuer are netted against later collections, as described in section 14. Where a Direct Debit is returned unpaid, the Servicer re-presents it once, on a date agreed with the Borrower where possible, and the account enters the arrears process described below.

A Borrower may settle a Finance Agreement early at any time under section 94 of the CCA by

paying the settlement amount calculated in accordance with the Consumer Credit (Early Settlement) Regulations 2004, which includes a statutory rebate of interest. A Borrower may also make partial early settlements, which the Servicer applies to reduce the term or the instalment as the Borrower chooses. Settlement amounts are principal received in respect of the outstanding principal of the Loan and interest collections in respect of the remainder, and are part of the Available Funds defined in section 11.

Collection accounts

All payments by Borrowers under the Loans are paid into an account of the Servicer held with Larkmead Bank plc (the "Collection Account Bank"), into which payments under other Finance Agreements serviced by Kestrel are also paid (the "Collection Account"). Kestrel has declared a trust over the Collection Account in favour of the Issuer, the beneficiaries under the other financing arrangements of Kestrel and Kestrel itself, according to their respective interests, and the Servicer identifies the collections on the Loans each day. Collections on the Loans are transferred to the Issuer Transaction Account on the Business Day after the day on which they are identified. The declaration of trust, the daily sweep and the accounts of the Issuer are described in section 14.

Arrears management

An account is in arrears when a contractual instalment has not been paid in full on its due date. The Servicer's arrears management is organised in stages which reflect the time since the first missed instalment, the amount in arrears and the circumstances of the Borrower. Throughout, the Servicer's objective, consistent with the Consumer Duty and CONC 7, is to understand the reason for the arrears, to agree an affordable and sustainable way for the Borrower to repay, and to avoid foreseeable harm to the Borrower, including the harm of unaffordable arrangements or of an accumulation of charges. The Servicer charges a single fee for a returned Direct Debit and does not charge fees for collection letters or calls; any fee charged in arrears reflects the Servicer's reasonable costs as required by CONC 7.7.

Early arrears. When an instalment is missed, the Servicer sends a text message, an email or both on the following day, re-presents the Direct Debit and writes to the Borrower. The early arrears team contacts the Borrower by telephone and through Kestrel's digital channels, including an online portal in which the Borrower may make a payment, propose an arrangement or complete an income and expenditure assessment. The Servicer gives the Borrower information about free and impartial debt advice, including the Money and Pensions Service's debt advice services, in every arrears letter.

Statutory notices. Where a Borrower has missed two instalments, the Servicer sends a notice of sums in arrears in the form required by section 86B of the CCA within the period required by that section, accompanied by the arrears information sheet published by the FCA, and repeats the notice at the intervals required while the arrears continue. The Servicer also sends the annual statements required by section 77A of the CCA and any notice of default sums required by section 86C.

Late arrears. Accounts which are not brought up to date or placed on an arrangement move to the late arrears team, whose staff are trained to assess income and expenditure using a standard financial statement and to identify Borrowers who are vulnerable. The team may offer the forbearance options described below, may refer the Borrower to a debt advice charity with the Borrower's consent, and, where an arrangement cannot be agreed, explains to the Borrower the options of voluntary termination and voluntary surrender of the vehicle.

Default notice and termination. Where the arrears remain unresolved and no arrangement is in

place, the Servicer may serve a default notice under section 87 of the CCA, in the form required by the Consumer Credit (Enforcement, Default and Termination Notices) Regulations 1983, giving the Borrower not less than 14 days after service to remedy the breach. If the breach is not remedied, the Servicer may terminate the Finance Agreement and demand the balance due, subject to the restrictions described under "Repossession and sale of vehicles". The decision to serve a default notice and to terminate is taken by an arrears manager after a review of the account, and is not taken where the Borrower is engaging with the Servicer on an affordable arrangement or where the Servicer has identified a vulnerability which requires a different approach.

After a default. Once a Loan is in default as set out in section 11, all amounts received in respect of it are Recoveries, whether or not a default notice has been served or the Finance Agreement has been terminated. The Servicer Report shows, for each such Loan, the balance at the date of default and that date. A Loan stays in default if the Borrower later clears the arrears.

Forbearance and the Consumer Duty

The Servicer offers forbearance in accordance with the FCA's rules on customers in arrears or default in CONC 7, which since 2024 incorporate the tailored support for customers in financial difficulty previously set out in guidance, and with the Consumer Duty. The forbearance options available include:

(a) an arrangement to pay the arrears over a period in addition to the contractual instalment;

(b) a temporary reduction of the monthly payment to an amount the Borrower can afford, for an agreed period after which the arrangement is reviewed;

(c) a short deferral of instalments where the Borrower's difficulty is expected to be temporary, for example pending a return to work;

(d) the suspension, reduction or waiver of interest or charges, where this is appropriate to the Borrower's circumstances;

(e) an extension of the term of the Finance Agreement, within the limit described under "Appointment of the Servicer"; and

(f) the acceptance of a token payment or a period of no payment where the Borrower's circumstances, including a serious illness or bereavement, make any payment inappropriate.

The option chosen depends on an assessment of the Borrower's income and expenditure, and the Servicer must not pressure the Borrower to pay more than the Borrower can sustainably afford. A Loan under a forbearance arrangement continues to be measured for arrears by reference to its contractual instalments unless its terms have been varied, and the Servicer Report states the number and balance of Loans subject to each type of arrangement. Forbearance may reduce or delay the collections available to the Issuer, as described in section 2, but the Issuer may not direct the Servicer to withhold forbearance which the law or the FCA requires.

Repossession and sale of vehicles

The vehicle financed under each HP Agreement or PCP Agreement remains the property of the Seller (held on the Vehicle Trust for the Issuer, see section 12) until the Borrower exercises the option to purchase. After termination of a Finance Agreement the Servicer may recover the vehicle, subject to the restrictions of the CCA. Where the Borrower has paid at least one-third of the total price of the vehicle, the vehicle is protected goods under section 90 of the CCA and may be recovered only with the Borrower's consent or under a court order; the Servicer may not in any case enter premises to recover a vehicle without a court order under section 92 of the

CCA. In practice, most vehicles are recovered through voluntary surrender by the Borrower or under a return of goods order or a time order made by the county court (or the sheriff court in Scotland), which may allow the Borrower further time to pay. Where a vehicle cannot be located, the Servicer uses tracing agents and the industry vehicle finance register, and makes a claim against any insurer or dealer liable for the loss.

Recovered and returned vehicles are collected by the Servicer's appointed collection agents, inspected and graded, and sold through national vehicle auction houses or online trade auctions, with reserve prices set by the Servicer's remarketing team by reference to current trade valuations, the condition of the vehicle and recent sale prices. The Servicer may sell a vehicle to a dealer where that is expected to achieve a better price than auction. The net sale proceeds, after the costs of collection, storage, preparation and sale, are applied to the amount owed by the Borrower, and the Borrower is notified of the sale price and any remaining balance. Where the proceeds exceed the amount owed, the surplus is repaid to the Borrower.

Voluntary terminations and PCP maturities

A Borrower may terminate a Finance Agreement at any time before the final payment falls due by giving notice under section 99 of the CCA and returning the vehicle. On a voluntary termination, the Borrower's liability is limited under section 100 of the CCA to any arrears, the amount (if any) needed to bring total payments up to one-half of the total amount payable under the agreement, and compensation for damage to the vehicle beyond fair wear and tear. The Servicer sells the returned vehicle in the manner described above. The proceeds of sale, together with amounts paid by the Borrower, are principal received and interest collections of the Issuer; a Loan which has been voluntarily terminated ceases to form part of the Pool Balance when the vehicle has been sold and the termination has been settled, and any shortfall between the outstanding principal and those amounts is a loss borne by the Issuer (a "Voluntary Termination Loss"). The Servicer informs Borrowers of their right to voluntary termination where required by CONC 7 and does not discourage its exercise.

At the end of a PCP Agreement, the Servicer writes to the Borrower in advance of the Balloon Payment date to explain the options of paying the Balloon Payment, returning the vehicle or part-exchanging it. Where the vehicle is returned, it is inspected against the mileage and condition terms of the agreement, any excess mileage and damage charges are invoiced to the Borrower, and the vehicle is sold. Any amount by which the net sale proceeds and those charges fall short of the Balloon Payment is a loss borne by the Issuer (a "Residual Value Loss"). The Servicer reports Voluntary Termination Losses and Residual Value Losses separately from Defaulted Loans and Recoveries. The Servicer may offer to refinance the Balloon Payment under a new agreement; a new agreement is not part of the Portfolio, and the Issuer receives the Balloon Payment in full from the refinancing.

Recoveries and write-off

After a Loan has become a Defaulted Loan, the recoveries team pursues the outstanding balance through the sale of the vehicle, payment arrangements with the Borrower, claims against insurers and dealers and, where appropriate and proportionate, court proceedings. The Servicer does not sell Defaulted Loans to debt purchasers without the consent of the Issuer and the Trustee. The Servicer will write off a Defaulted Loan when, in accordance with the Credit and Collection Policies, it considers that no further amounts are likely to be recovered at a reasonable cost, and in any case on the death of a Borrower whose estate is insolvent or on the Borrower's bankruptcy or sequestration once the Servicer has submitted its claim. Amounts received after a write-off remain Recoveries. The Recoveries which the Servicer expects for the Transaction

are described in section 11; actual Recoveries depend on the condition of the vehicles, used car prices and the timing of sales and court proceedings, and may be lower or later than expected.

Servicer reporting

The Servicer will deliver to the Issuer, the Cash Manager and the Trustee, no later than the fifth Business Day of each month, a report for the Collection Period ending on the last day of the previous month (the "Servicer Report"). The Servicer Report sets out, among other things, the interest collections, principal received from instalments and Balloon Payments, prepayments and Recoveries received during the Collection Period; the Pool Balance at the start and the end of the Collection Period; the number and balance of Loans in each arrears band; the Loans which became Defaulted Loans and their defaulted balances; Voluntary Termination Losses and Residual Value Losses; the Loans subject to forbearance arrangements; any Loans repurchased and the Repurchase Prices received; any deemed collections and Direct Debit indemnity claims; and the data needed by the Cash Manager to calculate the cumulative default ratio and the 90+ day arrears ratio defined in section 11. With each Servicer Report the Servicer delivers loan-level data on each Loan in a form which enables the Issuer to meet its reporting obligations described in section 18. The Cash Manager uses the Servicer Report to prepare the calculations described in section 14 and the investor report described in section 16.

The Servicer will also provide to the Issuer and the Trustee, within 120 days after the end of each financial year, a certificate signed by a director confirming that it has complied with the Servicing Agreement, and will give them access, on reasonable notice, to the Loan Files and its systems for the purpose of audits. The Servicer must notify the Issuer and the Trustee promptly of any Servicer Termination Event or of any event which would, with the giving of notice or the passing of time, become one.

Servicer Termination Events

Each of the following is a "Servicer Termination Event":

(a) the Servicer fails to pay into the Issuer Transaction Account any amount due from it within three Business Days after its due date, unless the failure results from a technical error which is remedied within a further two Business Days;

(b) the Servicer fails to deliver a Servicer Report within five Business Days after its due date;

(c) the Servicer fails to perform any other obligation under the Servicing Agreement, and the failure has a material adverse effect on the interests of the Noteholders and, if capable of remedy, is not remedied within 30 days after notice from the Issuer or the Trustee;

(d) an Insolvency Event occurs in relation to the Servicer;

(e) the Servicer ceases to hold any authorisation under FSMA required to service the Loans, or the FCA imposes a requirement or restriction which prevents the Servicer from performing its services; or

(f) the Servicer ceases to carry on all or substantially all of its business of servicing motor finance agreements.

On a Servicer Termination Event, the Issuer (with the consent of the Trustee) or the Trustee may terminate the appointment of the Servicer by notice. The Servicer may also resign on not less than six months' notice. No termination or resignation takes effect until a successor servicer, which holds the authorisations required under FSMA and has experience of servicing UK motor finance agreements, has been appointed on terms substantially similar to the Servicing Agreement and the Rating Agencies have been notified. On termination, the Servicer must transfer

the Loan Files, the data on its systems relating to the Loans and the collections it holds to the successor servicer and must co-operate in the transfer of the servicing, including the redirection of Direct Debits under the Bacs scheme rules.

The Back-up Servicer Facilitator

Pellam Corporate Services Ltd (the "Back-up Servicer Facilitator") has agreed in the Servicing Agreement that, if the appointment of the Servicer is terminated, it will use reasonable endeavours to identify, on behalf of the Issuer, a suitably authorised and experienced successor servicer and to assist the Issuer in negotiating the terms of its appointment, within 60 days after the termination notice. The Back-up Servicer Facilitator does not itself act as servicer and has no obligation to service the Loans, to fund any amount or to guarantee that a successor servicer will be found. To assist a transfer, the Servicer must maintain an up-to-date description of its servicing procedures and systems, deliver to the Back-up Servicer Facilitator each month a copy of the loan-level data and give it access to its systems once a year for a review of the data. The fee of a successor servicer may be higher than the fee of the Servicer and would rank among the senior fees in the Priority of Payments described in section 15. A change of servicer may lead to a temporary disruption of collections and a rise in arrears, as described in section 2.

14. Cash management and the issuer accounts

The Cash Management Agreement

Under a cash management agreement dated the Closing Date between Larkmead Bank plc (the "Cash Manager"), the Issuer, the Servicer and the Trustee (the "Cash Management Agreement"), the Cash Manager will operate the Issuer Accounts, maintain the Ledgers, calculate on each Determination Date the Available Funds and the amounts payable on the following Payment Date, and instruct the payments to be made in accordance with the Priority of Payments set out in section 15. The Cash Manager acts as agent of the Issuer and, after the delivery of an enforcement notice, of the Trustee. It performs its services on the basis of the Servicer Report and the other information delivered to it, and is not responsible for verifying that information, except that it must notify the Issuer and the Trustee if the information is inconsistent on its face.

Larkmead Bank plc also acts as account bank of the Issuer (in this capacity, the "Account Bank") under a bank account agreement dated the Closing Date between the Issuer, the Account Bank, the Cash Manager and the Trustee (the "Bank Account Agreement"), and as agent bank and principal paying agent under the agency agreement described in section 5. The fees of the Cash Manager, the Account Bank, the agent bank and the principal paying agent, and of the Back-up Servicer Facilitator, are paid by Kestrel Motor Finance Ltd ("Kestrel") out of the servicer fee and are not separate items of the Priority of Payments described in section 15.

The Cash Manager may resign on not less than three months' notice, and the Issuer (with the consent of the Trustee) may terminate its appointment if it fails to perform its obligations or becomes subject to an Insolvency Event. No resignation or termination takes effect until a successor cash manager has been appointed and the Rating Agencies have been notified.

The Collection Account and the declaration of trust

Borrowers pay their instalments and other amounts into the Collection Account described in section 13, which is held by Kestrel with Larkmead Bank plc (the "Collection Account Bank") and also receives payments under Finance Agreements which do not form part of the Portfolio. Under a declaration of trust made by Kestrel on or before the Closing Date (the "Collection Account Declaration of Trust"), Kestrel holds all amounts standing to the credit of the Collection Account on trust for the Issuer, as to the amounts which derive from the Loans, and for the other beneficiaries and itself, as to the remainder. The Collection Account Declaration of Trust is intended to ensure that collections on the Loans held in the Collection Account do not form part of Kestrel's estate on its insolvency. The Collection Account Bank has acknowledged the trust and has waived any right of set-off or combination against the Collection Account in respect of amounts owed to it by Kestrel.

The Servicer identifies, using the payment references and its loan management platform, the amounts received in the Collection Account in respect of each Loan, and records them as collections of the Issuer. Collections which cannot be identified on the day of receipt are held in a suspense account of the Servicer and allocated within five Business Days. Amounts which are received in the Collection Account in error, and Direct Debit indemnity claims which reverse collections already transferred to the Issuer, are reconciled by the Servicer and deducted from the next transfer to the Issuer, with details given in the Servicer Report.

Sweeping of collections

On each Business Day the Servicer transfers from the Collection Account to the Issuer Transaction Account all collections on the Loans identified on the previous Business Day, including

instalments, Balloon Payments, settlement amounts, the proceeds of vehicles sold after repossession, surrender, voluntary termination or return, insurance proceeds and any other Recoveries. The Seller pays into the Issuer Transaction Account any Repurchase Price and any indemnity amount under the Sale Agreement, and any amount which is treated as a deemed collection because a Borrower has exercised a right of set-off against Kestrel or because the amount owed by a Borrower has been reduced by way of redress, on or before the Business Day before the next Payment Date. The daily sweep limits to one or two Business Days' collections the amount held by Kestrel for the Issuer at any time; the commingling risk which remains is described in section 2.

If the Collection Account Bank ceases to have the Account Bank Required Ratings, Kestrel must, within 30 calendar days, open a replacement collection account with a bank which has them, transfer the Collection Account Declaration of Trust to it and instruct Borrowers paying by Direct Debit, card or standing order to pay into the replacement account. After a Perfection Event, Borrowers will be instructed to pay directly into an account of the Issuer (see section 12).

The Issuer Accounts

The Issuer maintains with the Account Bank the following accounts (together, the "Issuer Accounts"):

(a) a transaction account (the "Issuer Transaction Account"), into which all collections, Repurchase Prices, deemed collections and other amounts received by the Issuer in respect of the Loans are paid, from which payments are made on each Payment Date in accordance with the Priority of Payments, and into which the proceeds of the issue of the Notes were paid on the Closing Date before being applied to the Initial Purchase Price; and

(b) a reserve account (the "Reserve Account"), in which the reserve fund described in section 16 (the "Reserve Fund") is held.

The Issuer also maintains an account with a bank in the United Kingdom for its share capital and the profits retained by it, which does not form part of the Issuer Accounts and from which the Issuer pays its corporation tax and other corporate costs. Each Issuer Account is subject to the security created by the Issuer in favour of the Trustee under the deed of charge dated the Closing Date (the "Deed of Charge"), and notice of that security has been given to the Account Bank, which has acknowledged it and waived any right of set-off, combination or counterclaim against the Issuer Accounts.

No withdrawal may be made from the Issuer Accounts except on the instructions of the Cash Manager in accordance with the Cash Management Agreement. Between Payment Dates, the Cash Manager may make withdrawals only to pay amounts received in error, to make payments due to third parties which the Issuer is obliged to make before the next Payment Date and which are permitted by the Transaction Documents, and to make Authorised Investments.

The Reserve Account

On the Closing Date, Kestrel will fund the Reserve Fund by a payment into the Reserve Account of the amount described in section 16. On each Payment Date the Cash Manager transfers from the Reserve Account to the Issuer Transaction Account the amount (if any) by which the Available Funds are insufficient to pay in full the senior fees and the interest on each class of Notes, that is, items 1 to 5 of the Priority of Payments described in section 15, and, after the application of the Available Funds, credits to the Reserve Account the amount paid under item 6 to restore the Reserve Fund to its required amount. The Reserve Fund is not used to pay principal or Deferred Consideration. The required amount of the Reserve Fund, its release on the redemption

of the Notes and the trigger event relating to it are described in section 16.

Ledgers

The Cash Manager maintains the following ledgers (the "Ledgers") in its records for the Issuer:

(a) the "Interest Collections Ledger", to which it credits all interest collections, including the interest element of instalments, settlement amounts and Repurchase Prices, fees and charges paid by Borrowers and the interest and investment income earned on the Issuer Accounts;

(b) the "Principal Collections Ledger", to which it credits all principal received from instalments, Balloon Payments, prepayments and settlement amounts, and the principal element of Repurchase Prices and indemnity amounts;

(c) the "Recoveries Ledger", to which it credits all Recoveries received in respect of Defaulted Loans;

(d) the "Reserve Fund Ledger", which records the balance of the Reserve Fund, each drawing made under the previous paragraph and each amount credited to restore it; and

(e) the "Principal Deficiency Ledger", which records the principal deficiency described in section 15 on each Payment Date, that is, the amount by which the total balance of the Notes exceeds the Pool Balance after the application of the Available Funds, and its reduction on later Payment Dates.

Each Ledger is debited with the amounts applied from it on each Payment Date. The Ledgers are maintained for the purposes of calculation and reporting only; the amounts credited to the Interest Collections Ledger, the Principal Collections Ledger and the Recoveries Ledger are applied together as Available Funds, and the classification of a receipt as interest or principal does not affect its application.

Account bank ratings and replacement

The Account Bank must at all times have the minimum short-term and long-term ratings required by each Rating Agency for an account bank in a transaction with the ratings of the Notes, as set out in the Bank Account Agreement (the "Account Bank Required Ratings"). If the Account Bank ceases to have the Account Bank Required Ratings, it must notify the Issuer, the Cash Manager and the Trustee, and the Issuer (or the Cash Manager on its behalf) must, within 30 calendar days after the downgrade, either:

(a) transfer the Issuer Accounts, and the balances standing to their credit, to a bank which has the Account Bank Required Ratings and which accedes to the Bank Account Agreement and the Deed of Charge; or

(b) obtain an unconditional and irrevocable guarantee of the obligations of the Account Bank from a financial institution which has the Account Bank Required Ratings,

or take any other action which the Rating Agencies confirm will not result in the downgrade of the Notes. The costs of the replacement are borne by the outgoing Account Bank. The Account Bank may also resign on not less than 60 days' notice, and its appointment may be terminated by the Issuer, with the consent of the Trustee, on an Insolvency Event, but no resignation or termination takes effect until a replacement account bank has been appointed and the balances transferred. A replacement may take time to complete, and the Issuer's cash may be exposed to the credit risk of a downgraded bank during that period, as described in section 2.

Investment of funds

The Cash Manager may, on behalf of the Issuer, invest the balances standing to the credit of the Issuer Transaction Account and the Reserve Account between Payment Dates in authorised investments ("Authorised Investments"), which are:

(a) sterling demand or time deposits with a bank which has the Account Bank Required Ratings; and

(b) sterling money market funds which have the highest rating of each Rating Agency which rates them,

in each case which mature, or can be redeemed without penalty, on or before the Business Day before the next Determination Date, which are not securitisation positions and which are held in the name of the Issuer subject to the security of the Deed of Charge. The Cash Manager will not invest in any derivative instrument and will not make an investment which would expose the Issuer to a currency or a market risk. The income from Authorised Investments is credited to the Interest Collections Ledger. Any loss on an Authorised Investment is borne by the Issuer, and the Cash Manager is not liable for it unless it results from its negligence, wilful default or fraud. The Cash Manager expects to hold the balances of the Issuer Accounts as deposits with the Issuer Account Bank.

Calculation and determination of Available Funds

On the fourth Business Day before each Payment Date (each a "Determination Date") the Cash Manager will calculate, on the basis of the Servicer Report for the Collection Period ending before that Payment Date:

(a) the Available Funds for the Collection Period, being the interest collections, principal received from instalments (including Balloon Payments), prepayments and Recoveries received during the Collection Period, as defined in section 11, together with any deemed collections, Repurchase Prices and indemnity amounts received in respect of that Collection Period and the income credited to the Interest Collections Ledger;

(b) the Pool Balance at the end of the Collection Period, the defaulted balances of the Loans which became Defaulted Loans during it, the cumulative default ratio and the 90+ day arrears ratio, each as defined in section 11;

(c) the amount of each item payable under the Priority of Payments described in section 15, including the senior fees, the interest payable on each class of Notes for the interest period ending on the Payment Date at the rate determined by the agent bank in accordance with the Conditions in section 5, the amount required to restore the Reserve Fund and the principal payable on the Notes;

(d) any drawing on the Reserve Fund required under section 16;

(e) whether a trigger event described in section 16 has occurred, and consequently whether principal is to be paid pro rata or sequentially as described in section 4; and

(f) the balance of the Principal Deficiency Ledger after the application of the Available Funds, and the Deferred Consideration payable to Kestrel.

The Cash Manager notifies the results to the Issuer, the Trustee, the Servicer and the principal paying agent no later than the Business Day after the Determination Date, and on the Payment Date instructs the Issuer Account Bank to make the payments from the Issuer Transaction Account and the Reserve Account. The amounts of interest and principal to be paid on each class of Notes are notified to the Noteholders in accordance with the Conditions and are shown in

the investor report described in section 16. Each determination of the Cash Manager is, in the absence of manifest error, final and binding on the Issuer, the Trustee and the Noteholders.

If the Servicer Report for a Collection Period has not been received by the Determination Date, the Cash Manager will estimate the Available Funds by reference to the amounts received in the Issuer Transaction Account during the Collection Period and, for the allocation between interest and principal, the average of the three most recent Servicer Reports. Where the Cash Manager makes such an estimate, it will make no payment of principal beyond the amount which it is reasonably satisfied is available and will pay no Deferred Consideration on that Payment Date. Any difference between the estimated and the actual amounts is reconciled on the next Payment Date for which a Servicer Report is received, by adjusting the Available Funds for that Payment Date. The failure of the Servicer to deliver a Servicer Report may be a Servicer Termination Event (see section 13).

15. Priority of payments

On each payment date the issuer applies the available funds in the following order. An item is paid only when every item above it has been paid in full.

1. **Senior fees**: the servicer fee of 1.00% per year on the pool balance at the start of the period (paid monthly at one-twelfth of that rate), and the trustee fee of £2,500.00 per payment date.
2. **Class A interest.**
3. **Class B interest.**
4. **Class C interest.**
5. **Class D interest.**
6. **Reserve fund top-up**: the amount needed to bring the reserve fund back to its required amount.
7. **Principal on the notes**: the amount needed to reduce the total note balance to the pool balance at the end of the period, paid pro rata or sequentially as described in section 4.
8. **Deferred consideration**: any remaining amount is paid to the originator.

If the available funds are not enough to pay items 1 to 5 in full, the shortfall is drawn from the reserve fund. The reserve fund is never used to pay principal or deferred consideration.

If the funds left for item 7 are lower than the amount needed, the total note balance stays above the pool balance. The difference is called a *principal deficiency*; it is reduced on later payment dates from the funds left after item 6.

16. Reserve fund and trigger events

Reserve fund. On the closing date the originator funds a reserve fund of £1,111,137.93, equal to 1.50% of the initial balance of the notes. The required amount stays at this level for the life of the transaction.

Trigger events. A trigger event occurs when any of the following tests fails. The tests use the figures at the end of each period and are reported in each investor report.

Test 1 — Cumulative default ratio. The cumulative default ratio must not exceed:

Periods	Maximum cumulative default ratio
Periods 1 to 6	1.00%
Periods 7 to 12	2.00%

Test 2 — 90+ day arrears ratio. The 90+ day arrears ratio must not exceed 1.25%.

Test 3 — Reserve fund. After the previous payment date, the reserve fund must be at its required amount.

Consequence. From the payment date that follows the period in which a trigger event occurs, principal is paid sequentially (section 4). The switch is permanent, even if the test is passed again in a later period.

Reporting. Within 15 days after each payment date, the servicer publishes an investor report showing the pool performance, the arrears, the application of funds, the note balances, the reserve fund and the result of each test in this section.

17. Weighted average lives of the notes

The weighted average life of a note is the average time, in years, from the closing date until each pound of its principal is repaid, weighted by the principal repaid. It depends on the rate at which borrowers repay their loans early, which cannot be predicted. The tables below are calculated on the following assumptions (the "Modelling Assumptions"):

(a) the loans pay their scheduled instalments, and each PCP loan pays its balloon payment on its last instalment date;

(b) the loans prepay at the constant annual rate shown (the "Constant Prepayment Rate"), applied monthly;

(c) no loan defaults, is in arrears or is repurchased, and no trigger event occurs, so that principal is paid pro rata to all classes as described in section 4;

(d) the first payment date is 20 February 2026 and payments are made on the 20th day of each month;

(e) where stated, the issuer exercises the clean-up call described in Condition 6 on the first payment date on which the pool balance is less than 10% of the pool balance at the cut-off date.

Because principal is paid pro rata until a trigger event occurs, every class of notes has the same weighted average life under the Modelling Assumptions. The actual weighted average lives will differ, and the differences may be material.

Table 17.1 — Weighted average lives of the Class A, B, C and D Notes

Constant prepayment rate	Weighted average life (years), with clean-up call	Last payment date, with call	Weighted average life (years), to maturity	Last payment date, to maturity
0%	1.68	February 2029	1.72	October 2030
5%	1.54	December 2028	1.58	October 2030
10%	1.41	September 2028	1.46	October 2030
15%	1.30	July 2028	1.34	October 2030
20%	1.20	May 2028	1.24	October 2030
25%	1.11	April 2028	1.14	October 2030
30%	1.02	February 2028	1.06	October 2030

Table 17.2 — Scheduled amortisation of the pool

Payment date	Scheduled pool balance (no prepayments, no defaults)	Pool factor
20 February 2026	£72,557,041.27	0.9795
20 May 2026	£67,929,598.69	0.9170
20 August 2026	£62,173,138.72	0.8393
20 November 2026	£56,200,045.26	0.7587
20 February 2027	£50,486,509.61	0.6816

Payment date	Scheduled pool balance (no prepayments, no defaults)	Pool factor
20 May 2027	£44,713,568.97	0.6036
20 August 2027	£38,326,712.12	0.5174
20 November 2027	£31,945,868.42	0.4313
20 February 2028	£25,703,465.76	0.3470
20 May 2028	£19,699,453.82	0.2659
20 August 2028	£14,655,820.24	0.1978
20 November 2028	£10,326,258.12	0.1394
20 February 2029	£7,140,039.37	0.0964
20 May 2029	£4,420,575.91	0.0597
20 August 2029	£1,960,204.57	0.0265
20 November 2029	£600,741.72	0.0081

18. Regulatory disclosures

The UK securitisation framework

The securitisation of the Loans by the Issuer is a "securitisation" within the meaning of the Securitisation Regulations 2024 (SI 2024/102) (the "Securitisation Regulations"), made by HM Treasury under the Financial Services and Markets Act 2000 ("FSMA 2000"). Since 1 November 2024 the Securitisation Regulations, together with the rules made under them by the FCA in the securitisation sourcebook of the FCA Handbook ("SECN") and by the PRA in the Securitisation Part of the PRA Rulebook (the "PRA Securitisation Rules"), have replaced the version of Regulation (EU) 2017/2402 that formed part of domestic law by virtue of the EUWA. In this Prospectus the Securitisation Regulations, SECN and the PRA Securitisation Rules, together with any guidance, templates and statements of policy published by the FCA or the PRA under them, are referred to as the "UK Securitisation Framework". The FCA rules apply to originators, original lenders, sponsors and securitisation special purpose entities ("SSPEs") that are not PRA-authorised persons, and to institutional investors that are FCA-regulated; the PRA rules apply to PRA-authorised persons acting in those capacities. The Originator is authorised by the FCA and is not a PRA-authorised person, and the Issuer is an SSPE; their obligations as originator and SSPE are therefore set out in SECN.

The UK Securitisation Framework imposes obligations on three groups of persons: on the originator, the sponsor, the original lender and the SSPE (together, the "Sell-Side Parties"), principally in relation to risk retention, transparency and credit-granting; on institutional investors, in relation to due diligence before and while they hold a securitisation position; and on any person who wishes a securitisation to be treated as a simple, transparent and standardised securitisation. This section describes how the Transaction is intended to address each of these obligations. It does not purport to be a complete description of the UK Securitisation Framework, and it is not legal or regulatory advice. Each prospective investor is responsible for determining, on the basis of its own analysis and with its own advisers, whether the information in this Prospectus and the information that will be made available after the Closing Date is sufficient to allow it to comply with the requirements that apply to it.

The UK Securitisation Framework is subject to review. HM Treasury, the FCA and the PRA have proposed amendments to it which, among other things, would revise the transparency templates, remove the requirement for public securitisations to report to a securitisation repository, simplify the due diligence obligations of institutional investors and add further options to the risk retention rules. Those proposals may be adopted in a form that differs from the form proposed, and they may take effect on dates that are not yet known. The Originator and the Issuer will comply with the UK Securitisation Framework as it applies to the Transaction from time to time, and the Originator may change the form, the content or the channel of the reports described in this section to the extent that an amendment to the UK Securitisation Framework permits or requires it, without the consent of the Noteholders. None of the Issuer, the Originator, the Arranger, the Lead Manager and the Trustee gives any assurance as to the content, the timing or the effect of any amendment.

Risk retention

Kestrel Motor Finance Ltd (the "Retention Holder") will undertake to the Issuer and the Trustee in the Subscription Agreement and in the Servicing Agreement (the "Retention Undertaking") that, for so long as any Note is outstanding, it will retain on an ongoing basis a material net economic interest in the securitisation of not less than 5% of the nominal value of each class of Notes, in accordance with SECN 5, by holding a *vertical slice*, as described in section 1 (*Transaction overview*). On the Closing Date the Retention Holder will subscribe for not less than 5% of

the principal amount of each of the Class A Notes, the Class B Notes, the Class C Notes and the Class D Notes (the "Retained Notes"). Because principal is applied to every class of Notes in the manner described in section 4 and section 15, and the Retained Notes rank *pari passu* with the other Notes of the same class, the Retained Notes will continue to represent not less than 5% of the principal amount outstanding of each class throughout the life of the Transaction.

Under the Retention Undertaking the Retention Holder will also undertake that:

(a) it will not sell, transfer or otherwise surrender all or part of the rights, benefits or obligations arising from the Retained Notes, and will not subject them to any credit risk mitigation, short position or other hedge, except to the extent permitted by SECN 5;

(b) it will not change the method by which it retains its net economic interest, except in the circumstances, and in the manner, permitted by SECN 5;

(c) it will confirm in each Investor Report (as defined below) that it continues to hold the Retained Notes, and it will notify the Cash Manager and the Trustee promptly if it ceases to do so; and

(d) it will provide to the Issuer, the Trustee and the Noteholders such further information as is reasonably required to enable an institutional investor to verify compliance with the Retention Undertaking, subject to any applicable law on confidentiality and data protection.

The Retention Holder is the originator of the Loans for the purposes of the UK Securitisation Framework. It originated every Loan in its own name under the Finance Agreements described in section 9. It has not been established, and does not operate, for the sole purpose of securitising exposures: it is an established motor finance company with a strategy and a capacity to meet payment obligations consistent with a broader business, and its principal source of revenue is the income from the motor finance agreements that it originates and holds or funds, not the sale of exposures to securitisations. The Retention Holder has not selected the Loans to be sold to the Issuer with the aim of rendering losses on the Loans higher than the losses over the same period on comparable exposures held on its own balance sheet. Each Loan was selected from the Retention Holder's portfolio of loans that satisfied the eligibility criteria in section 11 on the cut-off date, without any further selection by reference to credit quality.

None of the Issuer, the Arranger, the Lead Manager and the Trustee makes any representation that the Retention Undertaking is sufficient to satisfy the requirements that apply to any investor, and none of them will monitor compliance by the Retention Holder with the Retention Undertaking; the Trustee will rely on the confirmations in the Investor Reports without further enquiry.

Transparency and reporting

Reporting entity

For the purposes of SECN 6, the Originator, the Issuer and the other Sell-Side Parties have designated the Originator as the entity responsible for fulfilling the transparency requirements of the UK Securitisation Framework in respect of the Transaction (in that capacity, the "Reporting Entity"). The Reporting Entity has appointed the Cash Manager under the Cash Management Agreement to prepare, and to make available on its behalf, the Investor Reports and the loan-level data, and has appointed the Servicer to provide the Cash Manager with the information on the Loans that it needs for that purpose. The appointment of the Cash Manager does not relieve the Reporting Entity of its responsibility for compliance with SECN 6.

Information made available before pricing

Before pricing, the Originator made available to potential investors, on request:

(a) static and dynamic historical data on the default, arrears, voluntary termination, prepayment and recovery performance of the hire purchase and personal contract purchase agreements originated by the Originator, covering a period of not less than five years and broken down by product type, as referred to in section 8;

(b) a liability cash flow model which precisely represents the contractual relationship between the Loans and the payments flowing between the Originator, the Issuer, the Noteholders and the other parties to the Transaction, which the Originator will continue to make available to investors on an ongoing basis and to potential investors on request;

(c) loan-level information on the Loans in the portfolio at the cut-off date, in the form of the underlying exposures template for automobile loans and leases set out in SECN 11; and

(d) a draft of this Prospectus and the drafts of the principal Transaction Documents, including the agreement under which the Seller sells the Loans to the Issuer, the Servicing Agreement, the Cash Management Agreement, the Trust Deed and the Deed of Charge.

The final Transaction Documents and this Prospectus in final form will be made available within the period after the Closing Date required by SECN 6.

Ongoing reporting

On each payment date, the Cash Manager will prepare, on behalf of the Reporting Entity and from the information provided by the Servicer, a report on the Transaction for the preceding monthly period (each, an "Investor Report"). Each Investor Report will be made available within 15 days after the payment date to which it relates, as stated in section 16, and will contain the information required by SECN 6, in the form of the investor report template for non-asset-backed commercial paper securitisations in SECN 11, together with:

(a) the collections, the available funds and their application in the priority of payments in section 15;

(b) the principal amount outstanding of each class of Notes, the interest rate for each class and the amount of interest and principal paid;

(c) the balance of the reserve fund and the amounts drawn from and credited to it;

(d) the performance of the Loans, including defaults, arrears by band, voluntary terminations, prepayments, vehicle recoveries and losses;

(e) the result of each trigger event test in section 16 and whether a trigger event has occurred; and

(f) the confirmation of the Retention Holder described above under *Risk retention*.

At the same time, the Cash Manager will make available on behalf of the Reporting Entity the loan-level information on the Loans as at the end of the relevant monthly period, in the form of the underlying exposures template for automobile loans and leases in SECN 11. SECN 6 requires this information and the investor report to be made available at least quarterly; in respect of the Transaction both will be made available monthly. Each data submission will use the same reporting date as the Investor Report to which it relates, and will identify the Loans by a unique identifier that does not allow a borrower to be identified directly.

Inside information and significant events

Without delay, the Reporting Entity will make available any inside information relating to the Transaction which it is obliged to make public under Regulation (EU) No 596/2014 as it forms part of domestic law by virtue of the EUWA, to the extent that regulation applies, and any significant event that SECN 6 requires to be disclosed. A significant event includes a material breach of the obligations in the Transaction Documents, a change in the structural features of the Transaction that can materially affect its performance, a change in the risk characteristics of the Transaction or of the Loans, the occurrence of a trigger event described in section 16, the replacement of the Servicer, the Cash Manager or the Account Bank, and any material amendment to the Transaction Documents. Each such notification will also be made to the Noteholders in accordance with the notice provisions of the Conditions.

Public or private securitisation, and the securitisation repository

The Notes are not, and will not be, admitted to trading on any trading venue, and no prospectus is required to be published in respect of them under the UK prospectus regime. The Transaction is therefore expected to be a private securitisation for the purposes of the UK Securitisation Framework, even though the Issuer has prepared this Prospectus for the information of investors. The requirement in SECN 6 that the information on a public securitisation be made available by means of a securitisation repository registered with the FCA therefore does not apply to the Transaction. Instead, the Reporting Entity will make the information described in this section available to the Noteholders, to the FCA and, on request, to potential investors, by means of a secure website maintained by the Cash Manager, access to which will be given to each Noteholder and to each potential investor that confirms its status as a professional investor. The Reporting Entity will also submit to the FCA the notification required for private securitisations, in the form and within the period required by the UK Securitisation Framework, and will update it when the UK Securitisation Framework requires.

If, as a result of a change in law or in the regulatory treatment of the Transaction, the Transaction becomes subject to a requirement to report through a securitisation repository, the Reporting Entity will appoint a securitisation repository registered with the FCA and the Issuer will bear its costs as an expense of the Issuer. Conversely, if the requirement for public securitisations to report to a securitisation repository is removed, as has been proposed, this will not affect the obligation of the Reporting Entity to make the information available on the website described above. The website and its contents do not form part of this Prospectus.

Credit-granting criteria

SECN 8 requires originators, sponsors and original lenders to apply to exposures to be securitised the same sound and well-defined criteria for credit-granting that they apply to non-securitised exposures, to apply the same clearly established processes for approving and, where relevant, amending, renewing and refinancing credits, and to have effective systems in place to apply those criteria and processes. Where the underlying exposures are consumer credit agreements, the originator must also have assessed the creditworthiness of the borrower on the basis required by the rules that apply to the originator.

The Originator has confirmed to the Issuer that each Loan was originated in the ordinary course of its business under the underwriting criteria and processes described in section 9, which are the same criteria and processes that it applies to motor finance agreements which it does not securitise; that it has effective systems to apply those criteria and processes; and that, before entering into each Loan, it carried out the creditworthiness and affordability assessment required by CONC 5.2A, as described in section 9. The Originator has also confirmed that no Loan was marketed and underwritten on the premise that the applicant or, where applicable, an intermediary was made aware that the information provided by the applicant might not be verified by the Originator. The Originator will disclose in the Investor Reports any material change to its underwriting criteria made after the Closing Date which applies to its new lending, to the extent SECN requires such disclosure; such a change will not affect the Loans, which were originated before the cut-off date.

The Loans are not, and will not include, any securitisation position, so the Transaction is not a resecuritisation. No Loan was in arrears on the cut-off date, as required by the eligibility criteria in section 11, and the Originator has confirmed that, to the best of its knowledge, no Loan was owed on the cut-off date by a borrower who had been declared insolvent or had entered into a debt restructuring process with the Originator in the three years before the cut-off date.

Due diligence requirements for institutional investors

UK institutional investors

Institutional investors that are subject to the UK Securitisation Framework, including credit institutions and investment firms, insurance and reinsurance undertakings, UK alternative investment fund managers, UK UCITS management companies and the trustees and managers of occupational pension schemes, must comply with the due diligence requirements that apply to them before holding a securitisation position and for so long as they hold it. Those requirements are set out, for FCA-regulated institutional investors, in SECN 4, for PRA-authorised persons, in the PRA Securitisation Rules and, for the trustees and managers of occupational pension schemes, in the Securitisation Regulations and the rules made under them.

Before holding a position in the Notes, such an institutional investor must, among other things, verify that the Originator grants credit on the basis of sound and well-defined criteria and clearly established processes; verify that the Retention Holder retains a material net economic interest in accordance with the UK Securitisation Framework and that the retention is disclosed; verify that the information required by SECN 6 has been made available, or, where the Transaction were not subject to SECN 6, that sufficient information has been made available to allow it to carry out its assessment; and carry out a due diligence assessment which enables it to assess the risks involved, including the risk characteristics of the Notes and of the Loans and all the structural features of the Transaction that can materially affect the performance of the Notes. While it holds the Notes it must have written procedures to monitor its position and the performance of the Loans, perform stress tests appropriate to its position, report to its management body on the risks, and be able to demonstrate to its regulator that it has a comprehensive and thorough

understanding of the Notes and of the Loans and that it has implemented the required policies and procedures. An institutional investor that has delegated the management of its investments should consider which person is responsible for compliance under the rules that apply to it.

A failure by an institutional investor to comply with the requirements that apply to it may result in additional regulatory capital charges or other measures being imposed on it by its regulator. Each of the Issuer, the Originator, the Arranger, the Lead Manager and the Trustee makes no representation that the information in this Prospectus, or the information to be made available after the Closing Date, is sufficient for any investor to comply with its due diligence requirements, and none of them will have any liability to an investor that fails to do so.

EEA institutional investors

Institutional investors established in the EEA are subject to the due diligence requirements of Article 5 of the EU Securitisation Regulation. Where the originator, sponsor or original lender is established outside the European Union, as the Originator is, Article 5 requires an EEA institutional investor to verify, among other things, that the originator retains on an ongoing basis a material net economic interest determined in accordance with Article 6 of the EU Securitisation Regulation, and that the originator, sponsor or SSPE has made available the information required by Article 7 of the EU Securitisation Regulation in accordance with the frequency and modalities provided for in that Article.

The Retention Holder intends that the vertical slice described above will also constitute the retention of a material net economic interest of not less than 5% of the nominal value of each class of Notes within the meaning of Article 6 of the EU Securitisation Regulation, as in force on the Closing Date, and it does not intend to change its method of retention after the Closing Date. However, the Retention Holder has given the Retention Undertaking only by reference to the UK Securitisation Framework; it has not undertaken to comply with the EU Securitisation Regulation, and it will not be in breach of the Retention Undertaking if the EU and UK requirements diverge. The information described in this section will be prepared in the form required by the UK Securitisation Framework and not in the templates adopted under Article 7 of the EU Securitisation Regulation, and no party has undertaken to make information available through a securitisation repository registered in the European Union.

Legislative amendments to the EU Securitisation Regulation, including amendments to Article 5 which would alter the information that an EEA institutional investor must verify in respect of a securitisation whose originator is established outside the European Union, have been proposed and are in the course of the EU legislative process; they had not been adopted on the date of this Prospectus. Each EEA institutional investor should therefore make its own assessment, with its own advisers, of whether the information made available under the UK Securitisation Framework is sufficient for it to comply with Article 5 of the EU Securitisation Regulation as in force from time to time. None of the Issuer, the Originator, the Arranger, the Lead Manager and the Trustee makes any representation in that respect.

Simple, transparent and standardised securitisation

The Transaction has not been, and is not intended to be, designated as a simple, transparent and standardised securitisation within the meaning of the UK Securitisation Framework ("UK STS"). No notification has been or will be made to the FCA that the Transaction meets the UK STS requirements, and no third party has been appointed to verify compliance with them. The Transaction is also not a simple, transparent and standardised securitisation within the meaning of the EU Securitisation Regulation; that designation is not available to a securitisation whose originator, sponsor and SSPE are established outside the European Union.

As a result, the Notes will not benefit from the preferential regulatory treatment which certain investors may apply to UK STS securitisation positions, including the treatment described below under *Regulatory capital and liquidity treatment*.

Regulatory capital and liquidity treatment

None of the Issuer, the Originator, the Arranger, the Lead Manager and the Trustee makes any representation to any prospective investor or purchaser of the Notes as to the regulatory capital treatment of the Notes, as to whether the Notes qualify as high quality liquid assets for the purposes of the liquidity coverage ratio rules that apply to an investor, or as to the treatment of the Notes under any other prudential regime, on the Closing Date or at any time in the future.

Credit institutions and investment firms subject to the prudential requirements of the PRA, and their EEA equivalents subject to Regulation (EU) No 575/2013 (as amended), should note that the capital treatment of a securitisation position depends, among other things, on whether the position is a UK STS (or EU STS) position, on the approach to the calculation of risk-weighted exposure amounts that the investor is permitted to use, and on the investor's compliance with the due diligence requirements. Because the Transaction is not designated as UK STS, the Notes are not expected to qualify as Level 2B assets under the liquidity coverage ratio rules applicable to UK institutions, which require, among other things, that a securitisation position be a UK STS position, nor under the equivalent EU rules. Insurance and reinsurance undertakings subject to the UK Solvency II regime (Solvency UK) should consider the spread risk charge applicable to securitisation positions that are not STS positions. The prudential rules that apply to securitisation positions in the United Kingdom continue to change, and investors should consult their own advisers on the consequences for the Notes.

Bank of England eligibility

The Notes have not been structured with a view to their being eligible as collateral in the Sterling Monetary Framework of the Bank of England, and no application has been made for that purpose. No representation is made that any class of Notes will be, or will remain, eligible collateral for any central bank.

United States regulatory matters

The Volcker Rule

Section 13 of the United States Bank Holding Company Act of 1956, as amended, and its implementing regulations (together, the "Volcker Rule") generally prohibit "banking entities" (as defined in the Volcker Rule) from acquiring or retaining an ownership interest in, or sponsoring, a "covered fund", subject to certain exemptions and exclusions. The Issuer is of the view that it is not, and immediately after the issue of the Notes and the application of the proceeds will not be, a covered fund. In reaching that view the Issuer intends to rely on an exemption or exclusion from the definition of "investment company" under the United States Investment Company Act of 1940, as amended, other than the exemptions in section 3(c)(1) and section 3(c)(7) of that Act, so that the Issuer falls outside the definition of covered fund; other exclusions may also be available. The Notes are offered only outside the United States to persons that are not U.S. persons in reliance on Regulation S under the Securities Act, as described in the Important notices and in section 20. No assurance is given that a regulator or a court would agree with that view, and any prospective investor that is a banking entity should consult its own advisers.

United States risk retention

The credit risk retention regulations adopted under Section 15G of the United States Securities Exchange Act of 1934, as amended (the "U.S. Risk Retention Rules"), generally require the sponsor of a securitisation transaction to retain not less than 5% of the credit risk of the assets collateralising the issued securities. The Transaction is not intended to involve the retention by a sponsor of a credit risk interest for the purposes of the U.S. Risk Retention Rules, and the Originator intends to rely on the exemption for certain foreign-related transactions in the U.S. Risk Retention Rules. That exemption is available if, among other conditions, the transaction is not required to be and is not registered under the Securities Act, no more than 10% of the value of all classes of securities issued is sold or transferred to, or for the account or benefit of, U.S. persons (as defined in the U.S. Risk Retention Rules, "Risk Retention U.S. Persons"), neither the sponsor nor the issuer is organised under the laws of, or is a branch located in, the United States, and no more than 25% of the assets were acquired from an affiliate or branch of the sponsor or the issuer organised or located in the United States. Accordingly, the Notes may not be purchased by Risk Retention U.S. Persons without the prior written consent of the Originator, and each purchaser of Notes will be deemed to represent that it is not a Risk Retention U.S. Person. Failure of the Transaction to comply with the U.S. Risk Retention Rules could adversely affect the market value and the liquidity of the Notes.

Benchmarks

The rate of interest on each class of Notes is determined by reference to Compounded Daily SONIA, as described in section 4 and in the Conditions in section 5. SONIA is administered by the Bank of England, which, as a central bank, falls outside the scope of the UK Benchmarks Regulation, as explained in the Important notices. The Issuer is not a supervised entity for the purposes of Article 28(2) of the UK Benchmarks Regulation. The Conditions set out the fallback provisions which apply if SONIA ceases to be provided or if its methodology changes materially, and the risks associated with the use of SONIA, including the absence of a hedge of the basis between the fixed rates on the Loans and the floating rate on the Notes, are described in section 2.

Credit rating agencies

The Issuer has appointed the Rating Agencies, each of which is established in the United Kingdom and registered under the UK CRA Regulation, to rate the Notes. The UK CRA Regulation requires the issuer or a related third party that intends to solicit a credit rating of a structured finance instrument to appoint at least two credit rating agencies, and to consider appointing at least one credit rating agency with a small market share; the Issuer has complied with those requirements.

19. Taxation

General

The following is a general summary of the Issuer's understanding of current United Kingdom tax law as applied in England and Wales and of the published practice of HM Revenue & Customs ("HMRC"), which may not be binding on HMRC, relating only to the United Kingdom withholding tax treatment of payments of interest on the Notes, to United Kingdom stamp duty and stamp duty reserve tax in relation to the Notes, and to the United Kingdom corporation tax treatment of the Issuer. It does not deal with any other United Kingdom tax aspect of acquiring, holding or disposing of the Notes, it is not exhaustive, and it is not tax advice. It relates only to persons who are the absolute beneficial owners of their Notes and of the interest on them, and it may not apply to certain classes of person, such as dealers in securities, persons connected with the Issuer, persons who hold the Notes as part of a tax avoidance arrangement or in connection with a trade carried on through a permanent establishment or branch in the United Kingdom, and persons to whom special rules apply. The law and practice described below may change, possibly with retrospective effect.

Prospective Noteholders who are in any doubt as to their tax position, or who may be subject to tax in a jurisdiction other than the United Kingdom, should consult their own professional advisers. The tax treatment of a Noteholder depends on its individual circumstances, and the tax legislation of the Noteholder's jurisdiction of residence and of the Issuer's jurisdiction of incorporation may have an effect on the income received from the Notes.

United Kingdom withholding tax on interest

The general rule

The Issuer is incorporated and resident for tax purposes in the United Kingdom, and interest on the Notes will have a United Kingdom source. Because the Notes may remain outstanding for more than one year, interest on the Notes is expected to be "yearly interest" for United Kingdom tax purposes. A company that pays yearly interest with a United Kingdom source is in general obliged to deduct United Kingdom income tax at the basic rate (currently 20%) from the payment, unless an exemption or relief applies or HMRC has given a direction to the contrary under an applicable double taxation treaty.

The exemption for "quoted Eurobonds" in section 882 of the Income Tax Act 2007 (the "ITA 2007") applies only to securities that are, and continue to be, listed on a recognised stock exchange or admitted to trading on a multilateral trading facility operated by a regulated recognised stock exchange. The Notes are not listed and will not be admitted to trading on any trading venue, so that exemption is not available. The Issuer will instead rely, where their conditions are met, on the exemptions described below, as provided in Condition 8(c) (*United Kingdom withholding*).

The qualifying private placement exemption

Section 888A of the ITA 2007 and the Income Tax (Qualifying Private Placement) Regulations 2015 (SI 2015/2002) (together, the "QPP Rules") provide that the duty to deduct income tax does not apply to a payment of interest on a security that is a "qualifying private placement". In summary, and without describing every condition, the Issuer may pay interest on a Note without deduction under the QPP Rules where:

(a) the Note is a security that represents a loan relationship to which the Issuer, a company, is party as debtor;

(b) the Note is not listed on a recognised stock exchange;

(c) the term of the Note does not exceed 50 years, which is satisfied because the final maturity date of the Notes is 20 December 2032;

(d) the Notes are issued under an arrangement under which the aggregate value of the securities issued is not less than £10 million;

(e) the person beneficially entitled to the interest is resident in a "qualifying territory", that is, a territory with which the United Kingdom has a double taxation treaty that contains a non-discrimination provision, and is not connected with the Issuer;

(f) the person beneficially entitled to the interest holds the Note for genuine commercial reasons and not as part of a tax advantage scheme, and the Issuer has entered into the arrangements for genuine commercial reasons and not as part of a tax advantage scheme; and

(g) the Issuer has received from that person a certificate (a "Creditor Certificate") confirming, among other things, that it is beneficially entitled to the interest for genuine commercial reasons, that it is resident in a qualifying territory and that it is not connected with the Issuer, and the Issuer has no reason to believe that any statement in the Creditor Certificate is incorrect.

Because the Notes are held in global registered form through the clearing systems, the Issuer can apply the exemption only in respect of the interest to which a Noteholder is beneficially entitled and for which a valid Creditor Certificate has been delivered, through the procedures established by the Principal Paying Agent and the clearing systems, before the relevant payment date. A Noteholder that is not resident in a qualifying territory, or that does not deliver a Creditor Certificate, cannot benefit from the QPP Rules and must rely on another exemption or relief.

Other exemptions and reliefs

The Issuer may also pay interest on the Notes without deduction where it reasonably believes, at the time of the payment, that the person beneficially entitled to the interest is a company resident in the United Kingdom, or a non-resident company that carries on a trade in the United Kingdom through a permanent establishment and must bring the interest into account in computing its chargeable profits, or another person listed in sections 933 to 937 of the ITA 2007, such as certain partnerships of such companies and certain exempt bodies. If that belief proves to be incorrect, the Issuer may be liable to account for the tax that it should have deducted, together with interest and penalties, unless it took reasonable care.

A Noteholder that is resident for tax purposes in a jurisdiction which has a double taxation treaty with the United Kingdom may be entitled to receive interest without deduction, or subject to deduction at a reduced rate, if HMRC directs the Issuer accordingly following a claim by that Noteholder in the prescribed form, or may recover from HMRC some or all of the tax deducted. A claim under a treaty takes time to process, and a direction does not have retrospective effect for payments already made.

Consequences of a deduction

If interest on the Notes is paid after the deduction of United Kingdom income tax, the Issuer will not pay any additional amount to the Noteholders in respect of the amount deducted (Condition 8(b) (*No gross-up*)). A change in United Kingdom tax law which requires the Issuer to make a deduction from payments on the Notes may entitle the Issuer to redeem the Notes under

Condition 6(e) (*Optional redemption for tax reasons*). Payments of principal on the Notes, and payments in respect of the Notes which are not interest, may be made without any deduction for or on account of United Kingdom income tax.

Provision of information

HMRC has powers to obtain information and documents relating to securities, including information about payments of interest on the Notes and about the persons for whom, or on whose behalf, those payments are made or received. Any paying agent or other person in the United Kingdom that pays interest to, or receives interest for the benefit of, a Noteholder may be required to provide that information to HMRC, and HMRC may exchange it with the tax authorities of other jurisdictions under international agreements, including the arrangements known as the Common Reporting Standard implemented in the United Kingdom by the International Tax Compliance Regulations 2015 (SI 2015/878). Condition 8(d) (*Tax information*) requires each Noteholder to provide the information reasonably requested for these purposes.

United Kingdom stamp duty and stamp duty reserve tax

No United Kingdom stamp duty or stamp duty reserve tax ("SDRT") should be payable on the issue of the Notes, on their delivery into the clearing systems, or on a transfer of the Notes or of an interest in them, whether by book-entry transfer within the clearing systems or by an instrument of transfer of a Note in definitive form. That is because the Notes are expected to constitute "loan capital" for the purposes of section 78 of the Finance Act 1986 and to fall within the exemption in section 79(4) of that Act: they do not carry a right of conversion into shares or other securities, or to the acquisition of shares or other securities; they do not carry a right to interest the amount of which exceeds a reasonable commercial return on their nominal amount or which is determined by reference to the results of a business or the value of any property; and they do not carry a right on repayment to an amount which exceeds their nominal amount and is not reasonably comparable with what is generally repayable in respect of similar loan capital listed on the Official List of the FCA.

No United Kingdom stamp duty should be payable on the sale of the Loans by the Seller to the Issuer, on the assignment of the related rights to the Issuer or on the grant of security by the Issuer to the Trustee, because stamp duty is now chargeable only on instruments transferring stock or marketable securities, and the Loans and the related rights are neither. No stamp duty land tax, land and buildings transaction tax or land transaction tax arises, because no interest in land is transferred.

Taxation of the Issuer

The securitisation company regime

The Issuer expects to be a "note-issuing company" within the meaning of the Taxation of Securitisation Companies Regulations 2006 (SI 2006/3296) (the "Securitisation Company Regulations"), and therefore a "securitisation company" for the purposes of those regulations. A securitisation company is taxed on the basis of its "retained profit", that is, broadly, the amount of profit which the Transaction Documents provide that it is to retain for its own benefit in each accounting period, and not on the profits shown in its accounts. The amounts which the Issuer receives and pays under the Transaction Documents, including timing differences between its accounting profits and its cash flows and any impairment of the Loans, are disregarded in computing its taxable profits, except to the extent of its retained profit. The Transaction Documents provide for the Issuer to retain a small amount of profit in each accounting period, and the Issuer expects that its liability to United Kingdom corporation tax will be limited to tax on that retained profit at the prevailing rate.

The application of the Securitisation Company Regulations depends on the Issuer continuing to satisfy their conditions, which include conditions as to the nature of its business and its assets, the issue of capital market investments as part of a capital market arrangement, the payments which it makes and receives, and the absence of any arrangement of which the main purpose, or one of the main purposes, is to secure a tax advantage for any person. The Issuer has covenanted in Condition 4 (*Issuer covenants*) not to take any action that would cause it to cease to be a securitisation company. If the Issuer ceased to be a securitisation company, it could be taxed on its accounting profits, which in a given accounting period could exceed its cash income and its retained profit, and the tax payable would reduce the amounts available to pay the Noteholders. Such an event may entitle the Issuer to redeem the Notes under Condition 6(e).

Holdings

Holdings is not expected to be a securitisation company. It will be subject to United Kingdom corporation tax on its income and gains under the general rules. Holdings is not expected to

have any significant income, and any tax payable by it will not be an obligation of the Issuer.

Value added tax

Supplies of services to the Issuer under the Transaction Documents may be subject to United Kingdom value added tax ("VAT") at the standard rate, depending on their nature. The Issuer is not expected to be able to recover input VAT, because its supplies are exempt or outside the scope of VAT. Any irrecoverable VAT on the fees of the Servicer, the Cash Manager, the Trustee or any other service provider will be an expense of the Issuer and will reduce the funds available to pay the Noteholders. A change in the VAT treatment of the servicing of the Loans could increase that expense.

Other tax considerations

Noteholders resident in the United Kingdom

A Noteholder within the charge to United Kingdom corporation tax will generally be taxed on the return on the Notes, including interest, profits on disposal and exchange gains or losses, as income in accordance with the loan relationship rules in Part 5 of the Corporation Tax Act 2009, broadly by reference to the amounts recognised in its accounts under generally accepted accounting practice. The Notes are offered only to professional investors, and this summary does not describe the position of individual Noteholders.

Noteholders not resident in the United Kingdom

Interest on the Notes has a United Kingdom source and may therefore be chargeable to United Kingdom tax by direct assessment even where it is paid without deduction. However, a Noteholder that is not resident in the United Kingdom and does not hold the Notes in connection with a trade carried on in the United Kingdom through a permanent establishment, branch or agency will generally have no liability to United Kingdom tax on the interest beyond any tax deducted at source.

The proposed financial transaction tax

The European Commission's proposal for a financial transaction tax to be adopted by certain participating member states of the European Union under the enhanced co-operation procedure has not been adopted. The United Kingdom is not a participating state. Prospective Noteholders should seek their own advice on any financial transaction tax that may apply to them in any other jurisdiction.

Final statement

This section is a general summary only. It is not a complete analysis of the tax consequences of acquiring, holding or disposing of the Notes, it is based on the law and practice in force at the date of this Prospectus, and none of the Issuer, the Originator, the Arranger, the Lead Manager and the Trustee accepts responsibility for the tax consequences for any Noteholder.

20. Subscription and sale

The subscription agreement

Corvane Securities plc (the "Lead Manager") has, under a subscription agreement dated on or about the date of this Prospectus between the Issuer, the Originator and the Lead Manager (the "Subscription Agreement"), agreed with the Issuer, subject to the satisfaction of the conditions set out in it, to subscribe or procure subscribers for the Notes on the Closing Date at an issue price of 100% of their initial principal amount. The Originator has agreed in the Subscription Agreement to subscribe for 5% of the initial principal amount of each class of Notes in its capacity as Retention Holder, as described in section 18, and the Lead Manager's obligation applies to the remaining Notes of each class.

The obligations of the Lead Manager under the Subscription Agreement are subject to conditions precedent that include: (a) the execution and delivery of the Transaction Documents by each party to them on or before the Closing Date; (b) the delivery of legal opinions from Hartwell Quinn LLP and Grantley Moss LLP and of certificates from the directors of the Issuer and of the Originator, in a form satisfactory to the Lead Manager; (c) the assignment of the ratings described in section 4 to the Notes by the Rating Agencies, and the absence of any downgrade or announcement of a possible downgrade before the Closing Date; (d) the accuracy of the representations and warranties of the Issuer and the Originator on the date of the Subscription Agreement and on the Closing Date; and (e) the absence, before the Closing Date, of any material adverse change in the financial condition or prospects of the Issuer or the Originator, or of any change in national or international financial, political or economic conditions which in the opinion of the Lead Manager would be likely to prejudice materially the success of the offering of the Notes.

The Issuer and the Originator have given representations and warranties to the Lead Manager about themselves, the Loans, the Transaction Documents and the information contained in this Prospectus. The Originator has agreed to indemnify the Lead Manager against certain liabilities incurred in connection with the issue of the Notes, and to pay the fees, commissions and expenses of the Arranger and the Lead Manager and the other costs of the transaction, as described in section 6. The Lead Manager is entitled to terminate the Subscription Agreement in certain circumstances before payment for the Notes is made to the Issuer, including a breach of warranty, the failure of a condition precedent or a material change in market conditions.

Settlement of the Notes will take place on the Closing Date on a delivery-versus-payment basis through the Clearing Systems, as described in section 21. The Issuer will not receive any proceeds from the Notes until the Closing Date, and it will apply the proceeds as described in section 6.

Selling restrictions: general

The Lead Manager has represented, warranted and agreed that it has complied and will comply with all applicable laws and regulations in each country or jurisdiction in or from which it purchases, offers, sells or delivers Notes, or possesses, distributes or publishes this Prospectus or any other offering material relating to the Notes, in all cases at its own expense. The Lead Manager will obtain any consent, approval or permission required by it for the purchase, offer, sale or delivery of the Notes under the laws and regulations in force in any jurisdiction to which it is subject or in which it makes such purchases, offers, sales or deliveries.

No action has been or will be taken by the Issuer, the Originator, the Arranger or the Lead Manager that would, or is intended to, permit a public offer of the Notes, or the possession, circulation or distribution of this Prospectus or of any other material relating to the Issuer,

the Originator or the Notes, in any country or jurisdiction where action for that purpose is required. Accordingly, the Notes may not be offered or sold, directly or indirectly, and neither this Prospectus nor any other offering material or advertisement in connection with the Notes may be distributed or published, in or from any country or jurisdiction except in circumstances that will result in compliance with all applicable laws and regulations.

United Kingdom

The Lead Manager has represented, warranted and agreed that:

(a) *Financial promotion*: it has only communicated or caused to be communicated, and will only communicate or cause to be communicated, an invitation or inducement to engage in investment activity (within the meaning of section 21 of FSMA) received by it in connection with the issue or sale of any Notes in circumstances in which section 21(1) of FSMA does not apply to the Issuer;

(b) *General compliance*: it has complied and will comply with all applicable provisions of FSMA and of the rules and regulations made under it with respect to anything done by it in relation to the Notes in, from or otherwise involving the United Kingdom;

(c) *Public offers*: it has not made and will not make an offer of the Notes to the public in the United Kingdom, other than an offer that falls within an exception set out in Schedule 1 to the Public Offers and Admissions to Trading Regulations 2024, including an offer made only to qualified investors, and no Notes have been or will be offered in circumstances which would require the Issuer or the Lead Manager to publish a prospectus or any other offering document under those regulations;

(d) *Retail investors*: it has not offered, sold or otherwise made available, and will not offer, sell or otherwise make available, any Notes to any retail investor in the United Kingdom, as defined in the notice headed *Prohibition of sales to UK retail investors* in the Important notices of this Prospectus; and

(e) *Securitisation positions*: it will not sell any Note to a retail client in the United Kingdom in contravention of the restrictions on the sale of securitisation positions to retail clients in the Securitisation Regulations 2024 and SECN.

This Prospectus is directed only at persons in the United Kingdom who (i) have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Financial Promotion Order"), (ii) are high net worth companies, unincorporated associations and other persons falling within Article 49(2)(a) to (d) of the Financial Promotion Order, or (iii) are persons to whom it may otherwise lawfully be communicated (all such persons together, "relevant persons"). This Prospectus must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this Prospectus relates is available only to relevant persons and will be engaged in only with relevant persons.

European Economic Area

In relation to each member state of the EEA, the Lead Manager has represented, warranted and agreed that:

(a) *Public offers*: it has not made and will not make an offer of Notes to the public in that member state, except an offer of Notes to any legal entity which is a qualified investor as defined in Regulation (EU) 2017/1129 (as amended, the "EU Prospectus Regulation"), or in any other circumstances falling within Article 1(4) of the EU Prospectus Regulation, provided

that no such offer requires the Issuer or the Lead Manager to publish a prospectus under Article 3 of the EU Prospectus Regulation or to supplement a prospectus under Article 23 of the EU Prospectus Regulation;

(b) *Retail investors*: it has not offered, sold or otherwise made available, and will not offer, sell or otherwise make available, any Notes to any retail investor in the EEA, as defined in the notice headed *Prohibition of sales to EEA retail investors* in the Important notices of this Prospectus; and

(c) *Securitisation positions*: it will not sell any Note to a retail client in the EEA except in compliance with Article 3 of the EU Securitisation Regulation.

For these purposes, an "offer of Notes to the public" means the communication in any form and by any means of sufficient information on the terms of the offer and the Notes to be offered so as to enable an investor to decide to purchase or subscribe for the Notes.

EEA investors should note that the transaction has been structured to comply with the UK securitisation framework. Each EEA institutional investor is responsible for its own assessment of whether the information made available by the Issuer and the Retention Holder, described in sections 18 and 21, is sufficient to enable it to satisfy the due diligence requirements of Article 5 of the EU Securitisation Regulation. None of the Issuer, the Originator, the Arranger and the Lead Manager makes any representation that it is.

United States

The Notes have not been and will not be registered under the Securities Act or the securities laws of any state or other jurisdiction of the United States, and they may not be offered, sold or delivered within the United States or to, or for the account or benefit of, U.S. persons (as defined in Regulation S under the Securities Act ("Regulation S")), except in certain transactions exempt from, or not subject to, the registration requirements of the Securities Act. The Lead Manager has represented, warranted and agreed that:

(a) *Offshore transactions*: it has offered and sold, and will offer and sell, the Notes only outside the United States in offshore transactions to persons who are not U.S. persons, in reliance on Regulation S, both as part of its distribution at any time and otherwise until 40 days after the later of the commencement of the offering and the Closing Date (the "distribution compliance period");

(b) *No directed selling efforts*: neither it, nor its affiliates, nor any person acting on its or their behalf has engaged or will engage in any directed selling efforts with respect to the Notes, and it and they have complied and will comply with the offering restrictions requirement of Regulation S;

(c) *Confirmations*: it will have sent to each distributor, dealer or other person to which it sells Notes during the distribution compliance period a confirmation or other notice setting out the restrictions on offers and sales of the Notes within the United States or to, or for the account or benefit of, U.S. persons; and

(d) *Risk retention*: it will not sell Notes to, or for the account or benefit of, any person that is a "U.S. person" as defined in the credit risk retention regulations issued under Section 15G of the U.S. Securities Exchange Act of 1934, as amended (the "U.S. Risk Retention Rules"), without the prior written consent of the Originator.

The transaction is not intended to involve the retention by a sponsor of a credit risk under the U.S. Risk Retention Rules. The Issuer intends to rely on the exemption for non-U.S. transactions in Section 20 of the U.S. Risk Retention Rules, which requires, among other conditions, that no

more than 10% of the dollar value of all classes of interests issued in the securitisation be sold or transferred to, or for the account or benefit of, persons that are U.S. persons for the purposes of those rules. Each purchaser of Notes will be deemed to represent that it is not such a U.S. person, or that it has obtained the consent of the Originator.

The Issuer has not been and will not be registered under the U.S. Investment Company Act of 1940, as amended. Terms used in this paragraph and not otherwise defined have the meanings given to them by Regulation S.

Prohibition of sales to retail investors

For the avoidance of doubt, the Notes are offered only to professional investors and eligible counterparties. No Notes may be offered, sold or otherwise made available to any retail investor in the United Kingdom or the EEA, whether in the initial distribution or in any subsequent resale, and no key information document has been prepared for the Notes under the UK or EEA rules described in the Important notices. Each purchaser of Notes will be deemed to represent and agree that it is not a retail investor in the United Kingdom or the EEA and that it will not offer, sell or otherwise make available any Note to such a person. Any Distributor that resells the Notes is responsible for its own compliance with the product governance and retail distribution rules that apply to it.

Other jurisdictions

No action has been taken to permit an offer of the Notes in any jurisdiction other than the United Kingdom and the member states of the EEA, and then only to the persons and in the circumstances described above. The Lead Manager has represented, warranted and agreed that it will not offer or sell any Notes, or distribute this Prospectus, in any other jurisdiction except in circumstances that will result in compliance with the applicable laws and regulations of that jurisdiction and that will not impose any obligation on the Issuer, the Originator or the Arranger.

General

Neither the Issuer nor the Lead Manager represents that the Notes may at any time lawfully be sold in compliance with any applicable registration or other requirements in any jurisdiction, or under any exemption available in it, or assumes any responsibility for facilitating any such sale. The selling restrictions in this section may be modified by agreement between the Issuer and the Lead Manager following a change in a relevant law, regulation or directive, or in its interpretation. Any such modification will be set out in a supplement to this Prospectus.

Each person who purchases Notes in the secondary market will be deemed to have made the representations and agreements in this section that apply to it, as if references to the Lead Manager were references to that person. Persons into whose hands this Prospectus comes are required by the Issuer and the Lead Manager to comply with all applicable laws and regulations in each country or jurisdiction in which they purchase, offer, sell or deliver Notes or possess, distribute or publish this Prospectus or any other offering material, in all cases at their own expense.

The Lead Manager and its affiliates have engaged, and may in the future engage, in investment banking, commercial banking and other dealings in the ordinary course of business with Kestrel Group plc, the Originator and their affiliates, and may receive customary fees and commissions for them. In the ordinary course of their business activities, the Lead Manager and its affiliates may make or hold a broad array of investments, including in the Notes, and may actively trade debt and equity securities for their own account and for the accounts of their customers. Such investment and trading activities may involve securities of the Issuer or of the Originator. The Lead Manager has no obligation to make a market in the Notes.

21. General information

Authorisation

The issue of the Notes, and the entry by the Issuer into the Transaction Documents to which it is a party, were authorised by resolutions of the board of directors of the Issuer passed on 19 January 2026. The Issuer has obtained all necessary consents, approvals and authorisations in the United Kingdom in connection with the issue and performance of the Notes. The entry by Holdings into the deed of covenant described in section 7 was authorised by a resolution of its board of directors passed on the same date. The entry by the Originator into the Transaction Documents to which it is a party was authorised by a resolution of its board of directors.

Litigation

The Issuer is not, and has not been since its incorporation, involved in any governmental, legal or arbitration proceedings (including any such proceedings which are pending or threatened of which the Issuer is aware) which may have, or have had, a significant effect on the financial position or profitability of the Issuer. The same statement is made by Holdings in respect of itself.

The Originator is, in the ordinary course of its business, party to complaints and claims by its customers, including complaints referred to the Financial Ombudsman Service, and is affected by the review of historical motor finance commission arrangements carried out by the FCA. The effect of these matters on the Loans and the Notes, and the risks they present, are described in sections 2 and 8.

No significant change

Since the date of its incorporation, there has been no material adverse change in the financial position or prospects of the Issuer and no significant change in its financial or trading position. Since the date of its incorporation, the Issuer has not entered into any contract or arrangement, other than in the ordinary course of its business, and has not engaged in any activity, other than as described in section 7.

Accounts

No statutory accounts have been prepared for the Issuer or for Holdings as at the date of this Prospectus. The first financial period of each of them will end on 31 December 2026. The Issuer will publish its audited annual accounts within the period required by the Companies Act 2006 and will deliver copies of them to the Trustee and to the Principal Paying Agent. Fennick & Rowe LLP have been appointed as the Auditors, as described in section 7. The Issuer does not intend to publish interim accounts.

Documents available for inspection

For so long as any Note is outstanding, copies of the following documents may be inspected in electronic form, on request, during usual business hours on any weekday (public holidays excepted) at the registered office of the Issuer and at the specified office of the Principal Paying Agent, and will be made available on the securitisation repository website described below:

(a) the certificate of incorporation, the certificate entitling the Issuer to do business as a public company, and the memorandum and articles of association of the Issuer and of Holdings;

(b) the annual audited accounts of the Issuer and of Holdings, when published;

(c) the Trust Deed, which contains the forms of the global Notes and the Conditions (section 5);

(d) the Deed of Charge;

(e) the Sale Agreement, and the declaration of trust in favour of the Issuer over the Loans whose Borrowers reside in Scotland (the Scottish Declaration of Trust);

(f) the declaration of trust by Kestrel Motor Finance Ltd over the Collection Account (the "Collection Account Declaration of Trust");

(g) the Servicing Agreement;

(h) the Cash Management Agreement;

(i) the Bank Account Agreement;

(j) the Agency Agreement;

(k) the Corporate Services Agreement and the Share Trust Deed;

(l) the master definitions schedule, which sets out the definitions that apply to all the Transaction Documents (the "Master Schedule"); and

(m) the Subscription Agreement, and each investor report published under the Cash Management Agreement.

The documents in paragraphs (c) to (l) are governed by English law, save for the Scottish Declaration of Trust, which is governed by Scots law.

Clearing and settlement

The Notes have been accepted for clearance through the international central securities depositaries selected by the Issuer (the "Clearing Systems"). Each class of Notes is issued in global registered form, in minimum denominations of £100,000 and integral multiples of £1,000 above that amount, and is represented by a global note registered in the name of a nominee of a common safekeeper for the Clearing Systems. Definitive Notes will be issued only in the limited circumstances set out in the Conditions (section 5). The identification codes of the Notes are:

Class	ISIN	Common code
Class A Notes	XS0000000001	000000001
Class B Notes	XS0000000002	000000002
Class C Notes	XS0000000003	000000003
Class D Notes	XS0000000004	000000004

Payments on the Notes will be made by the Principal Paying Agent to the Clearing Systems for credit to the accounts of their participants, and investors will hold interests in the Notes through those participants. The Issuer will have no responsibility for the records of the Clearing Systems or their participants. The Legal Entity Identifier of the Issuer is 00000000THAMES2026A1.

Investor reporting

The Cash Manager will prepare, on behalf of the Issuer, a monthly investor report for each period, using the information on the Loans provided by the Servicer. The content of the investor report, the date by which it is published and the tests it reports are described in section 16. The investor report will be made available to the Noteholders, the Trustee, the Rating Agencies and, on request, to potential investors in the Notes.

Post-issuance reporting under the UK securitisation framework

The Issuer has been designated, in accordance with the Securitisation Regulations 2024 and SECN 6 of the FCA Handbook, as the entity responsible for fulfilling the transparency requirements of the UK securitisation framework (the "Reporting Entity"), and the Originator has agreed to provide it with all the information it needs to do so. The Reporting Entity will make the following information available to the holders of the Notes, the competent authorities and, on request, potential investors, by means of a securitisation repository or, if none is available, a website that meets the requirements of SECN 6:

(a) before pricing and on the Closing Date, the Transaction Documents, this Prospectus and the loan-level information on the Loans, in each case in the form required by SECN 6;

(b) on a monthly basis, loan-level information on the Loans in the template required by SECN 6, published at the same time as the investor report;

(c) on a monthly basis, an investor report in the form required by SECN 6, covering the performance of the Loans, the cash flows and the application of funds, the trigger events, and the Retention Holder's confirmation of its continued holding of the vertical slice described in section 18; and

(d) without delay, any significant event affecting the transaction, including a material breach of the Transaction Documents, a change in the structural features or the risk characteristics of the transaction, the occurrence of a trigger event, the termination of the appointment of the Servicer, and any material amendment to the Transaction Documents.

The Issuer will publish each item of information described above within the periods set by SECN 6 and will keep it available for at least five years after the final maturity date of the Notes (20 December 2032). The risk retention commitment of the Retention Holder and the other regulatory disclosures that apply to the transaction are described in section 18.

Interests of persons involved in the issue

Save for the fees payable to the Arranger and the Lead Manager, the fees payable to the transaction parties under the Transaction Documents, the Deferred Consideration payable to the Seller and the Notes held by the Originator as Retention Holder, so far as the Issuer is aware no person involved in the issue of the Notes has an interest material to the offer. The capacities in which each party acts, and the conflicts of interest which may arise from them, are described in sections 2 and 3.

Expenses of the issue

The expenses incurred in connection with the issue of the Notes, including the fees of the Arranger and the Lead Manager, the legal advisers, the Auditors and the Rating Agencies, will be paid by the Originator and not by the Issuer, as described in section 6. The servicer fee and the trustee fee are paid by the Issuer as senior fees in the Priority of Payments in section 15; the fees of the Cash Manager, the Account Bank, the Collection Account Bank, the Agent Bank, the Principal Paying Agent and the Back-up Servicer Facilitator are paid by the Servicer out of the servicer fee.

Information from third parties

Where information in this Prospectus has been sourced from a third party, including the information on the United Kingdom motor finance market and on used vehicle prices in sections 2 and 8, the Issuer confirms that the information has been accurately reproduced and that, as far

as the Issuer is aware and is able to ascertain from information published by that third party, no facts have been omitted which would render the reproduced information inaccurate or misleading. The Issuer has not independently verified any such information.

Post-issuance information

Save for the investor reports and the information described above under *Post-issuance reporting under the UK securitisation framework*, and the notices to Noteholders required by the Conditions (section 5), the Issuer does not intend to provide any post-issuance information in relation to the Notes or the Loans.

Websites

Websites referred to in this Prospectus do not form part of this Prospectus, and the information on them has not been scrutinised or approved by any authority. The loan-level information and the investor reports are made available for the purposes of the UK securitisation framework only.

Governing law

The Notes, the Conditions and the Transaction Documents, and any non-contractual obligations arising out of or in connection with them, are governed by English law, save as stated above for the Scottish Declaration of Trust. The courts of England have exclusive jurisdiction to settle any dispute arising out of or in connection with the Notes.

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